



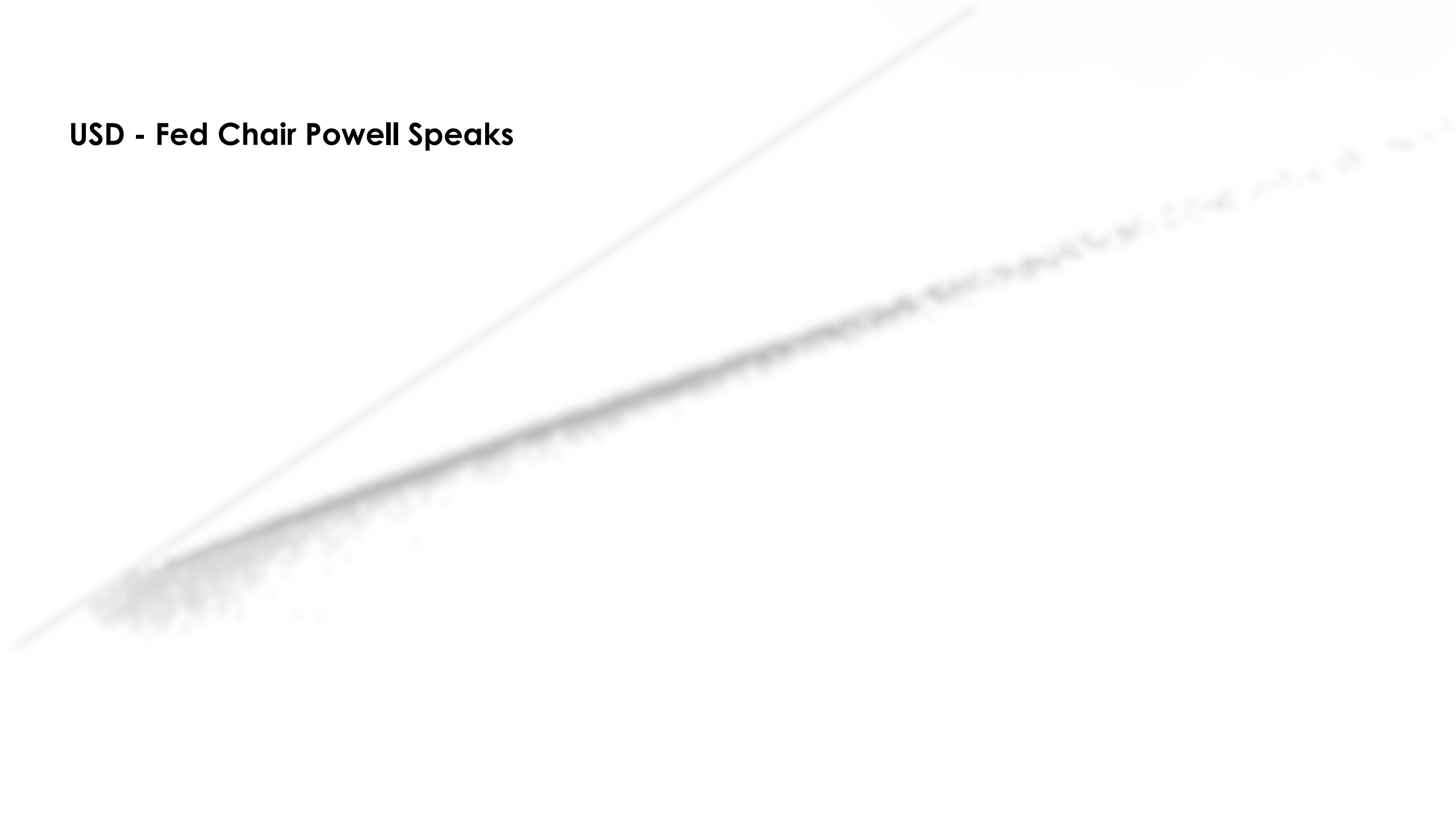
21st July 2025

**Economic Data Releases &
Their Historical Impact on
Assets**

Brief

21-Jul-25	Mon	All Day	JPY	3	Japan - Marine Day
22-Jul-25	Tue	18:00	USD	3	USD - Fed Chair Powell Speaks
23-Jul-25	Wed	19:30	USD	3	USD - Existing Home Sales (Jun)
23-Jul-25	Wed	20:00	USD	3	USD - Crude Oil Inventories
24-Jul-25	Thur	17:45	EUR	3	EUR - Deposit Facility Rate (Jul)
24-Jul-25	Thur	17:45	EUR	3	EUR - ECB Interest Interest Rate Decision (Jul)
24-Jul-25	Thur	18:00	USD	3	USD - Initial Jobless Claims
24-Jul-25	Thur	19:15	USD	3	USD - Manufacturing PMI (Jul) P
24-Jul-25	Thur	19:15	USD	3	USD - Services PMI (Jul) P
24-Jul-25	Thur	19:30	USD	3	USD - New Home Sales (Jun)
25-Jul-25	Fri	18:00	USD	3	USD - Durable Goods Orders (MoM) (Jun) P
Annexure: Key Terms & Links					

USD - Fed Chair Powell Speaks



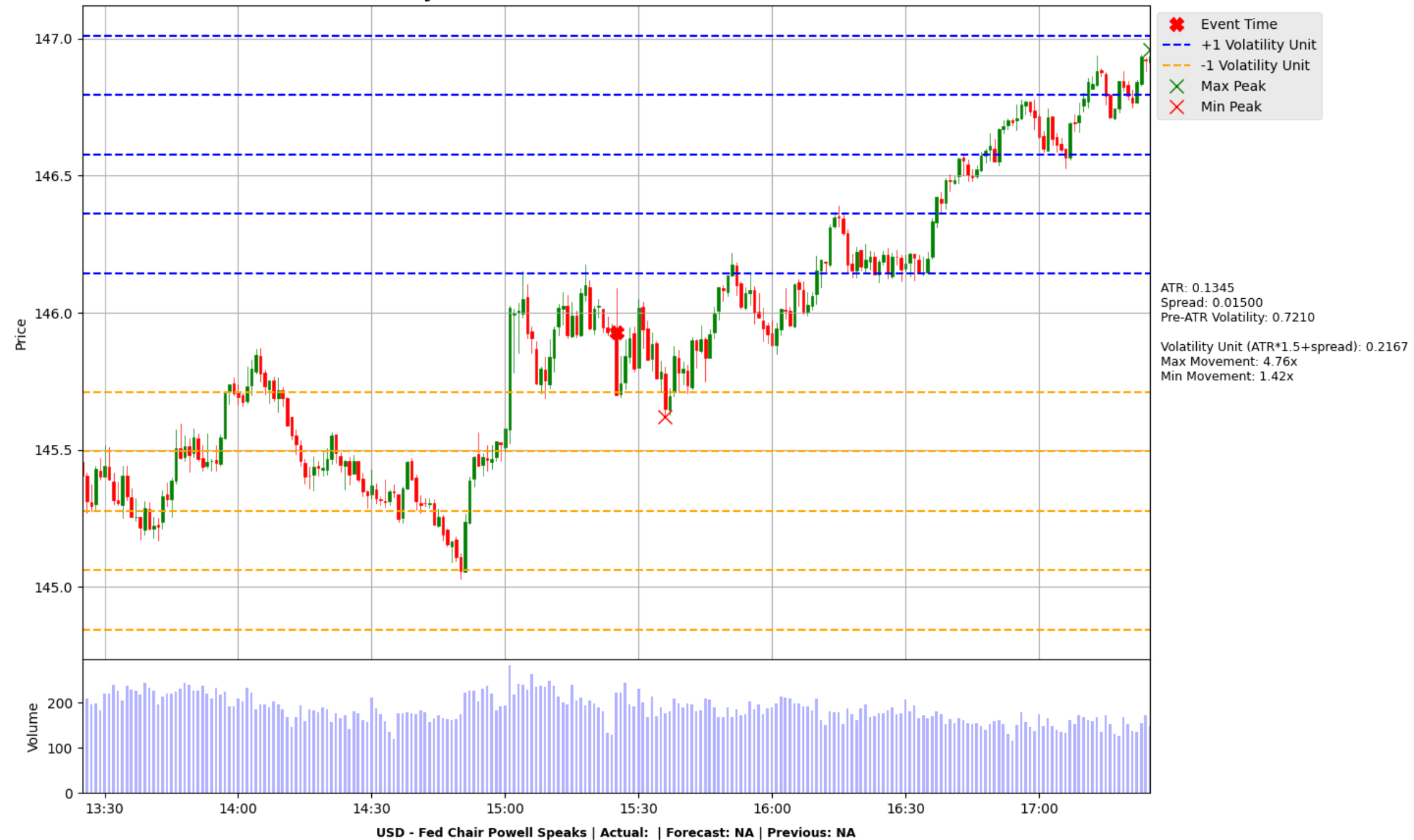
USD - Fed Chair Powell Speaks

Event	USD - Fed Chair Powell Speaks			Description
Actual:				Federal Reserve Chair Jerome Powell (Feb. 2018 – Feb. 2026) is to speak. As head of the Fed, which controls short term interest rates, he has more influence over the U.S. dollar's value than any other person. Traders closely watch his speeches as they are often used to drop hints regarding future monetary policy. Learn More: USDJPY EURUSD
Forecast:				
Previous:				
Time (GMT):	12:30			
Release Date	Actual	Forecast	Previous	
01-Jul-25				
02-Jun-25				
25-May-25				
15-May-25				
16-Apr-25				
04-Apr-25				

USD - Fed Chair Powell Speaks
USDJPY



C:USDJPY Price Action - 2025-04-04 15:25 GMT



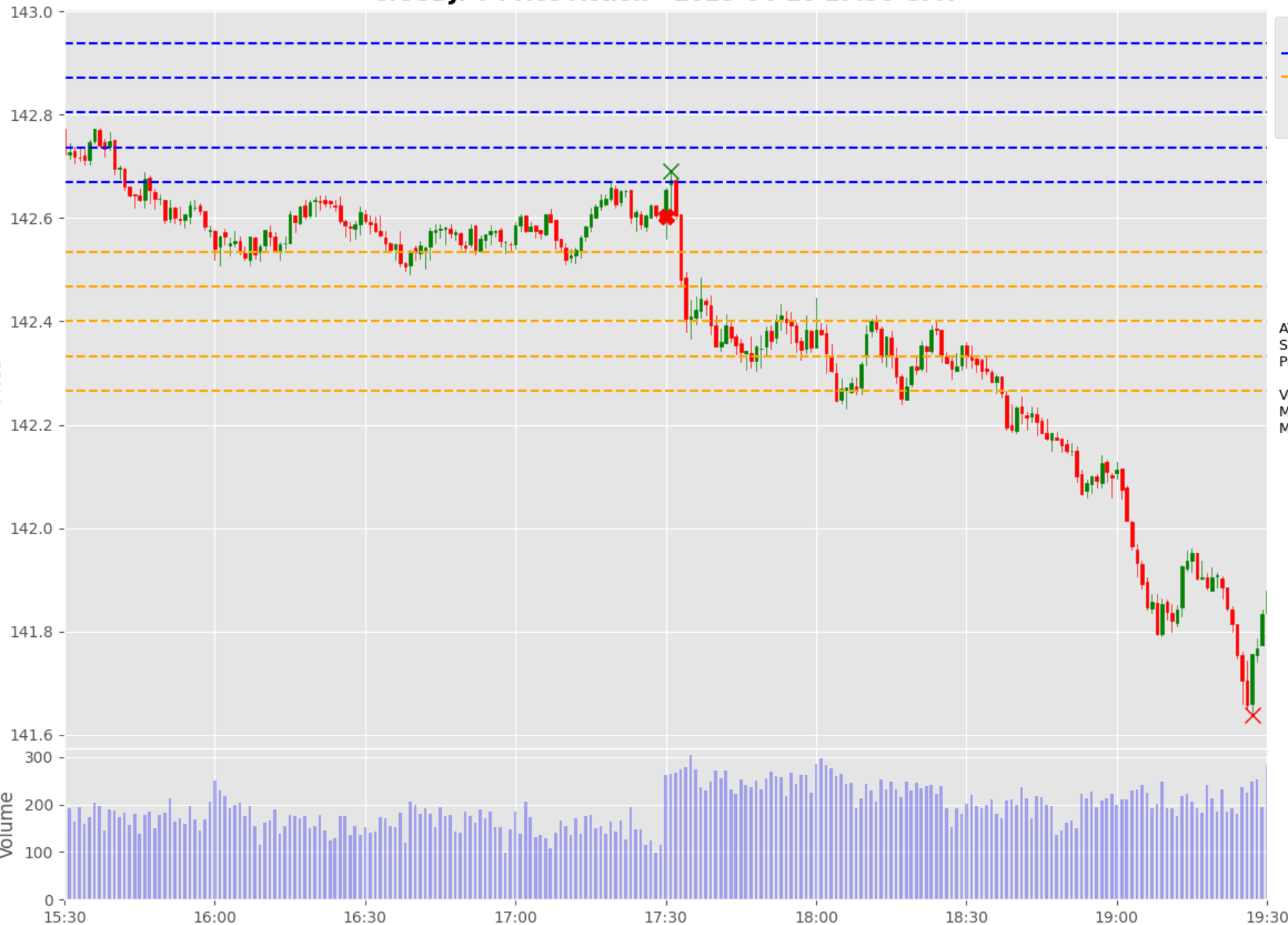
C:USDJPY Price Action - 2025-04-16 17:30 GMT

Price

- Event Time
- +1 Volatility Unit
- 1 Volatility Unit
- Max Peak
- Min Peak

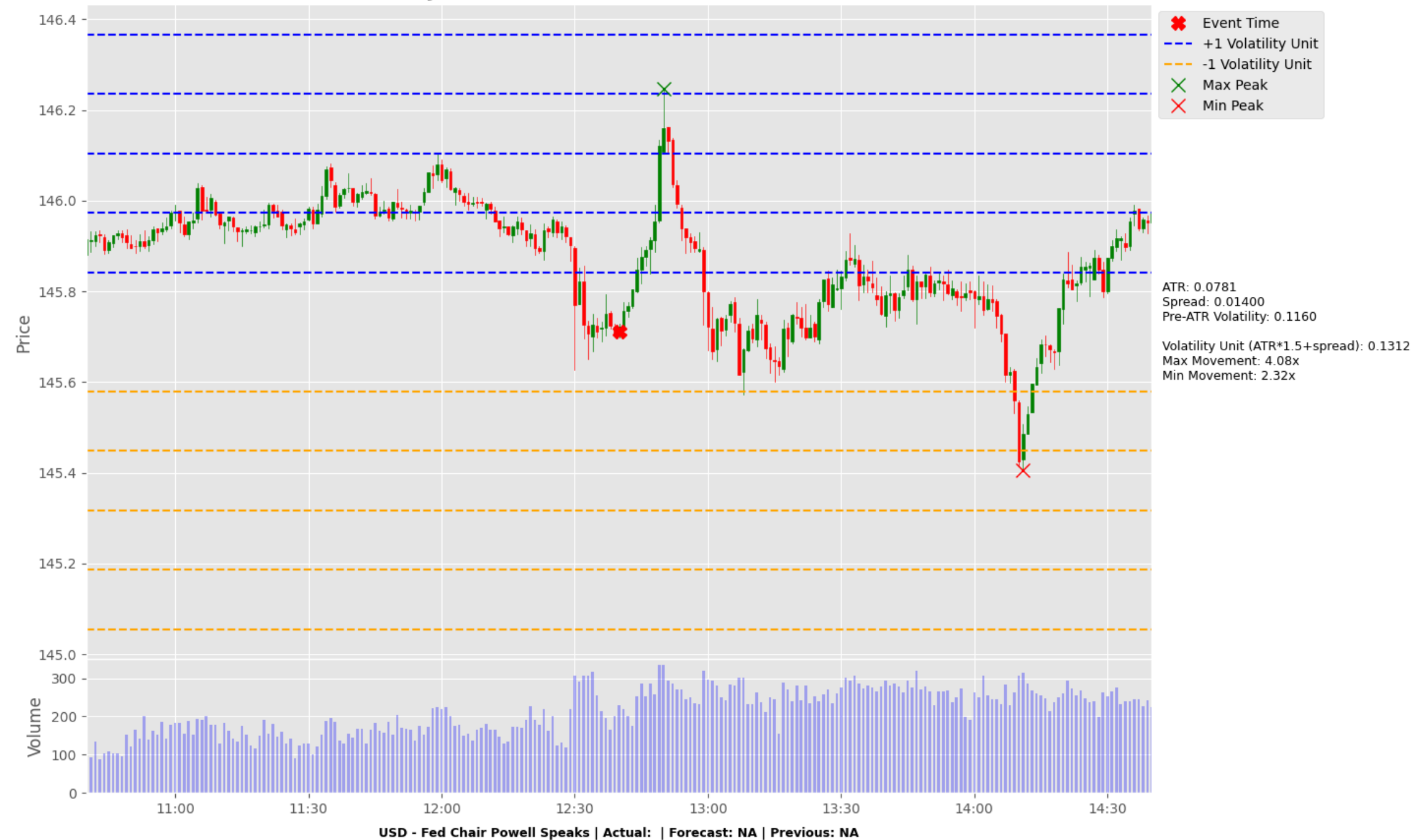
ATR: 0.0362
 Spread: 0.01300
 Pre-ATR Volatility: 0.1090
 Volatility Unit (ATR*1.5+spread): 0.0673
 Max Movement: 1.32x
 Min Movement: 14.30x

Volume



USD - Fed Chair Powell Speaks | Actual: | Forecast: NA | Previous: NA

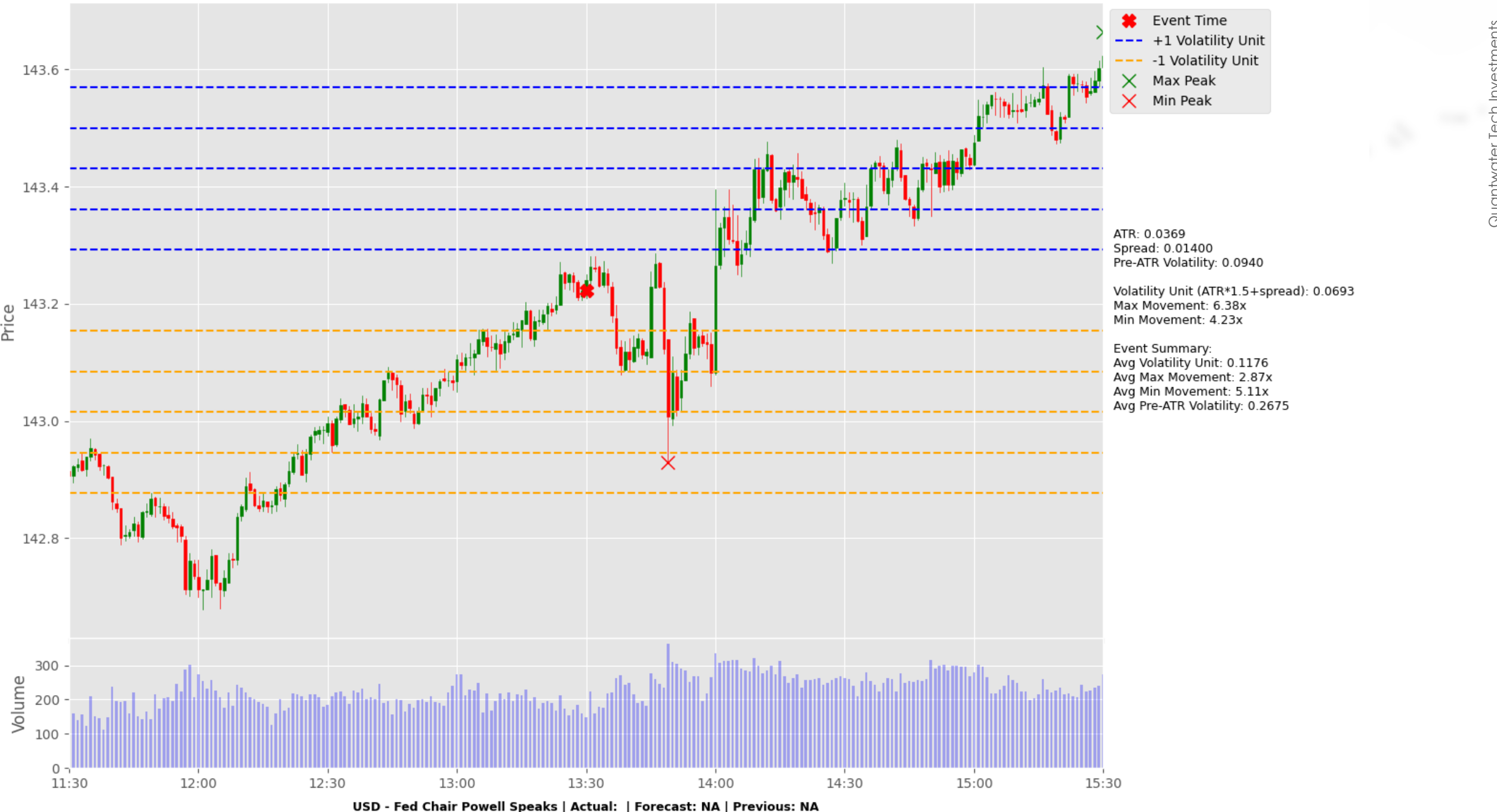
C:USDJPY Price Action - 2025-05-15 12:40 GMT



C:USDJPY Price Action - 2025-06-02 17:00 GMT



C:USDJPY Price Action - 2025-07-01 13:30 GMT



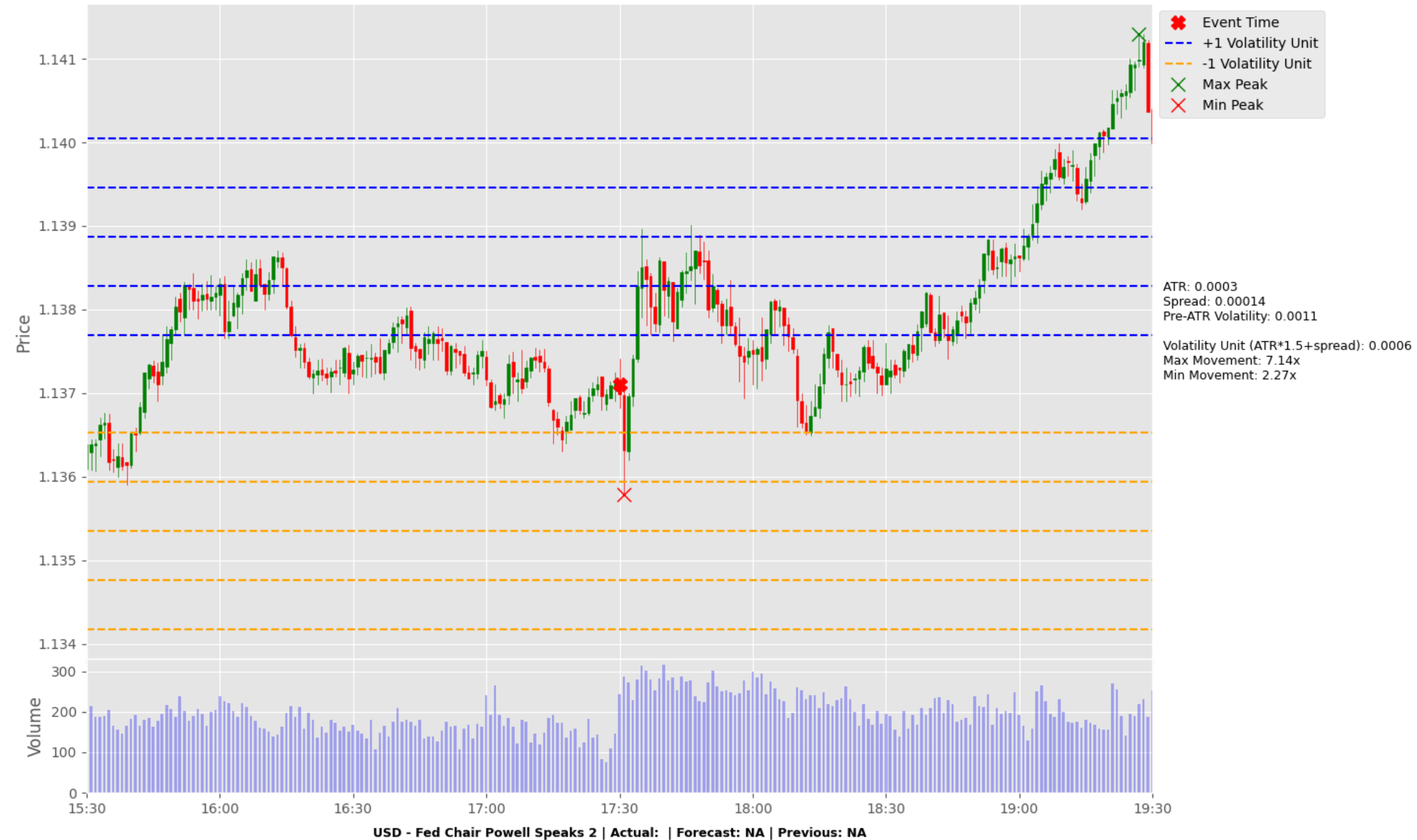
USD - Fed Chair Powell Speaks
EURUSD



C:EURUSD Price Action - 2025-04-04 15:25 GMT



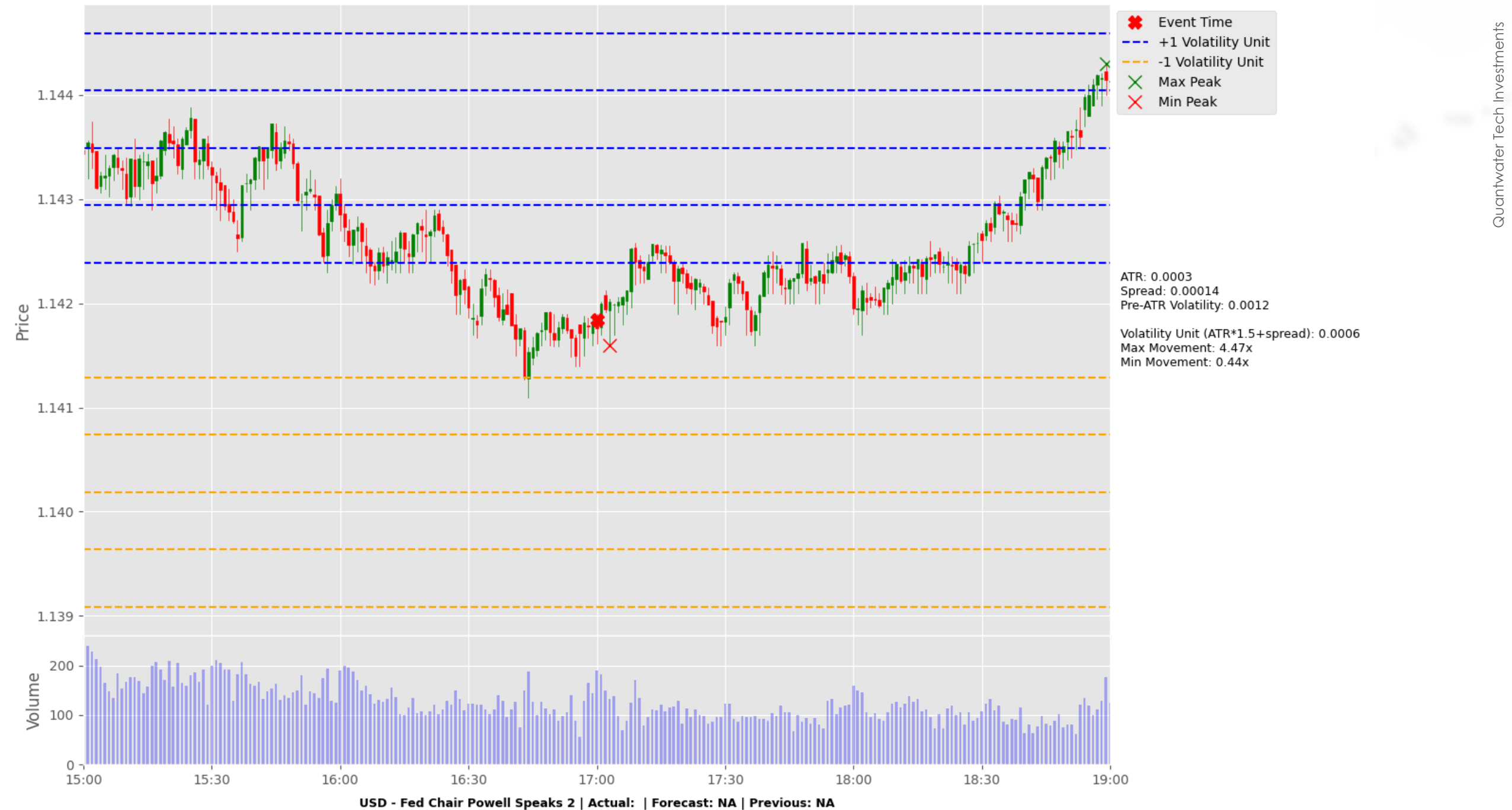
C:EURUSD Price Action - 2025-04-16 17:30 GMT



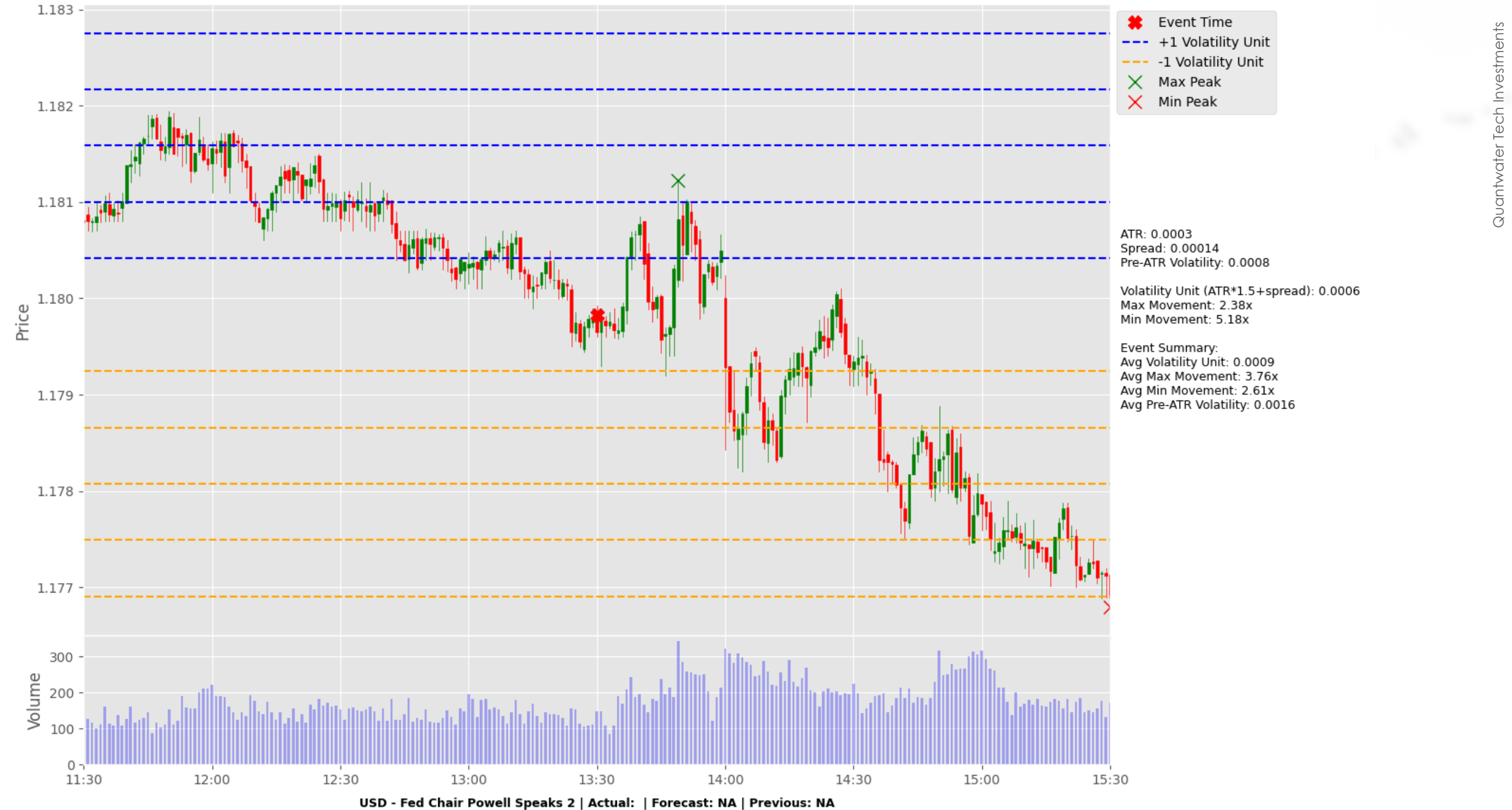
C:EURUSD Price Action - 2025-05-15 12:40 GMT



C:EURUSD Price Action - 2025-06-02 17:00 GMT



C:EURUSD Price Action - 2025-07-01 13:30 GMT



USD - Existing Home Sales (Jun)

Event	USD - Existing Home Sales (Jun)			Description
Actual:				The European Central Bank publishes its decision on where to set the benchmark interest rate. As short term interest rates are an important determinant of currency valuation, traders watch interest rate changes closely. A reading that is stronger than forecast is generally supportive (bullish) for the EUR, while a weaker than forecast reading is generally negative (bearish) for the EUR. Learn More: EURUSD USDJPY
Forecast:				
Previous:	4.03M			
Time (GMT):	14:00			
Release Date	Actual	Forecast	Previous	
23-Jun-25	4.03M	3.96M	4.00M	
22-May-25	4.00M	4.15M	4.02M	
24-Apr-25	4.02M	4.14M	4.27M	
20-Mar-25	4.26M	3.95M	4.09M	
21-Feb-25	4.08M	4.13M	4.29M	
24-Jan-25	4.24M	4.19M	4.15M	

USD – Existing Home Sales (Jun)
USDJPY



C:USDJPY Price Action - 2025-01-24 15:00 GMT

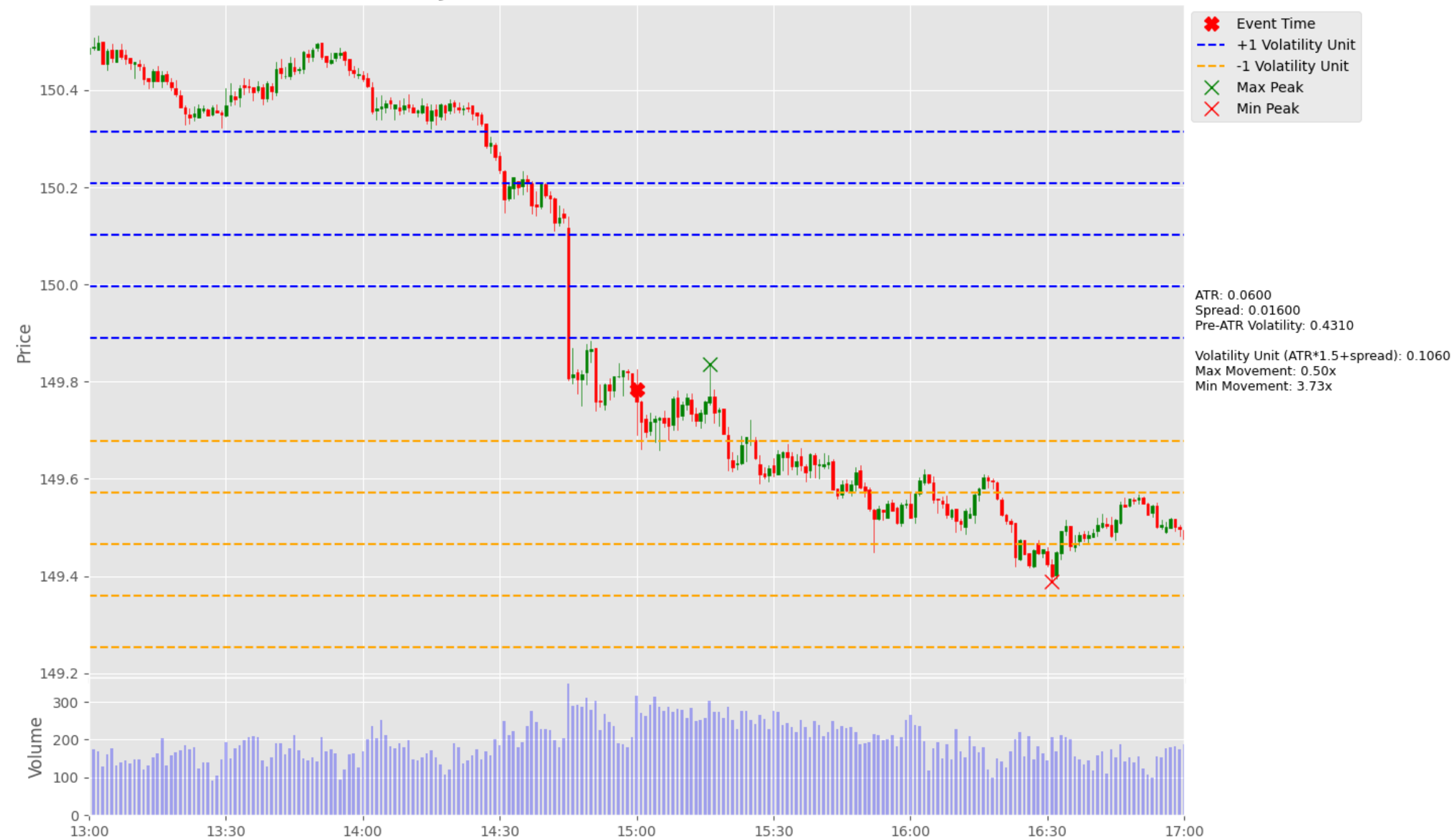
- Event Time
- +1 Volatility Unit
- 1 Volatility Unit
- Max Peak
- Min Peak

ATR: 0.0604
Spread: 0.01400
Pre-ATR Volatility: 0.3600
Volatility Unit (ATR*1.5+spread): 0.1045
Max Movement: 0.82x
Min Movement: 7.01x



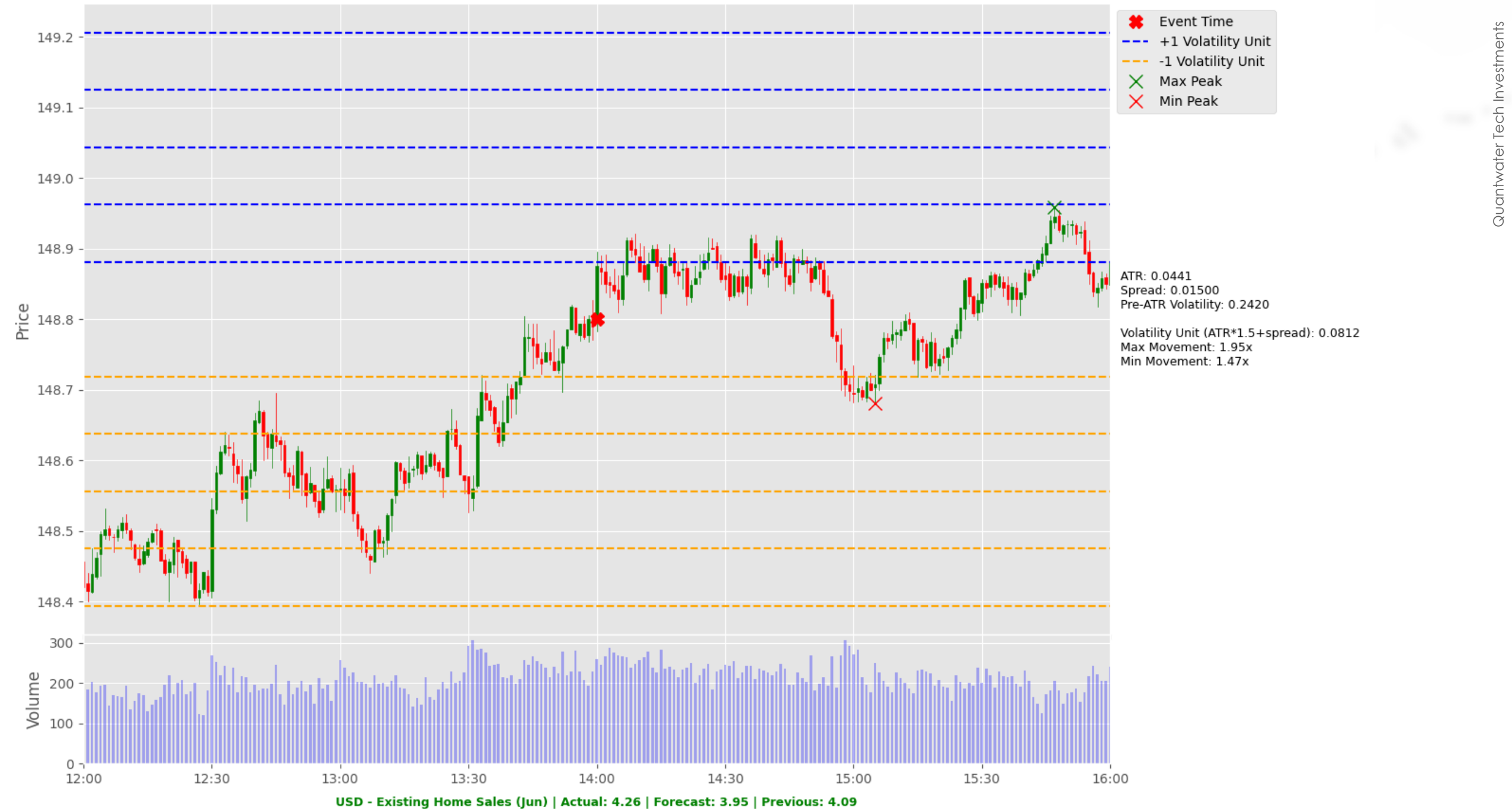
USD - Existing Home Sales (Jun) | Actual: 4.24 | Forecast: 4.19 | Previous: 4.15

C:USDJPY Price Action - 2025-02-21 15:00 GMT



USD - Existing Home Sales (Jun) | Actual: 4.08 | Forecast: 4.13 | Previous: 4.29

C:USDJPY Price Action - 2025-03-20 14:00 GMT



C:USDJPY Price Action - 2025-04-24 14:00 GMT



USD - Existing Home Sales (Jun) | Actual: 4.02 | Forecast: 4.14 | Previous: 4.27

C:USDJPY Price Action - 2025-05-22 14:00 GMT

- ✖ Event Time
- - - +1 Volatility Unit
- - - -1 Volatility Unit
- ✕ Max Peak
- ✕ Min Peak

ATR: 0.0569
Spread: 0.01500
Pre-ATR Volatility: 0.3340

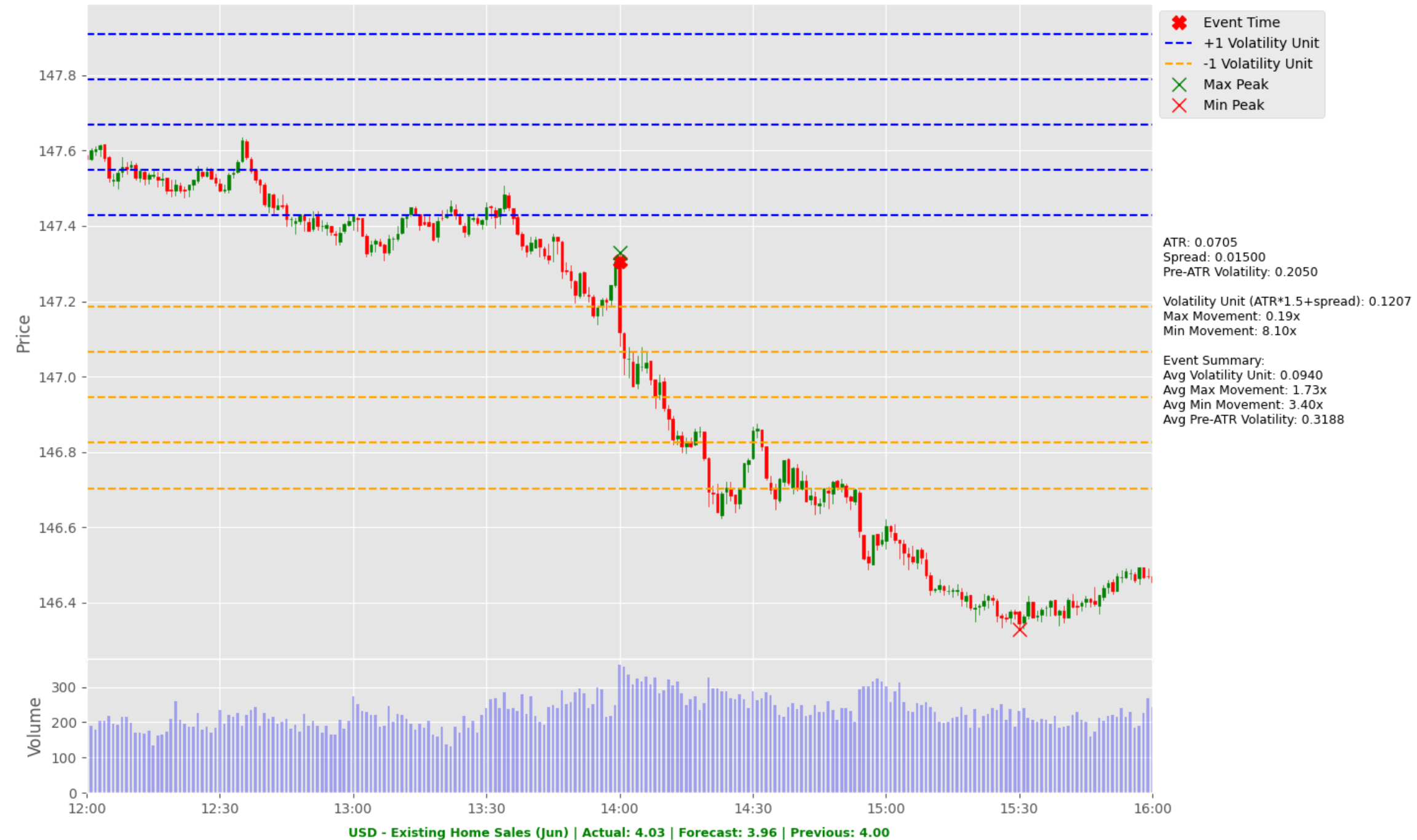
Volatility Unit (ATR*1.5+spread): 0.1004
Max Movement: 1.78x
Min Movement: 1.95x

Price

Volume

USD - Existing Home Sales (Jun) | Actual: 4.00 | Forecast: 4.15 | Previous: 4.02

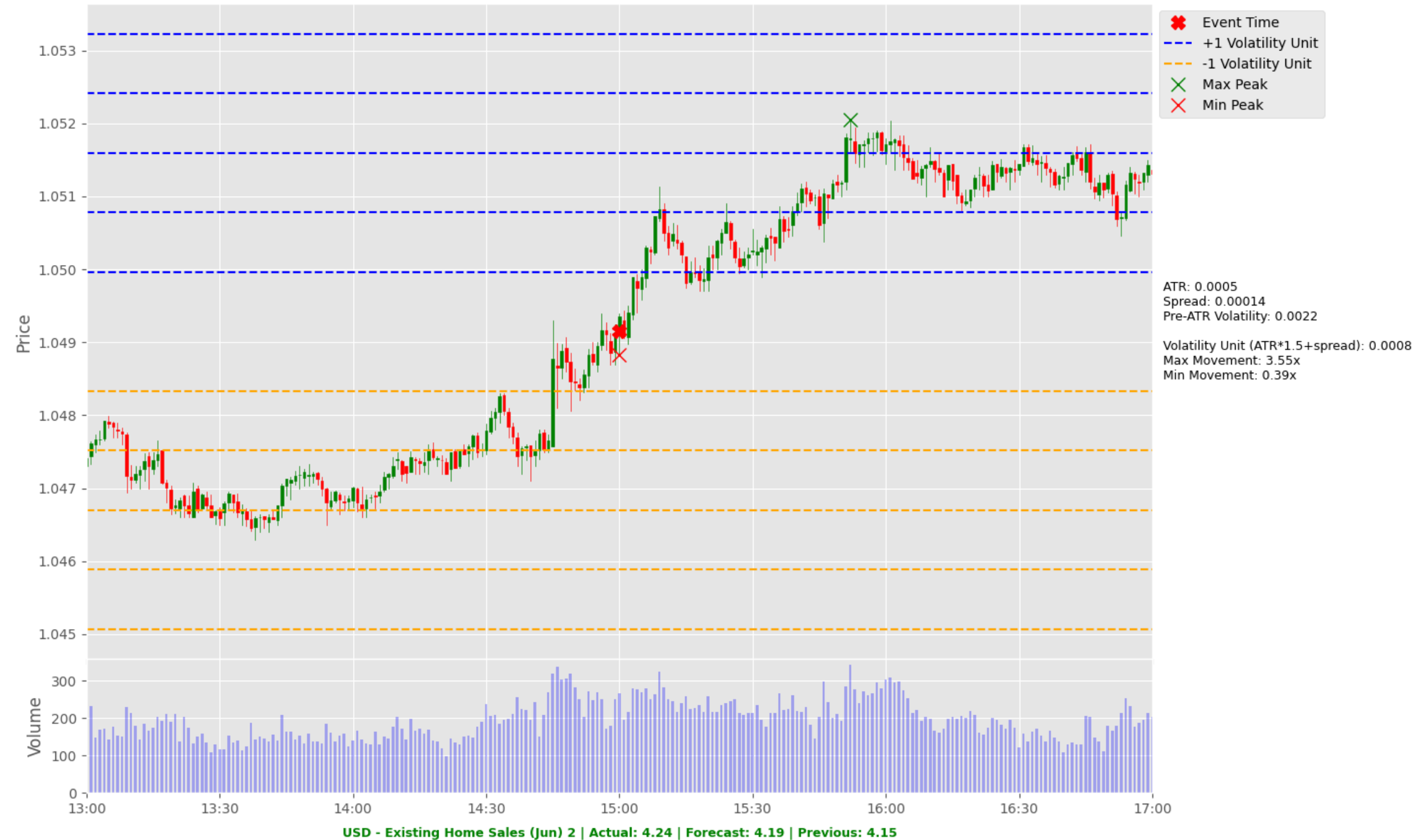
C:USDJPY Price Action - 2025-06-23 14:00 GMT



USD – Existing Home Sales (Jun)
EURUSD



C:EURUSD Price Action - 2025-01-24 15:00 GMT



C:EURUSD Price Action - 2025-02-21 15:00 GMT

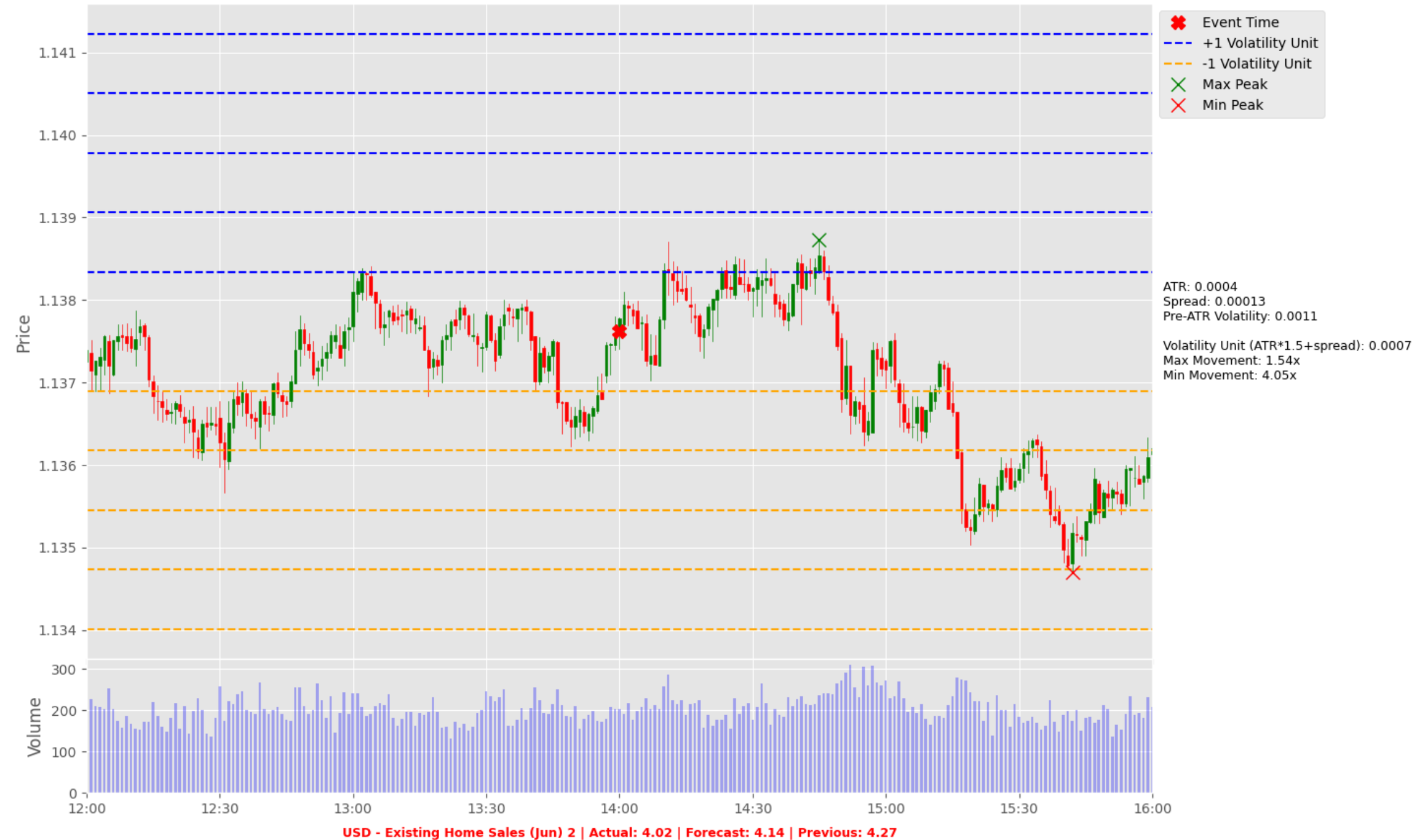


USD - Existing Home Sales (Jun) 2 | Actual: 4.08 | Forecast: 4.13 | Previous: 4.29

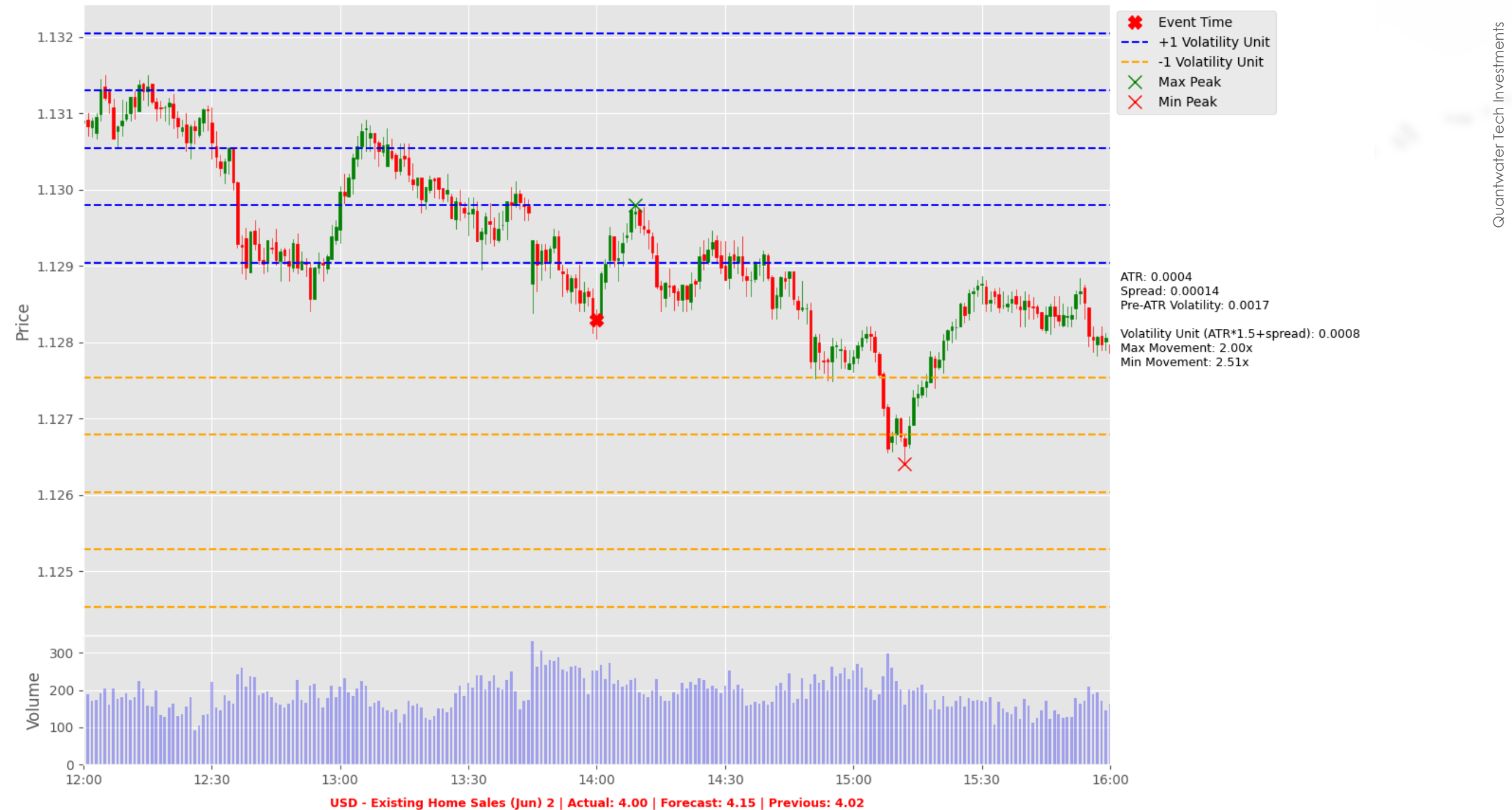
C:EURUSD Price Action - 2025-03-20 14:00 GMT



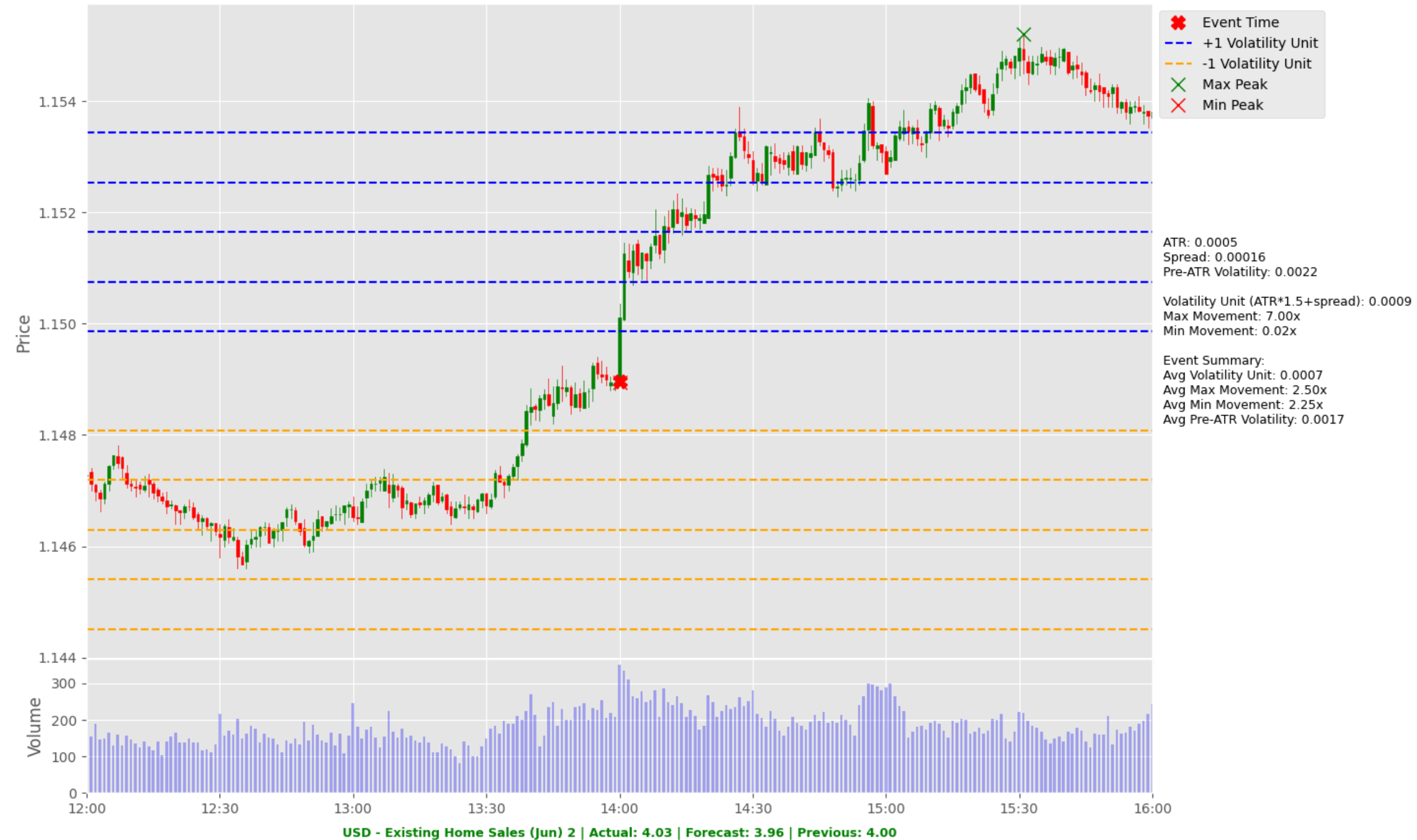
C:EURUSD Price Action - 2025-04-24 14:00 GMT



C:EURUSD Price Action - 2025-05-22 14:00 GMT



C:EURUSD Price Action - 2025-06-23 14:00 GMT



USD - Crude Oil Inventories



USD - Crude Oil Inventories

Event	USD - Crude Oil Inventories			Description
Actual:				The Energy Information Administration's (EIA) Crude Oil Inventories measures the weekly change in the number of barrels of commercial crude oil held by US firms. The level of inventories influences the price of petroleum products, which can have an impact on inflation. If the increase in crude inventories is more than expected, it implies weaker demand and is bearish for crude prices. The same can be said if a decline in inventories is less than expected. If the increase in crude is less than expected, it implies greater demand and is bullish for crude prices. The same can be said if a decline in inventories is more than expected. Learn More: USOILRoll
Forecast:				
Previous:	-3.859M			
Time (GMT):	14:30			
Release Date	Actual	Forecast	Previous	
16-Jul-25	-3.85	-1.80	7.070	
09-Jul-25	7.070	-1.70	3.845	
02-Jul-25	3.845	-3.50	-5.83	
25-Jun-25	-5.83	-1.20	-11.4	
18-Jun-25	-11.4	-2.30	-3.64	
11-Jun-25	-3.64	-2.40	-4.30	

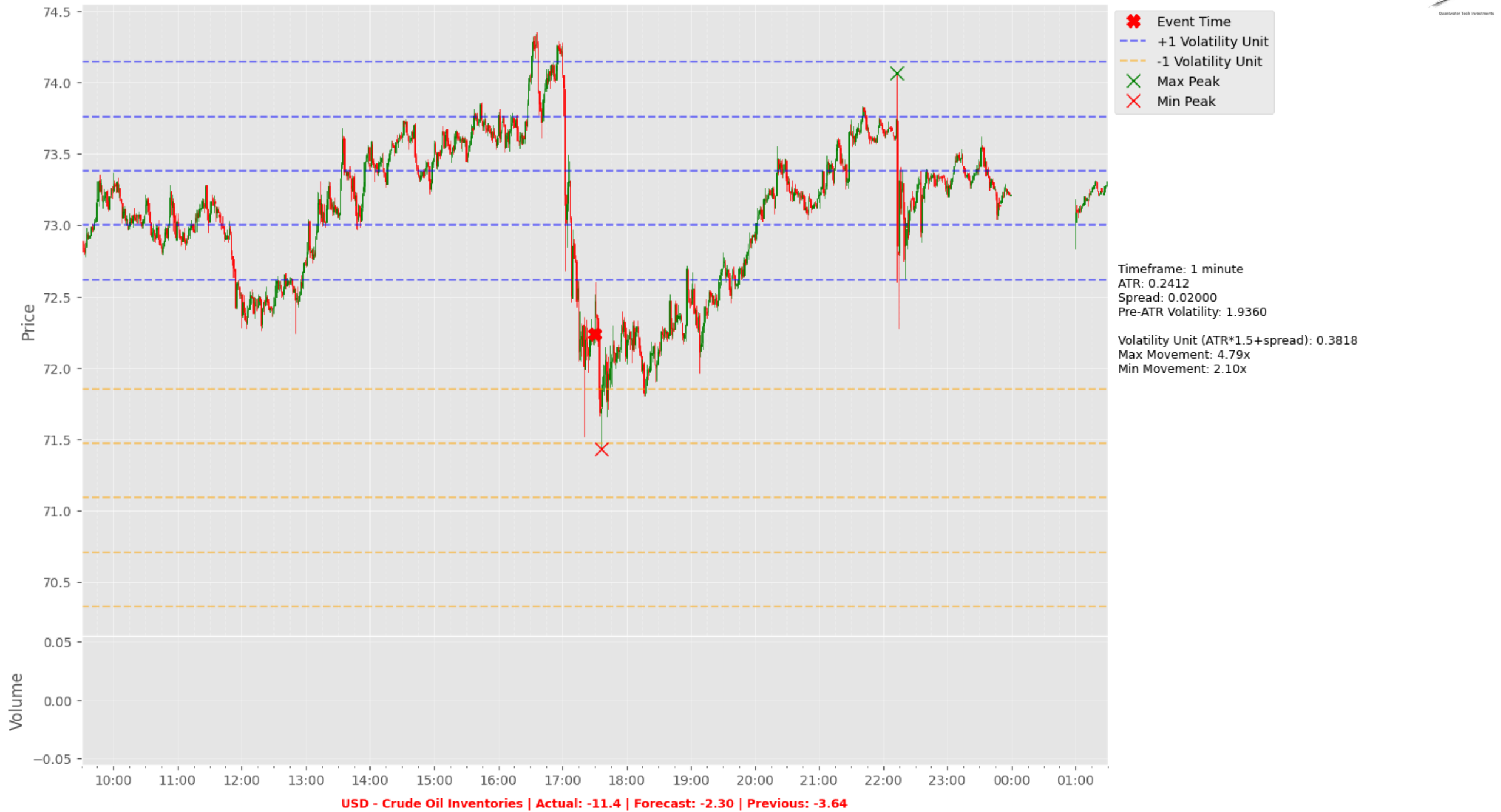
USD - Crude Oil Inventories
USOILRoll



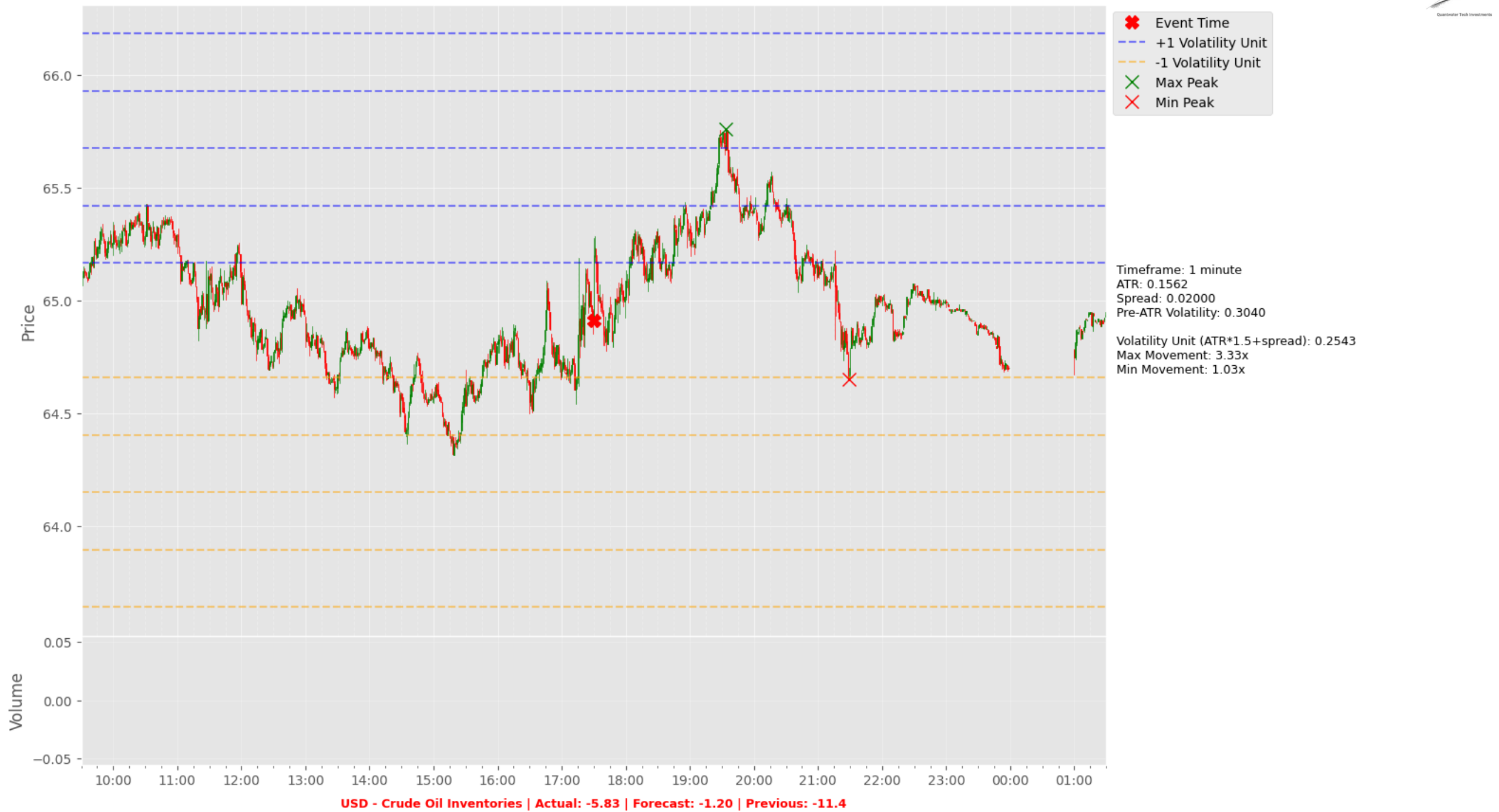
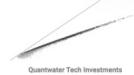
USOILRoll Price Action - 2025-06-11 17:30 GMT



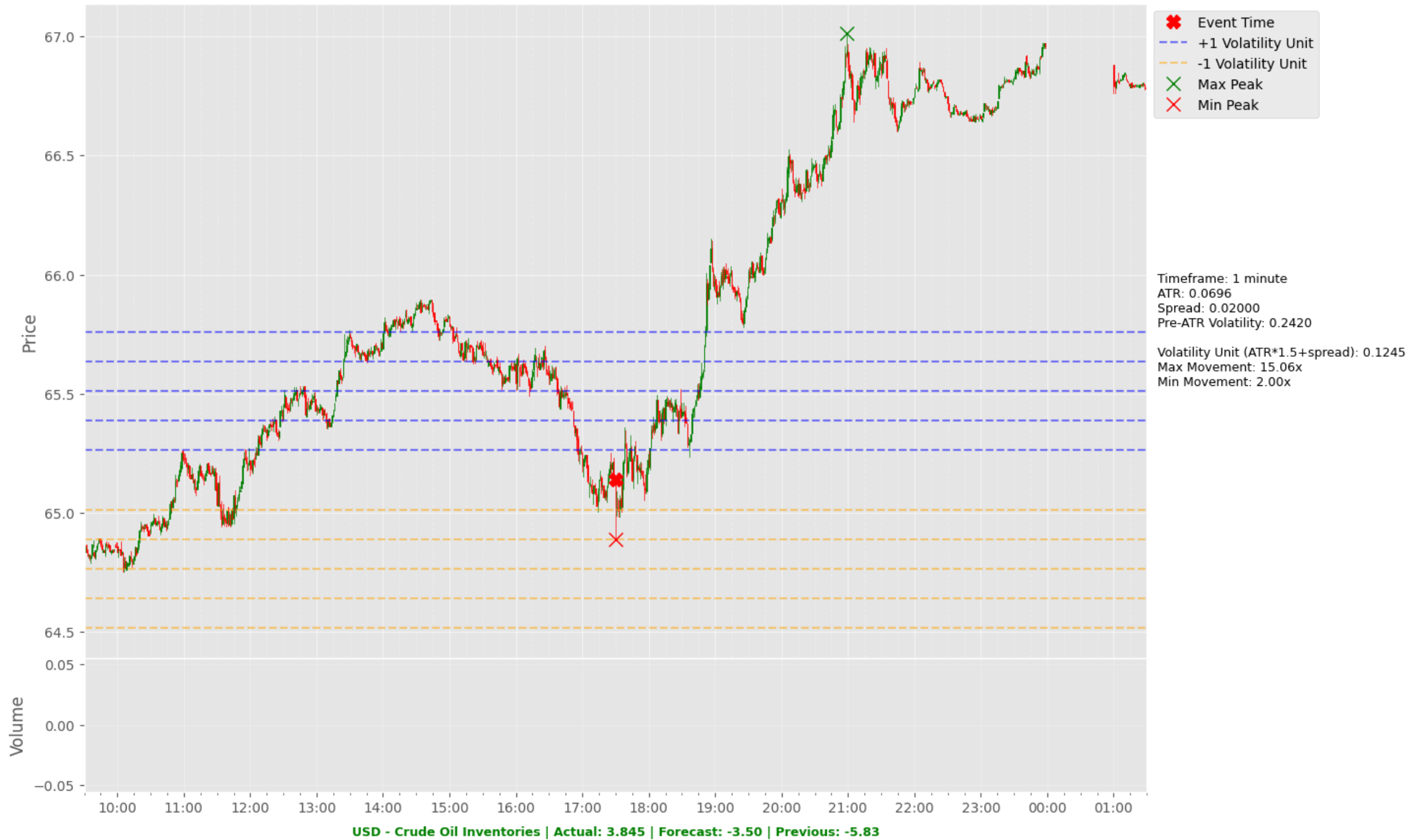
USOILRoll Price Action - 2025-06-18 17:30 GMT



USOILRoll Price Action - 2025-06-25 17:30 GMT



USOILRoll Price Action - 2025-07-02 17:30 GMT



USOILRoll Price Action - 2025-07-09 17:30 GMT



USOILRoll Price Action - 2025-07-16 17:30 GMT



EUR - Deposit Facility Rate (Jul)



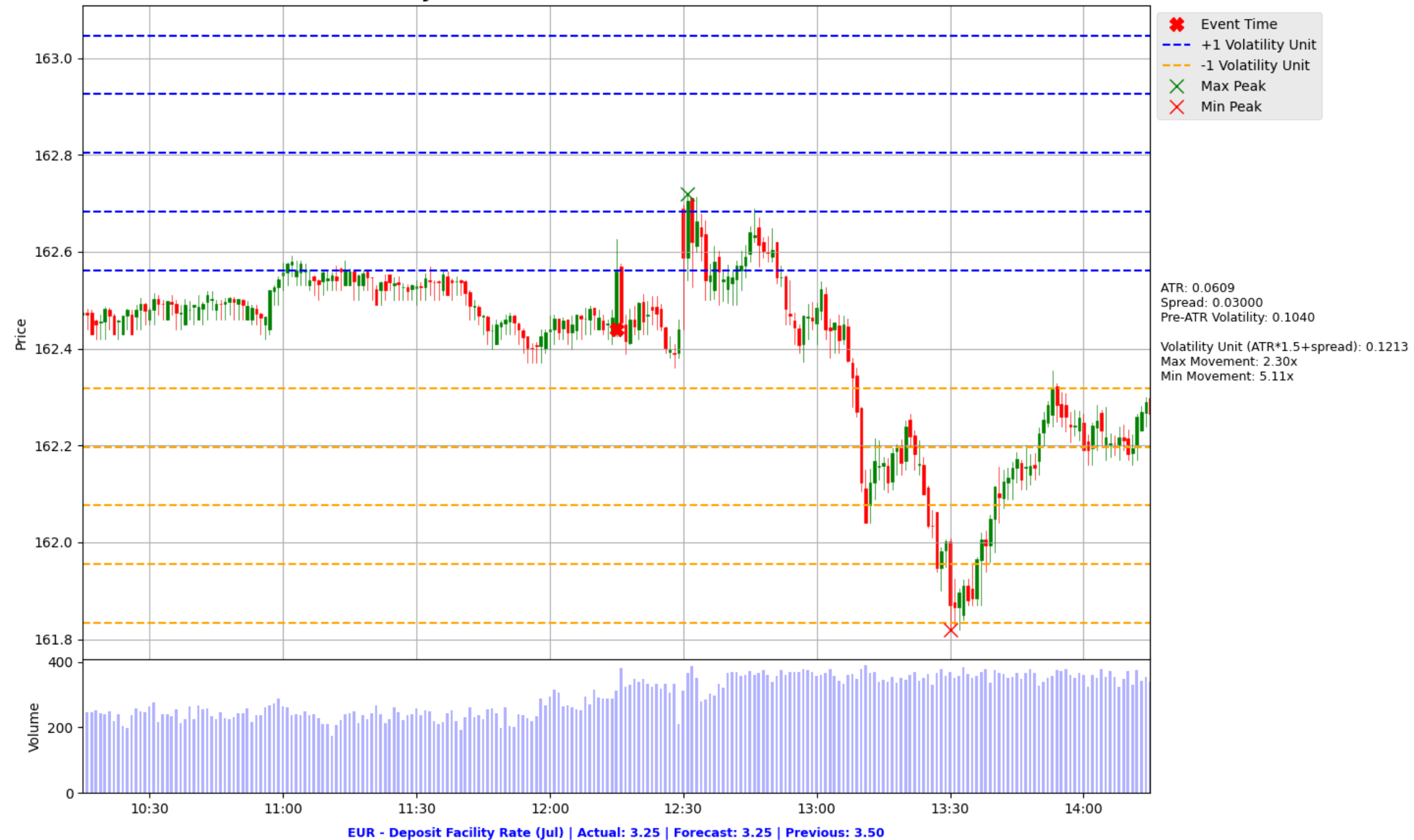
EUR - Deposit Facility Rate (Jul)

Event	EUR - Deposit Facility Rate (Jul)			Description
Actual:				The deposit facility is the rate which banks may use to make overnight deposits with the Eurosystem. Learn More: EURUSD USDJPY
Forecast:				
Previous:	2.00%			
Time (GMT):	12:15			
Release Date	Actual	Forecast	Previous	
05-Jun-25	2.00%	2.00%	2.25%	
17-Apr-25	2.25%	2.25%	2.50%	
06-Mar-25	2.50%	2.50%	2.75%	
30-Jan-25	2.75%	2.75%	3.00%	
12-Dec-24	3.00%	3.00%	3.25%	
17-Oct-24	3.25%	3.25%	3.50%	

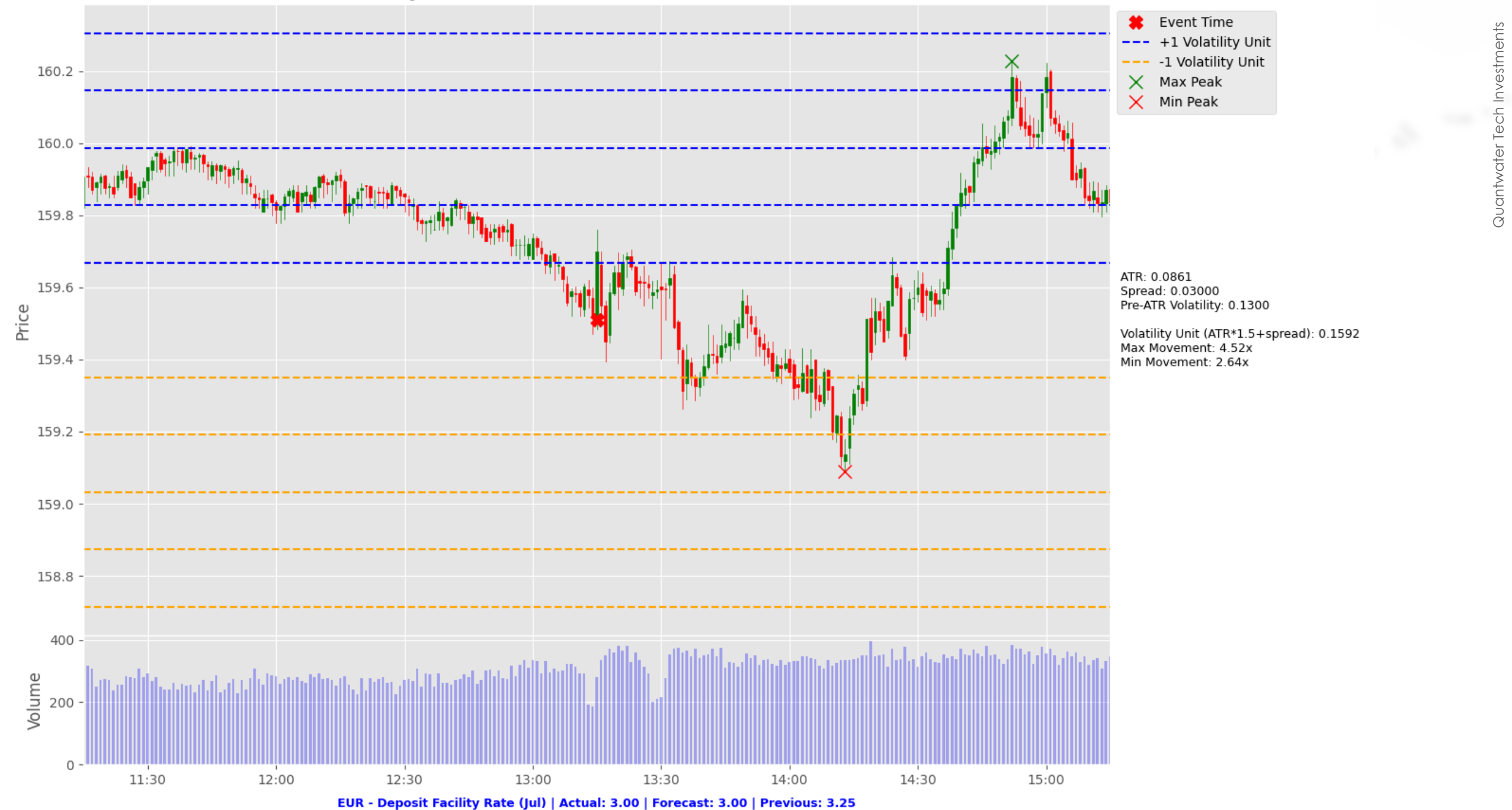
EUR - Deposit Facility Rate (Jul)
EURJPY



C:EURJPY Price Action - 2024-10-17 12:15 GMT



C:EURJPY Price Action - 2024-12-12 13:15 GMT



C:EURJPY Price Action - 2025-01-30 13:15 GMT



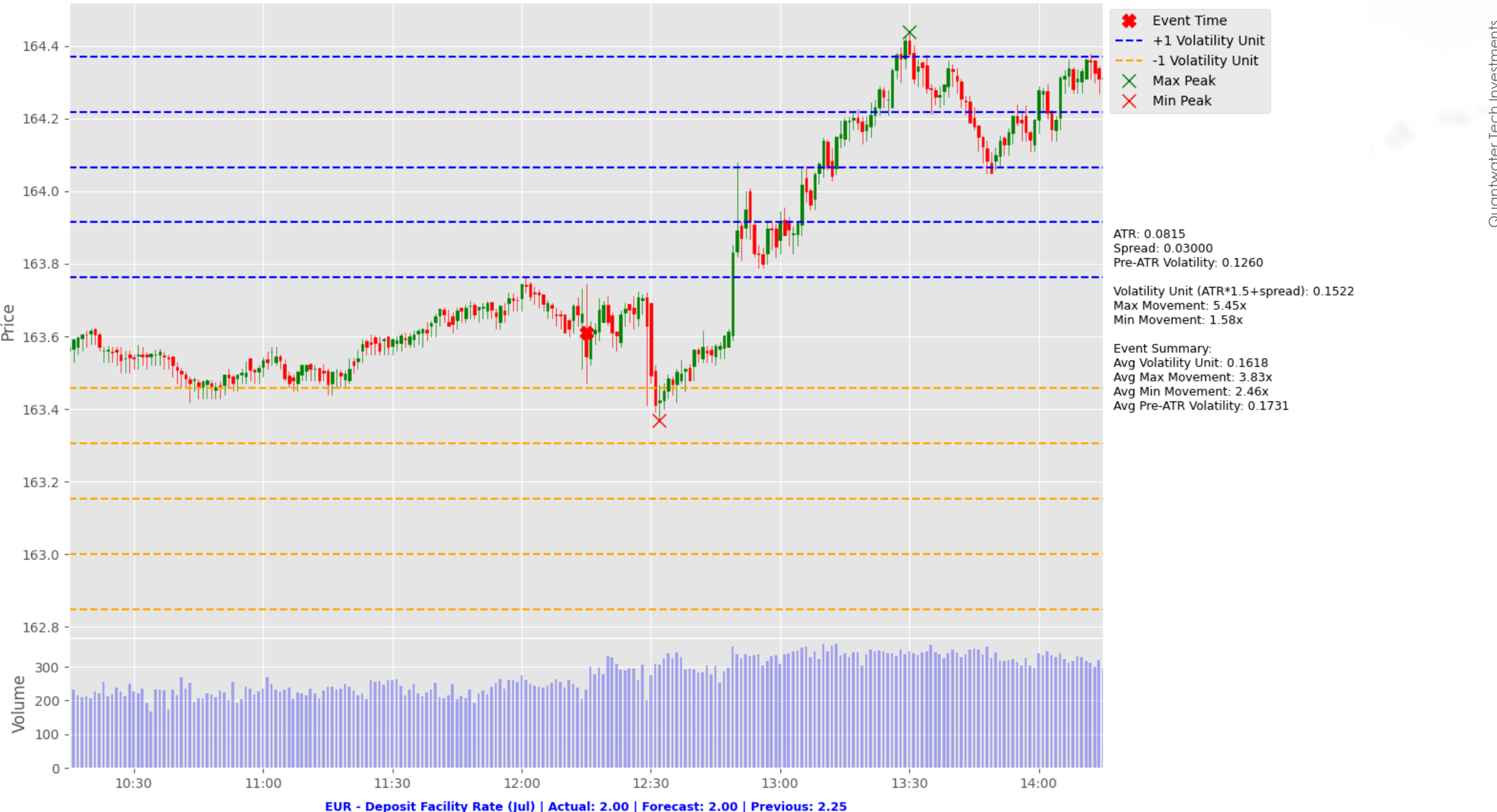
C:EURJPY Price Action - 2025-03-06 13:15 GMT



C:EURJPY Price Action - 2025-04-17 12:15 GMT



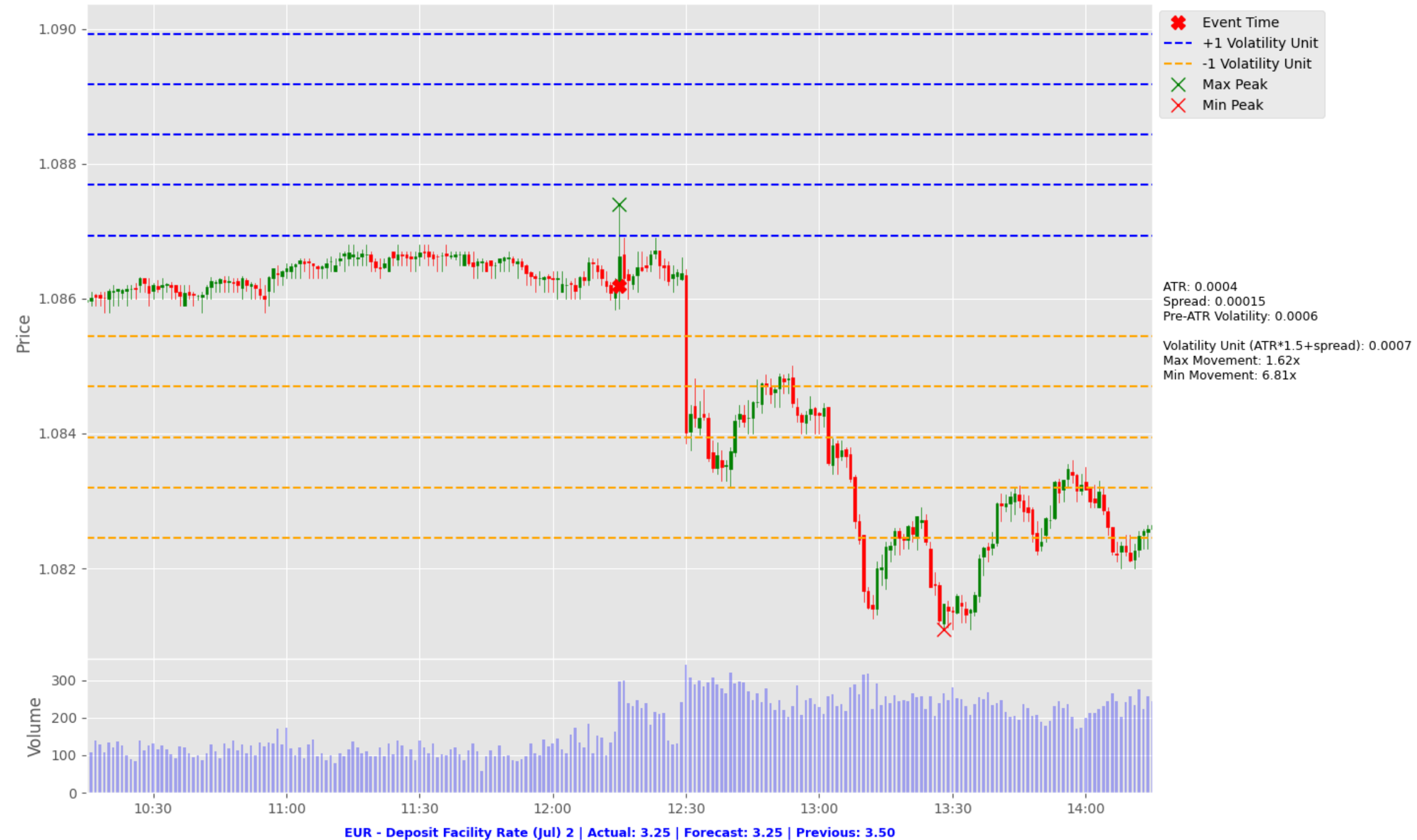
C:EURJPY Price Action - 2025-06-05 12:15 GMT



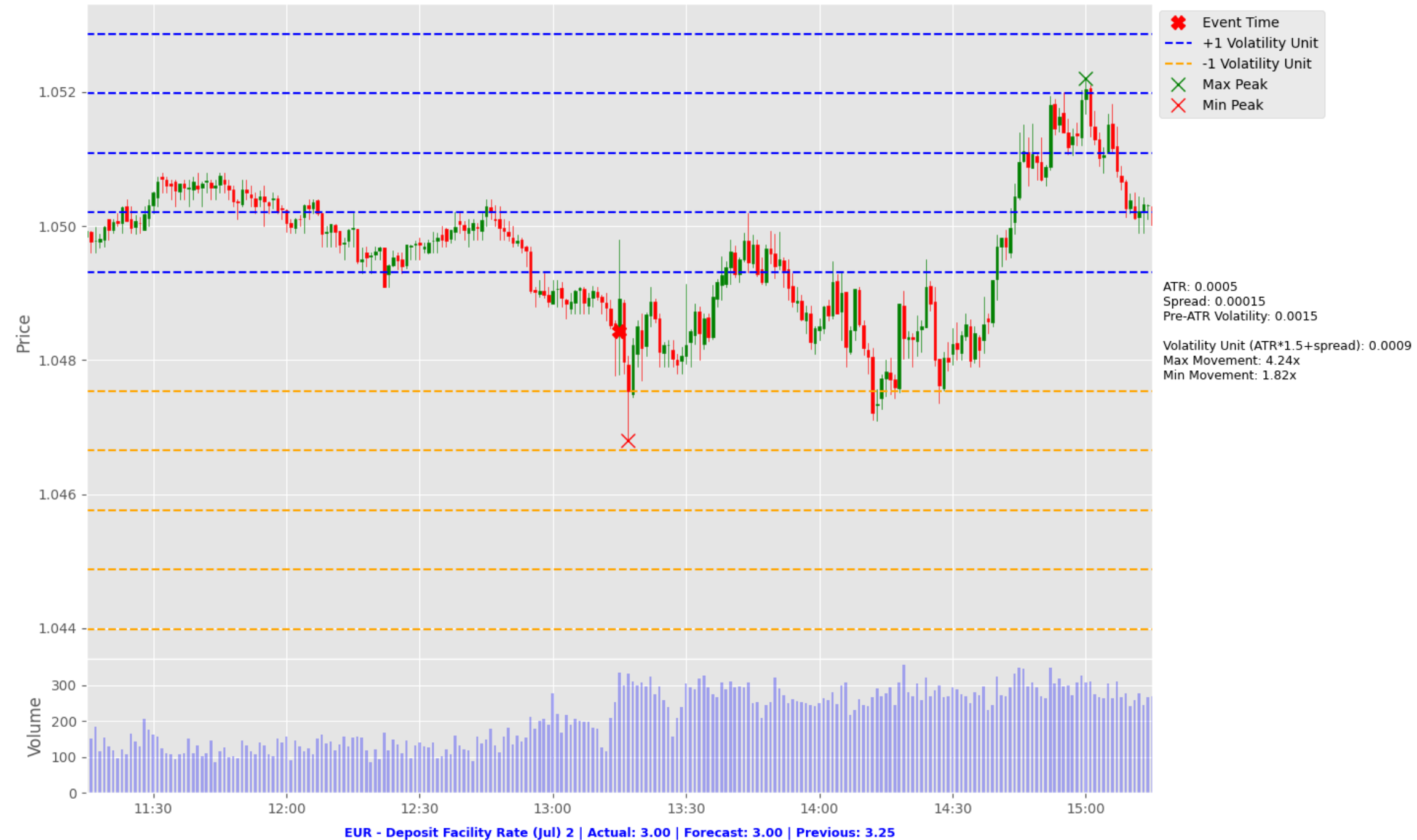
EUR - Deposit Facility Rate (Jul)
EURUSD



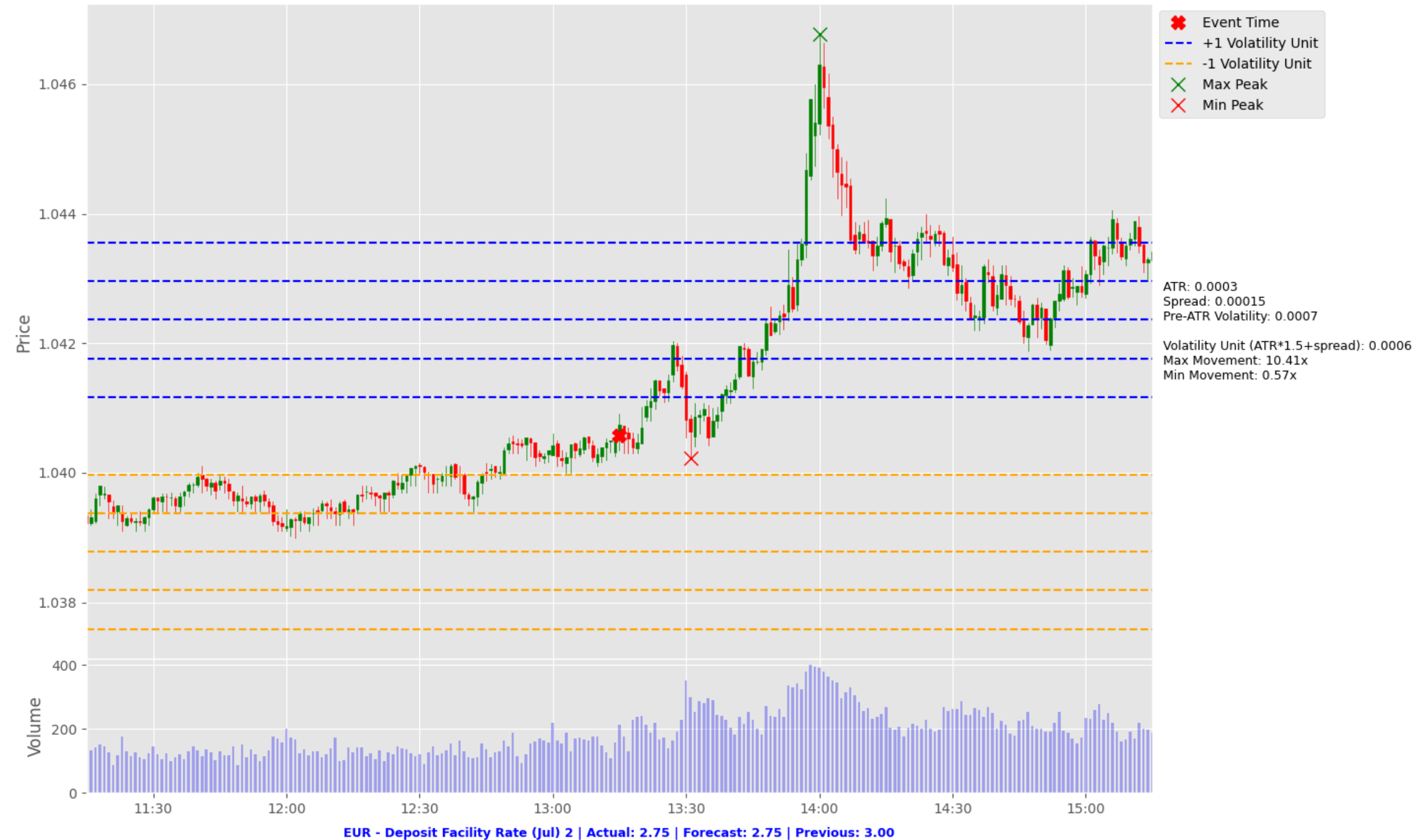
C:EURUSD Price Action - 2024-10-17 12:15 GMT



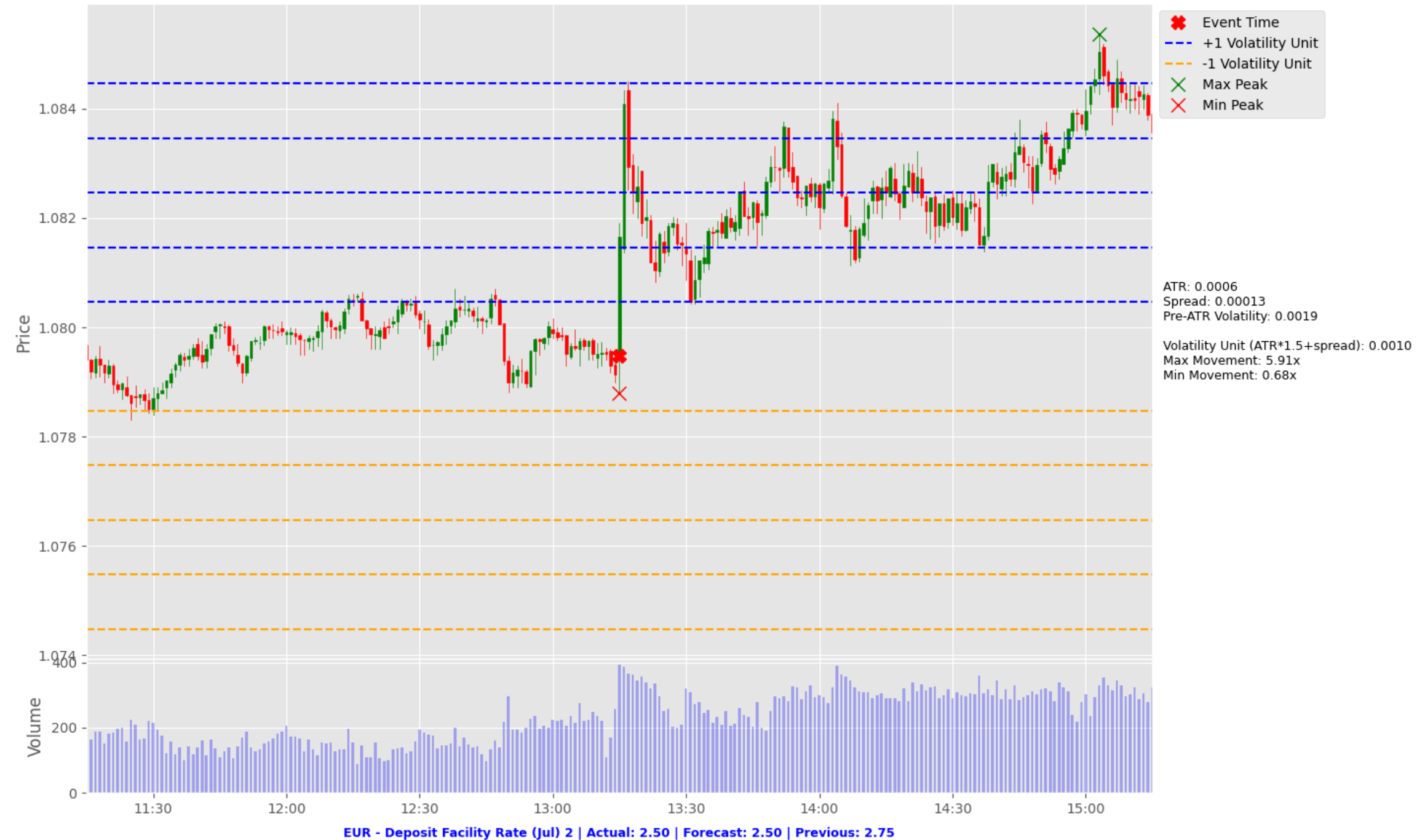
C:EURUSD Price Action - 2024-12-12 13:15 GMT



C:EURUSD Price Action - 2025-01-30 13:15 GMT



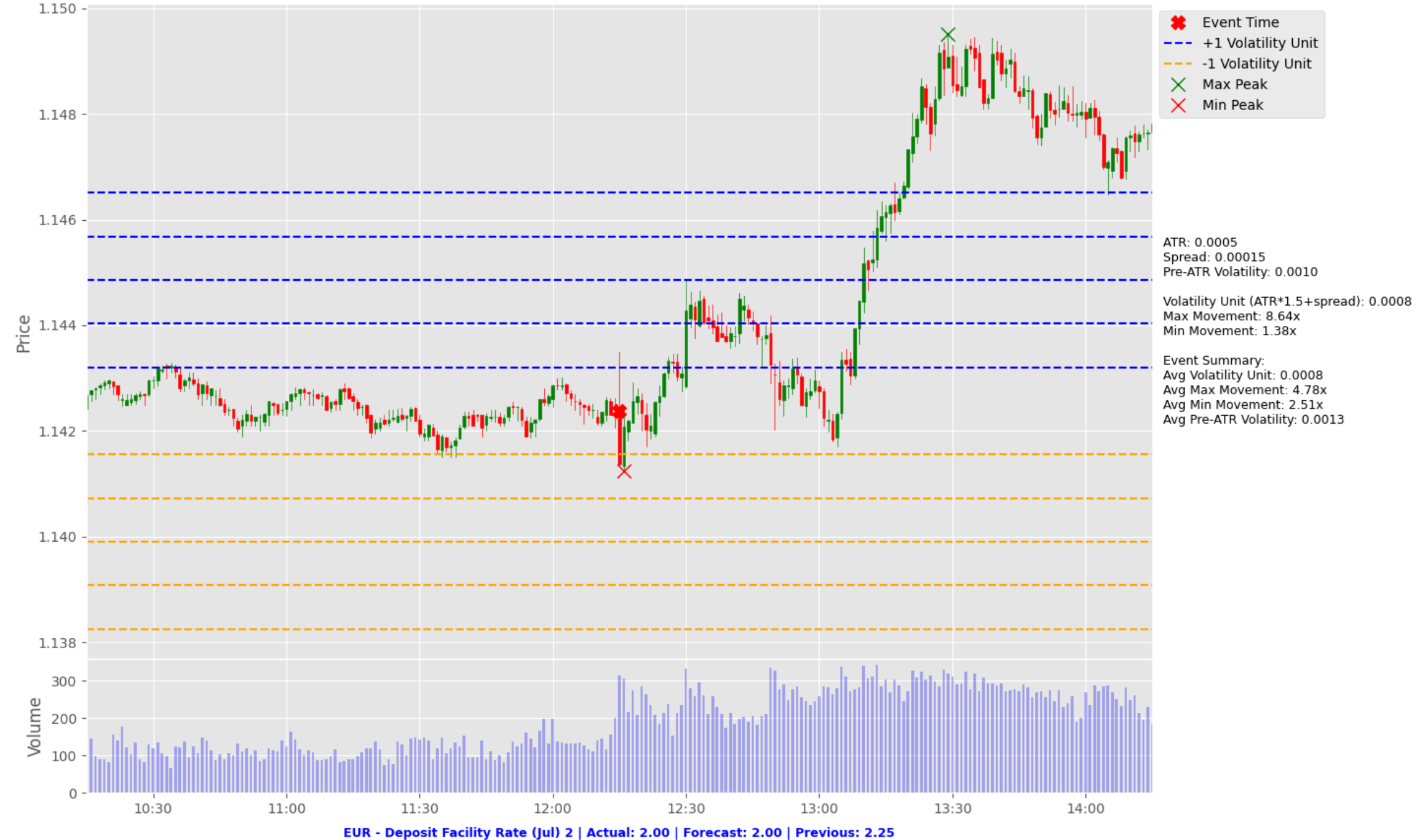
C:EURUSD Price Action - 2025-03-06 13:15 GMT



C:EURUSD Price Action - 2025-04-17 12:15 GMT



C:EURUSD Price Action - 2025-06-05 12:15 GMT



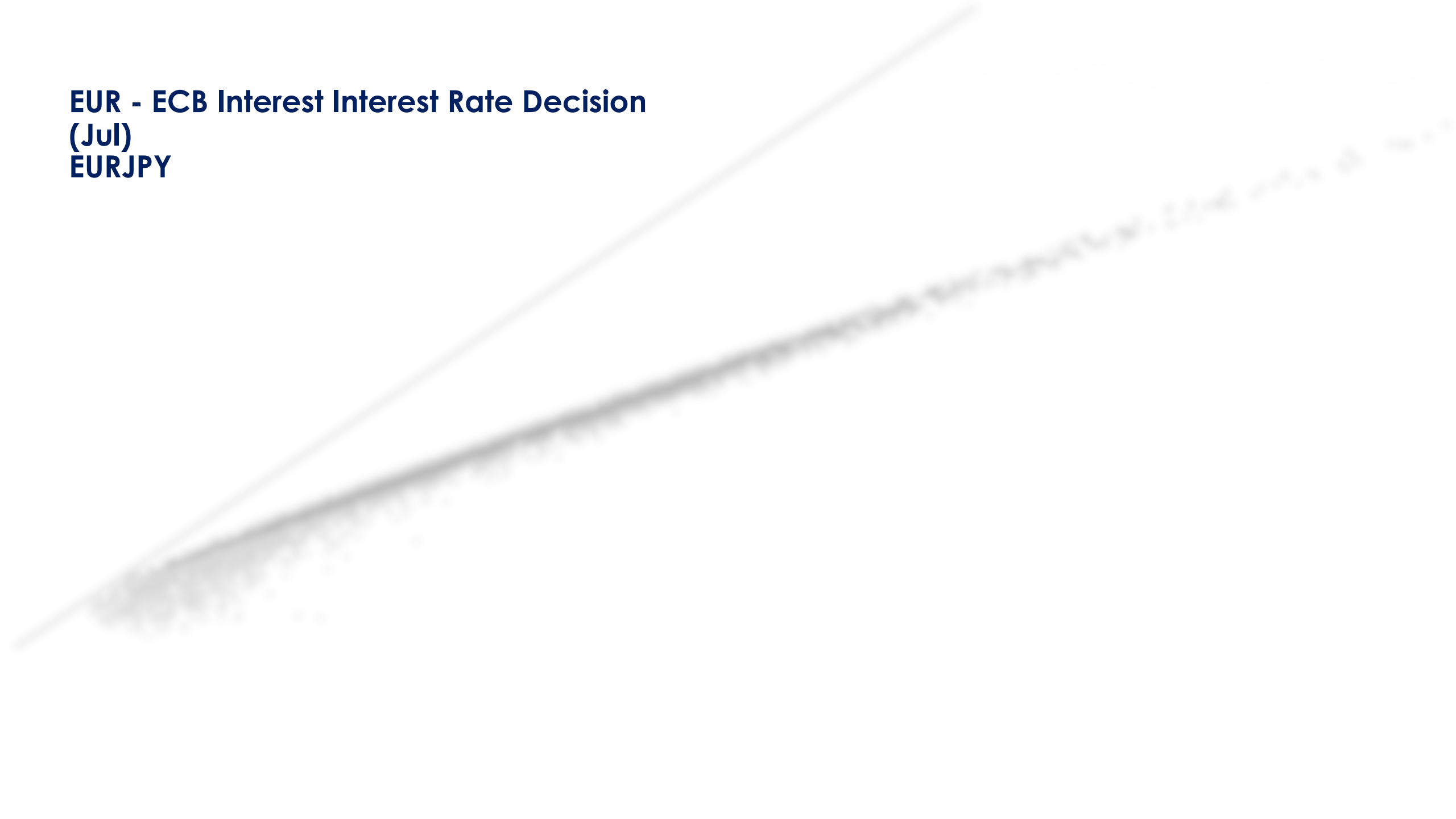
**EUR - ECB Interest Interest Rate Decision
(Jul)**



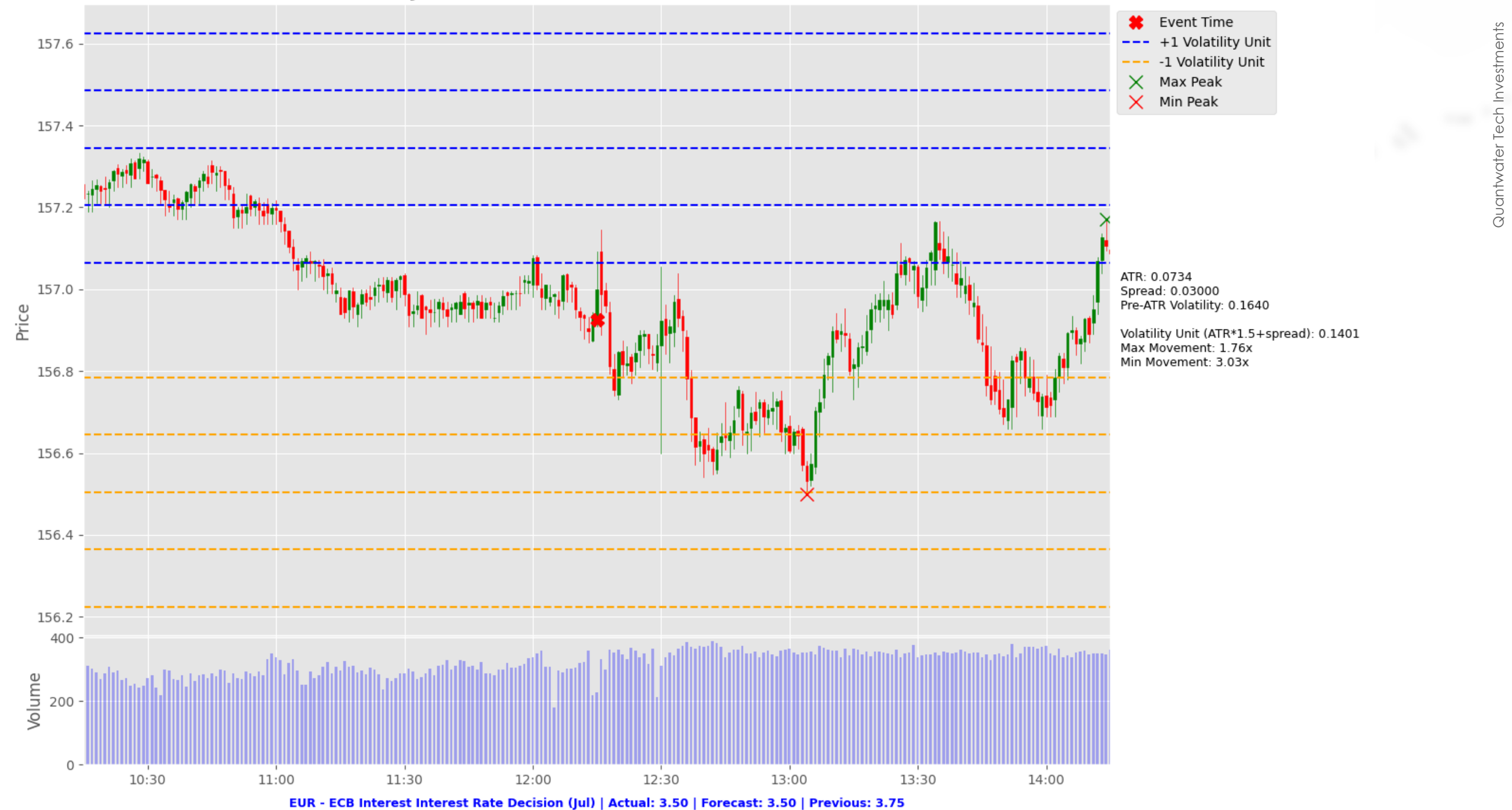
EUR - ECB Interest Interest Rate Decision (Jul)

Event	EUR - ECB Interest Interest Rate Decision (Jul)			Description
Actual:				Existing Home Sales measures the change in the annualised number of existing residential buildings that were sold during the prior month. This report helps to gauge the strength of the U.S. housing market and is an important indicator of overall economic strength. A reading that is stronger than forecast is generally supportive (bullish) for the USD, while a weaker than forecast reading is generally negative (bearish) for the USD. Learn More: USDJPY EURUSD
Forecast:				
Previous:	2.15%			
Time (GMT):	12:15			
Release Date	Actual	Forecast	Previous	
05-Jun-25	2.15%	2.15%	2.40%	
17-Apr-25	2.40%	2.40%	2.65%	
06-Mar-25	2.65%	2.65%	2.90%	
30-Jan-25	2.90%	2.90%	3.15%	
12-Dec-24	3.15%	3.15%	3.40%	
12-Sep-24	3.50%	3.50%	3.75%	

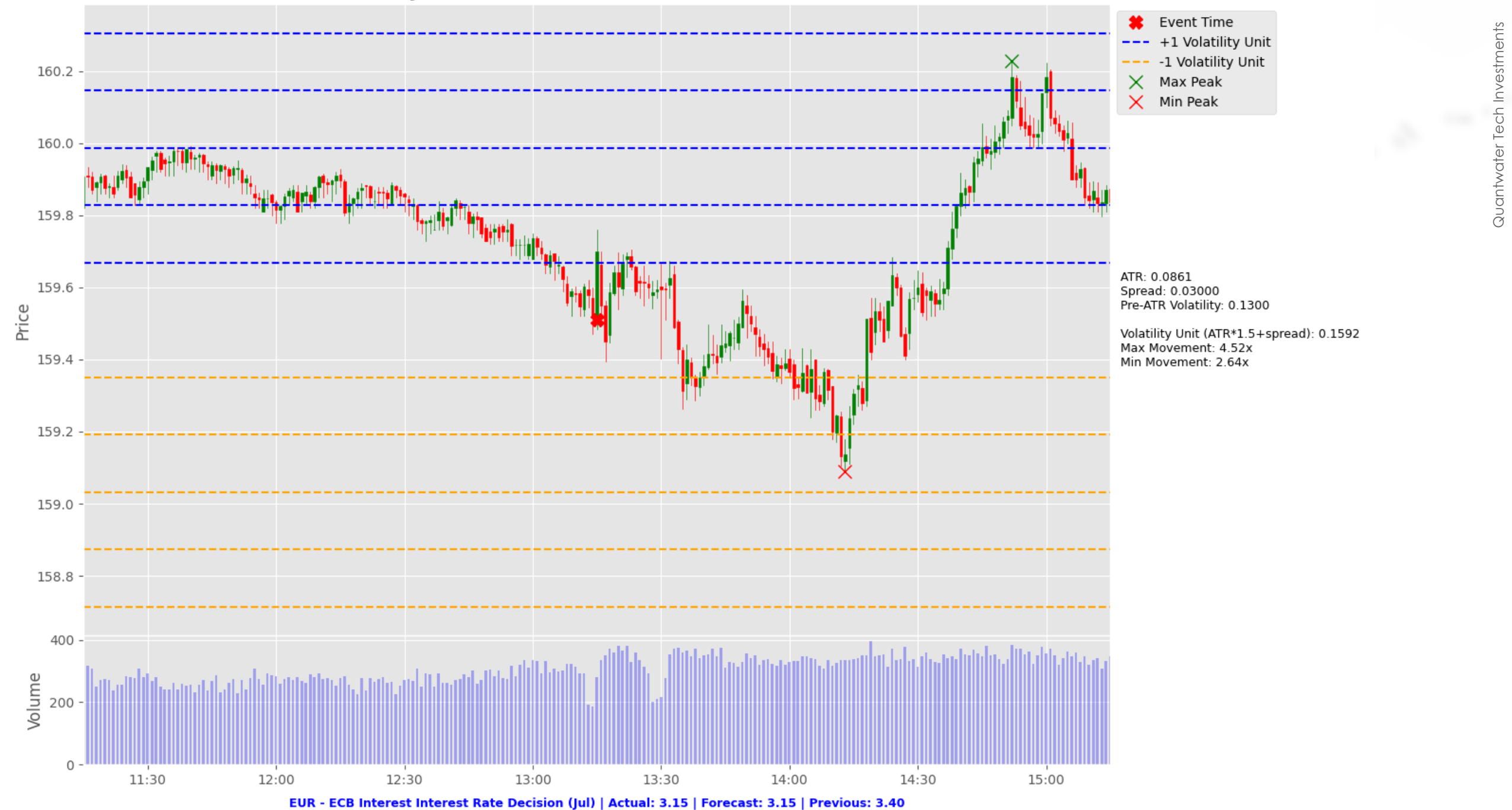
EUR - ECB Interest Interest Rate Decision
(Jul)
EURJPY



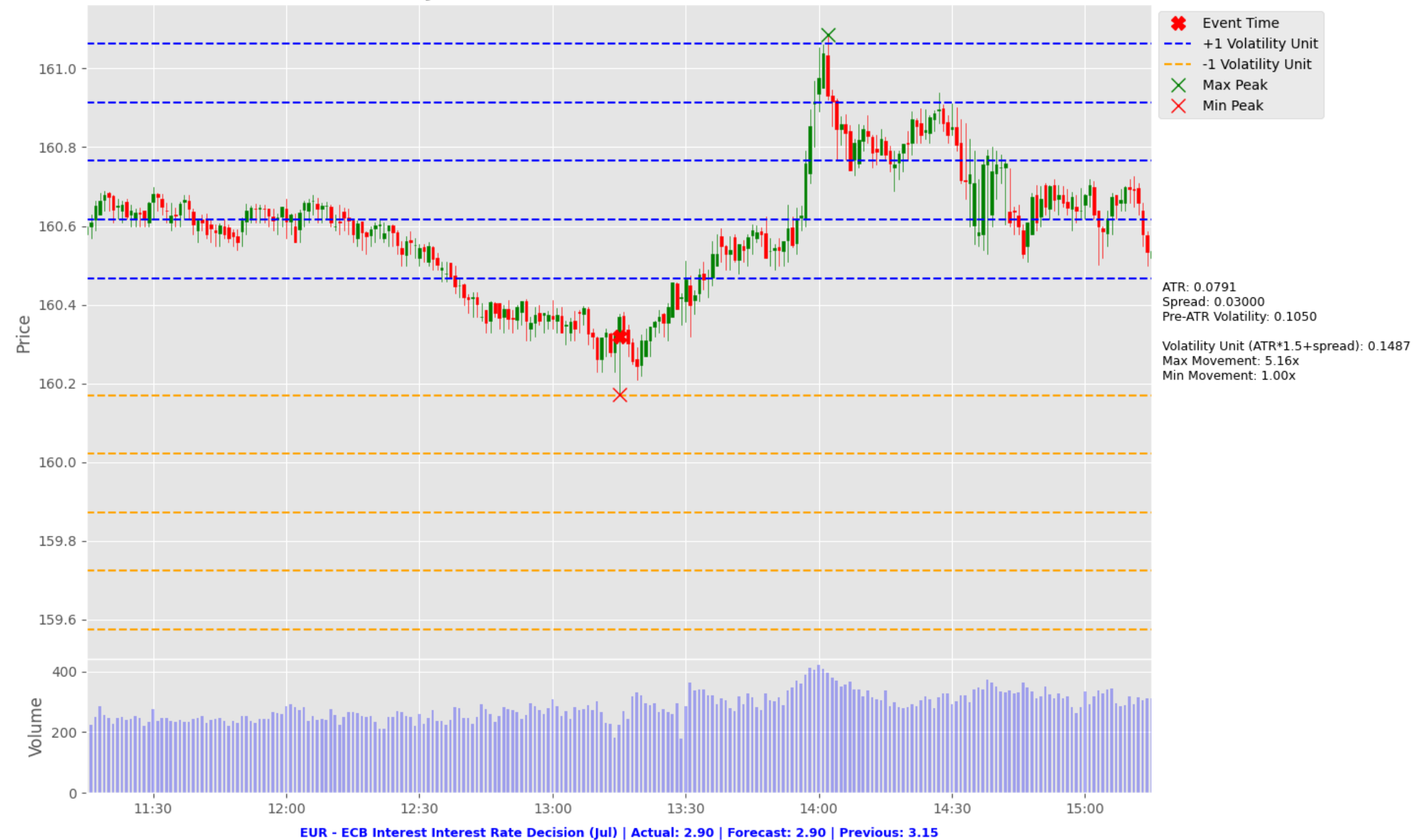
C:EURJPY Price Action - 2024-09-12 12:15 GMT



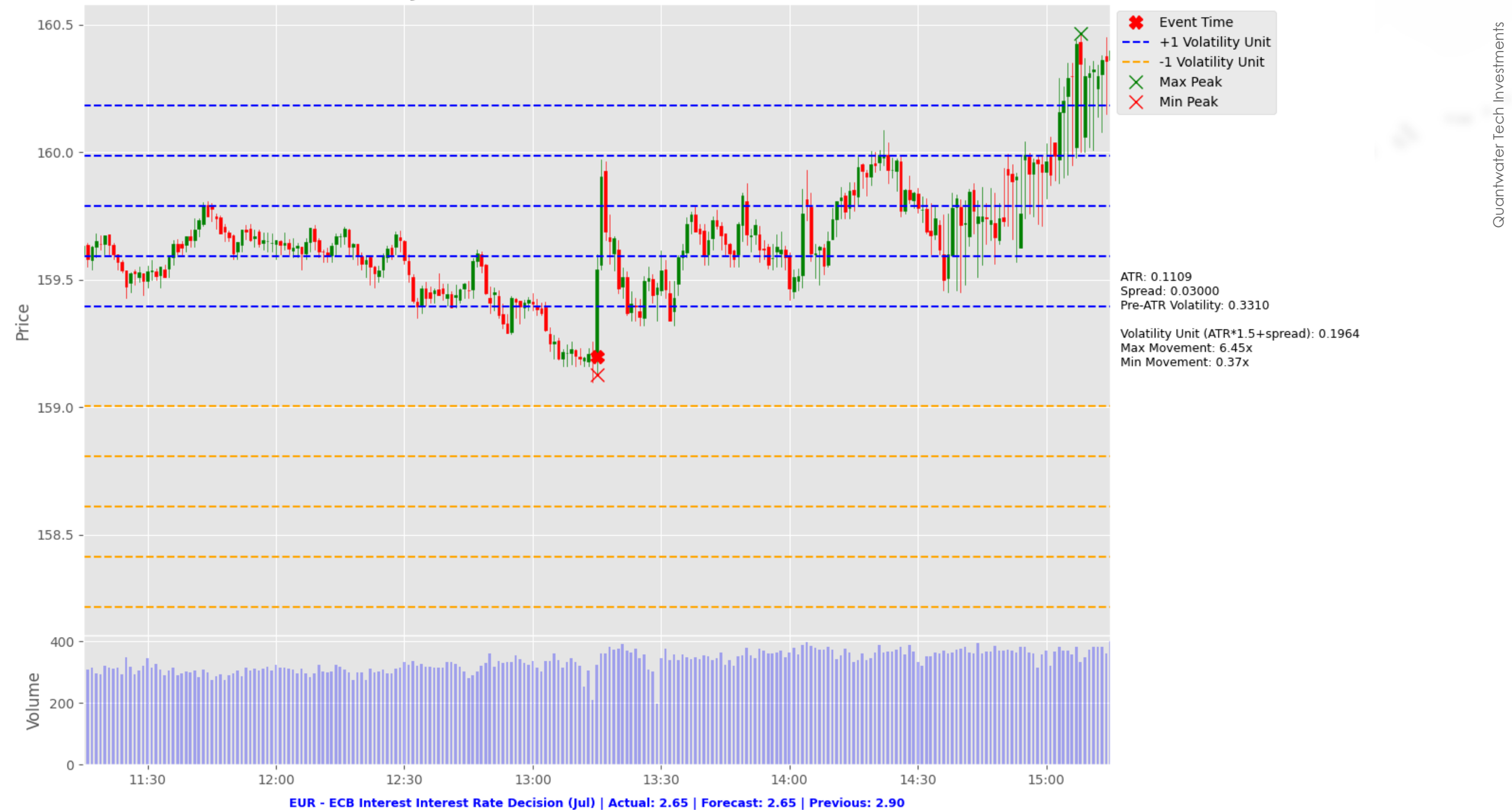
C:EURJPY Price Action - 2024-12-12 13:15 GMT



C:EURJPY Price Action - 2025-01-30 13:15 GMT



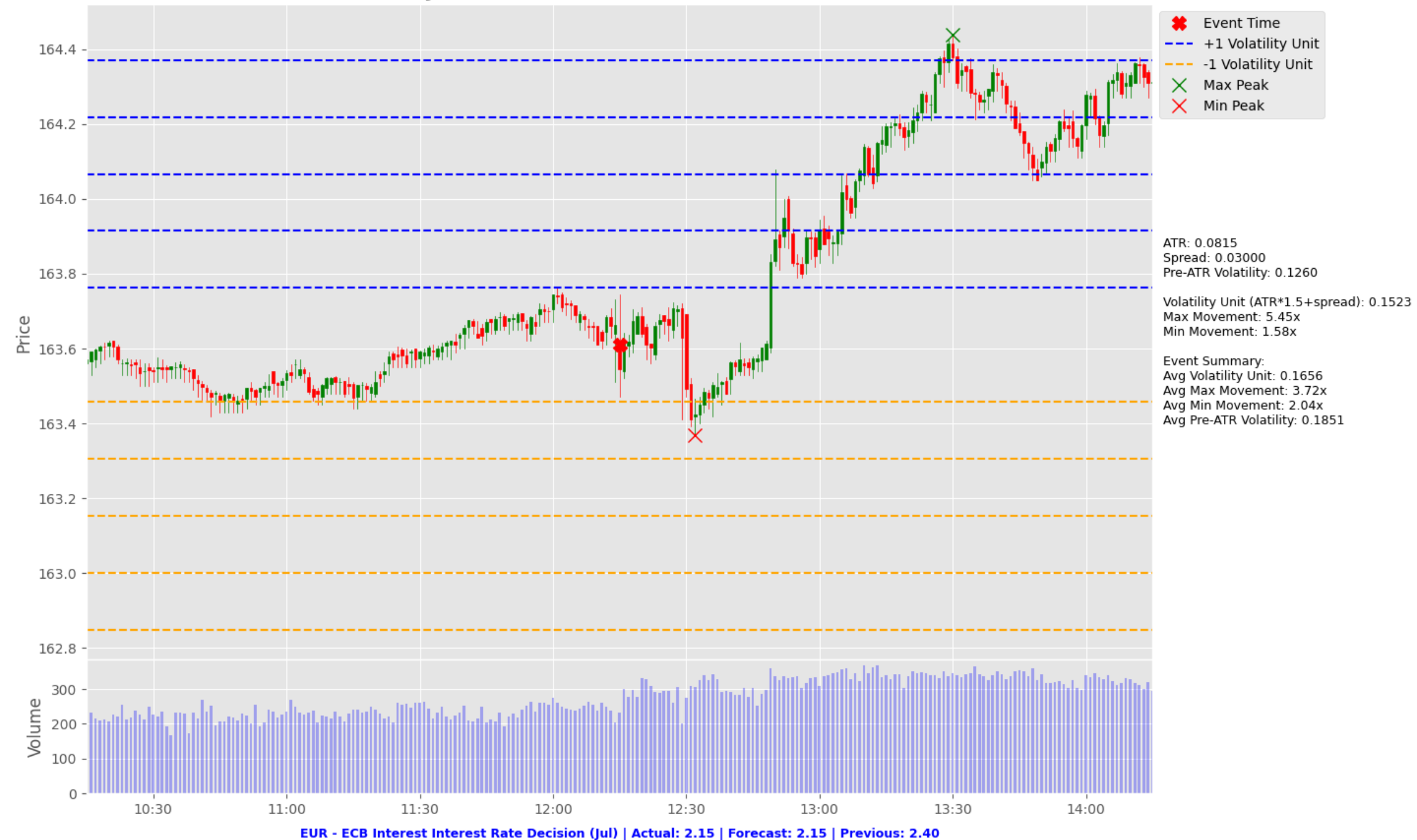
C:EURJPY Price Action - 2025-03-06 13:15 GMT



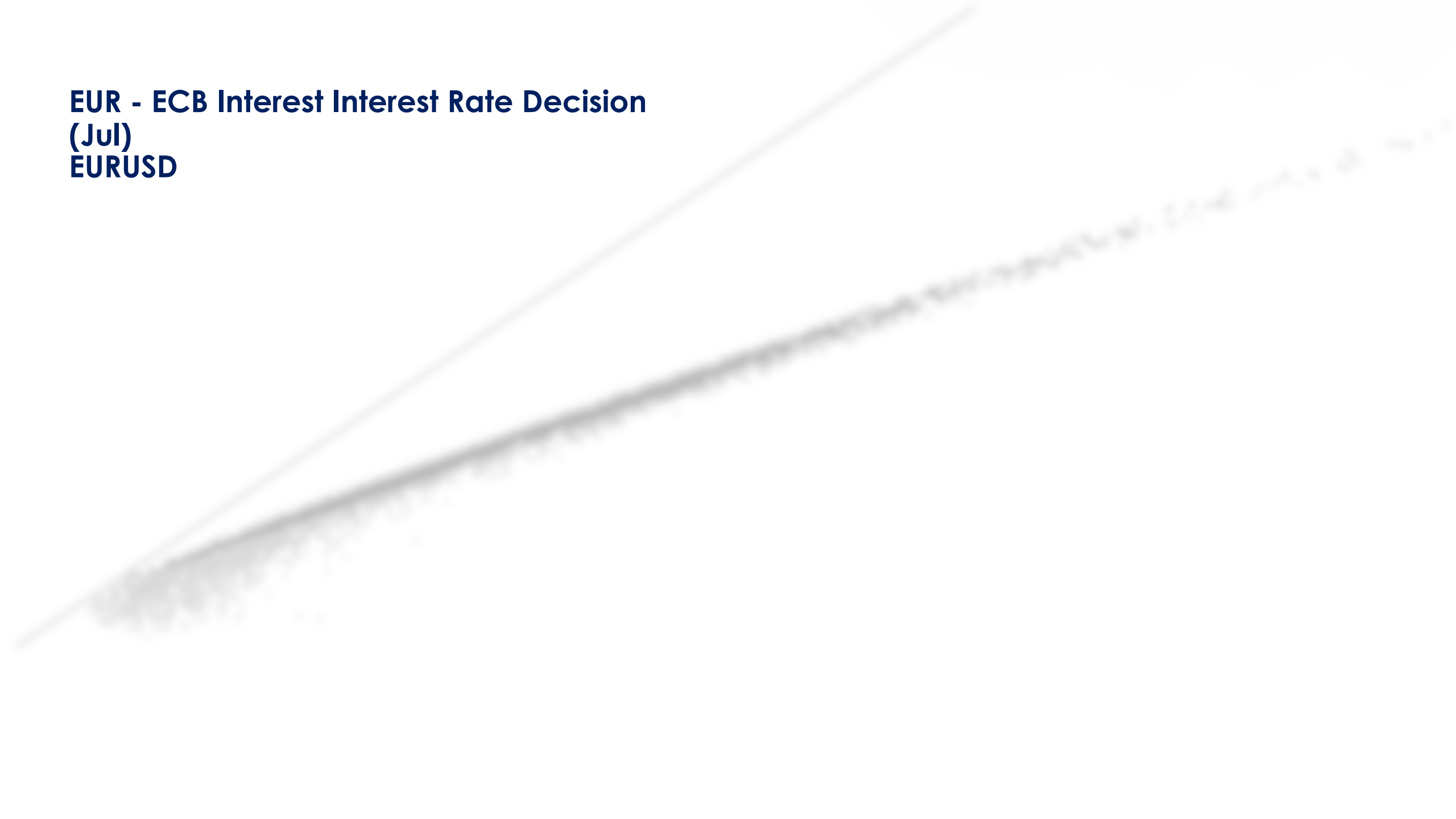
C:EURJPY Price Action - 2025-04-17 12:15 GMT



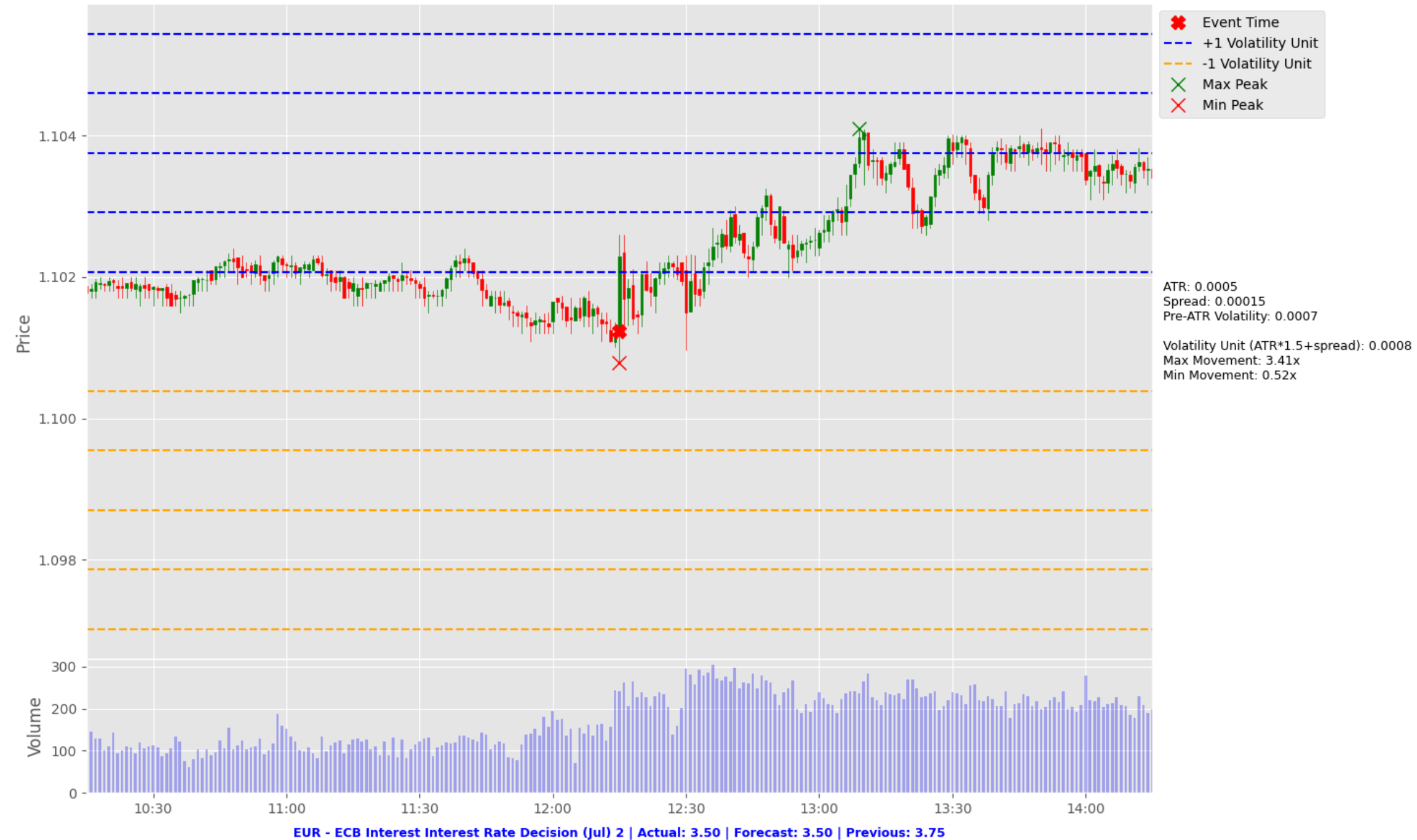
C:EURJPY Price Action - 2025-06-05 12:15 GMT



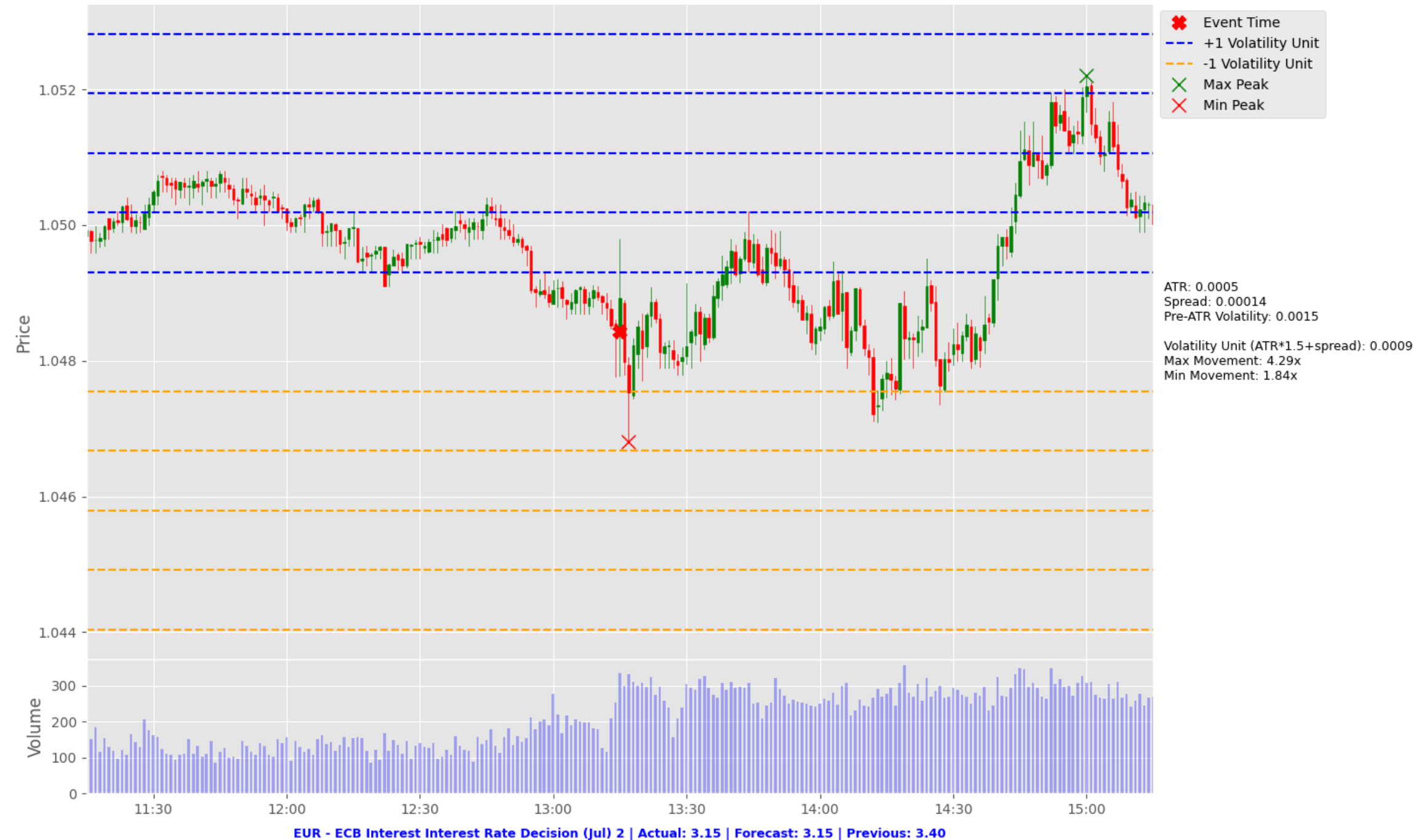
EUR - ECB Interest Rate Decision
(Jul)
EURUSD



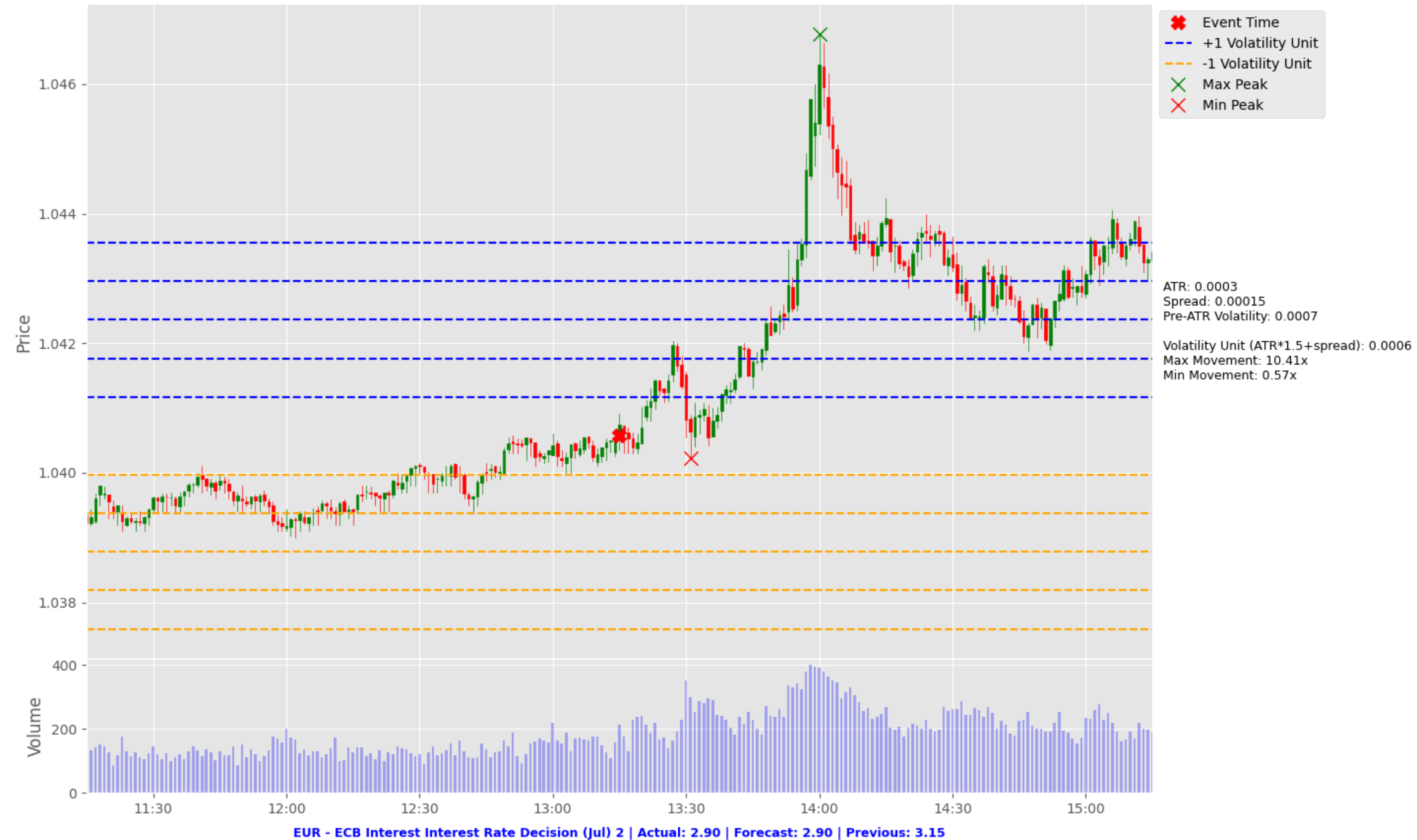
C:EURUSD Price Action - 2024-09-12 12:15 GMT



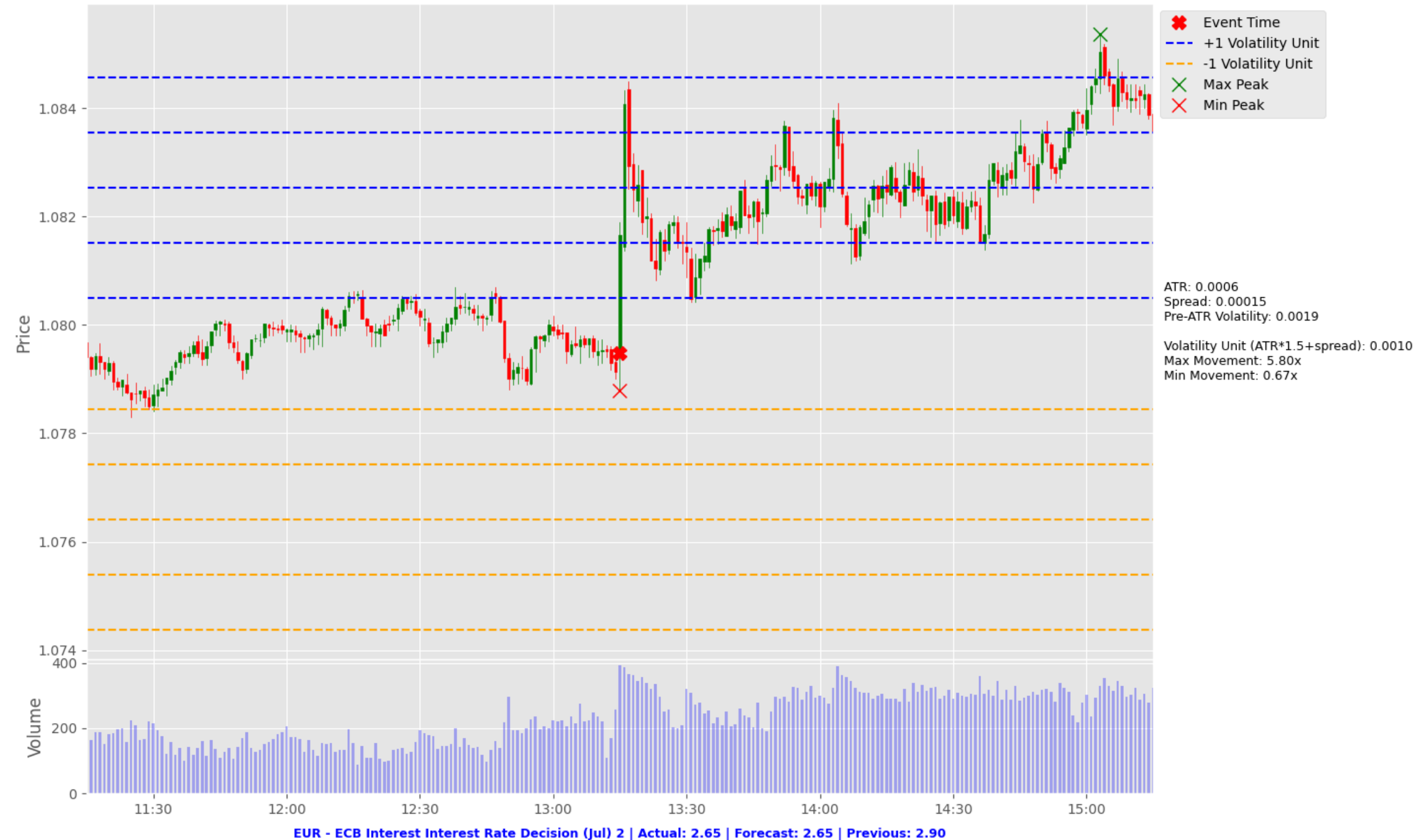
C:EURUSD Price Action - 2024-12-12 13:15 GMT



C:EURUSD Price Action - 2025-01-30 13:15 GMT



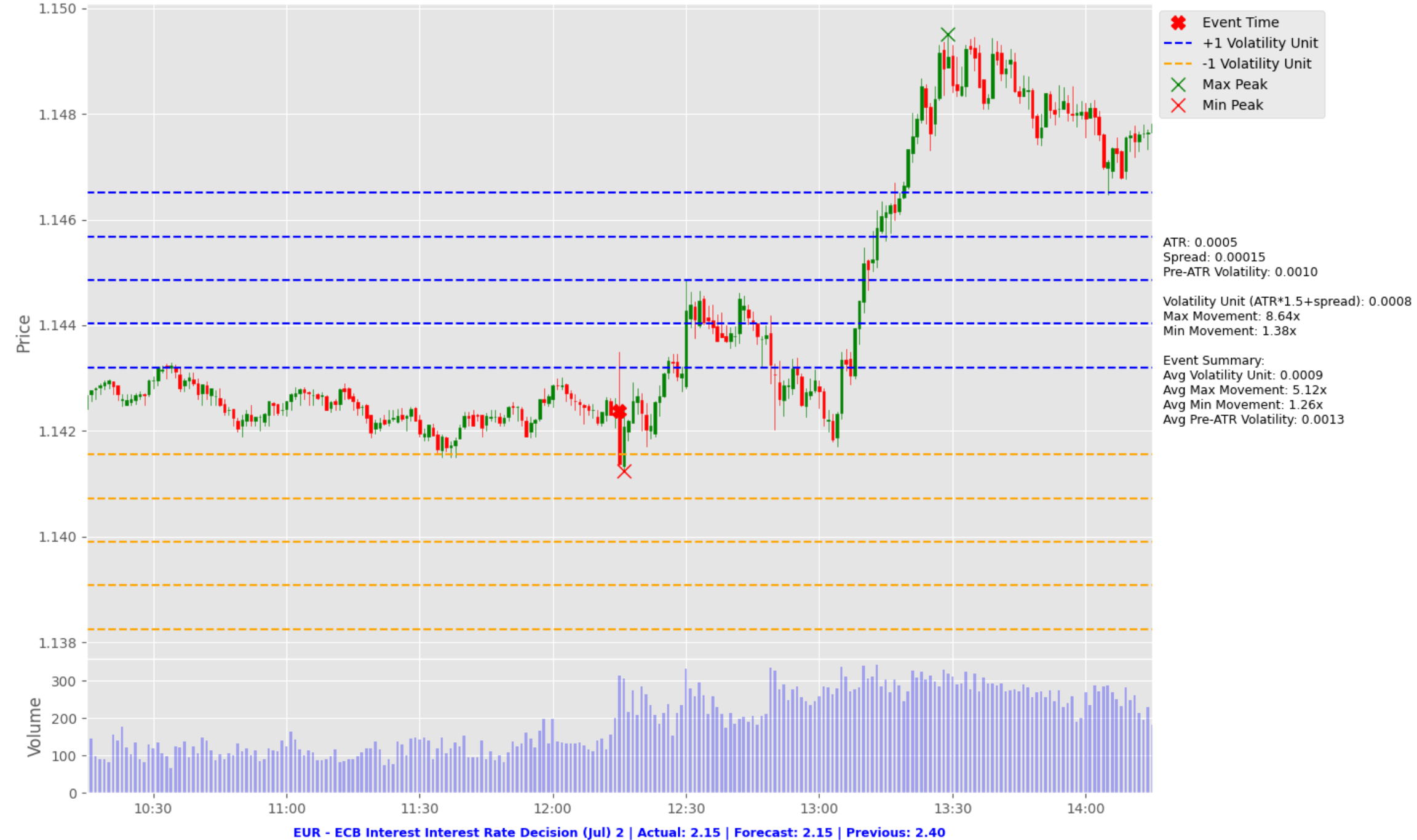
C:EURUSD Price Action - 2025-03-06 13:15 GMT



C:EURUSD Price Action - 2025-04-17 12:15 GMT



C:EURUSD Price Action - 2025-06-05 12:15 GMT



USD - Initial Jobless Claims



USD - Initial Jobless Claims

Event	USD - Initial Jobless Claims			Description
Actual:				Initial Jobless Claims measures the number of people who filed for unemployment insurance for the first time during the past week. This is the most timely U.S. economic data, but the market impact varies from week to week. A reading that is higher than forecast is generally negative (bearish) for the USD, while a lower than forecast reading is generally supportive (bullish) for the USD. Learn More: EURUSD USDJPY
Forecast:				
Previous:				
Time (GMT):	12:30			
Release Date	Actual	Forecast	Previous	

USD - Initial Jobless Claims
USDJPY



USD - Initial Jobless Claims
EURUSD



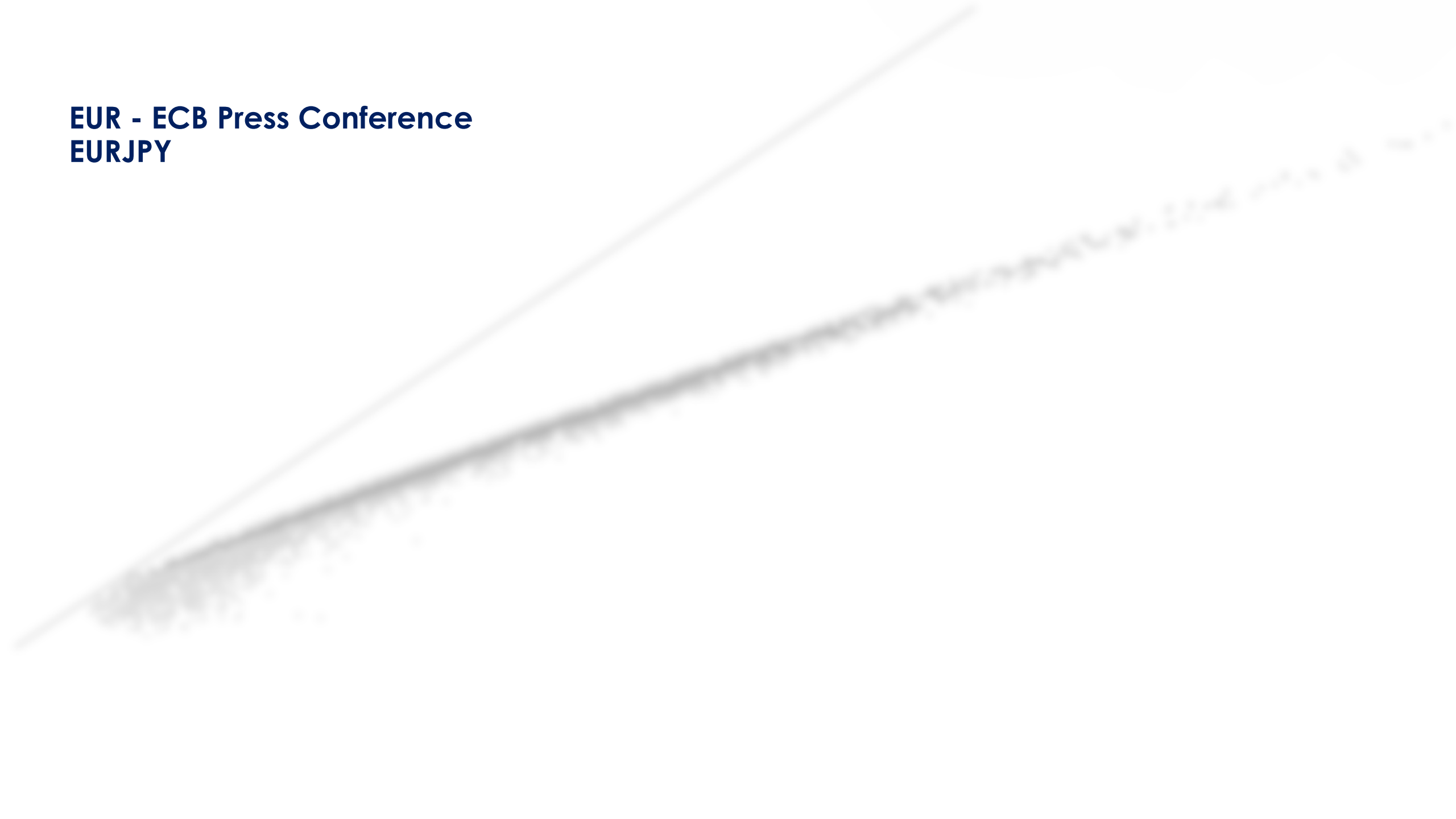
EUR - ECB Press Conference



EUR - ECB Press Conference

Event	EUR - ECB Press Conference			Description
Actual:				The European Central Bank (ECB) press conference is held monthly, about 45 minutes after the Minimum Bid Rate is announced. The conference is approximately an hour long and has two parts. Firstly, a prepared statement is read, then the conference is open to press questions. The press conference examines the factors which affected the ECB's interest rate decision and deals with the overall economic outlook and inflation. Most importantly, it provides clues regarding future monetary policy. High levels of volatility can frequently be observed during the press conference as press questions lead to unscripted answers. Learn More: EURUSD USDJPY
Forecast:				
Previous:				
Time (GMT):	12:45			
Release Date	Actual	Forecast	Previous	
05-Jun-25				
17-Apr-25				
06-Mar-25				
30-Jan-25				
12-Dec-25				
17-Oct-25				

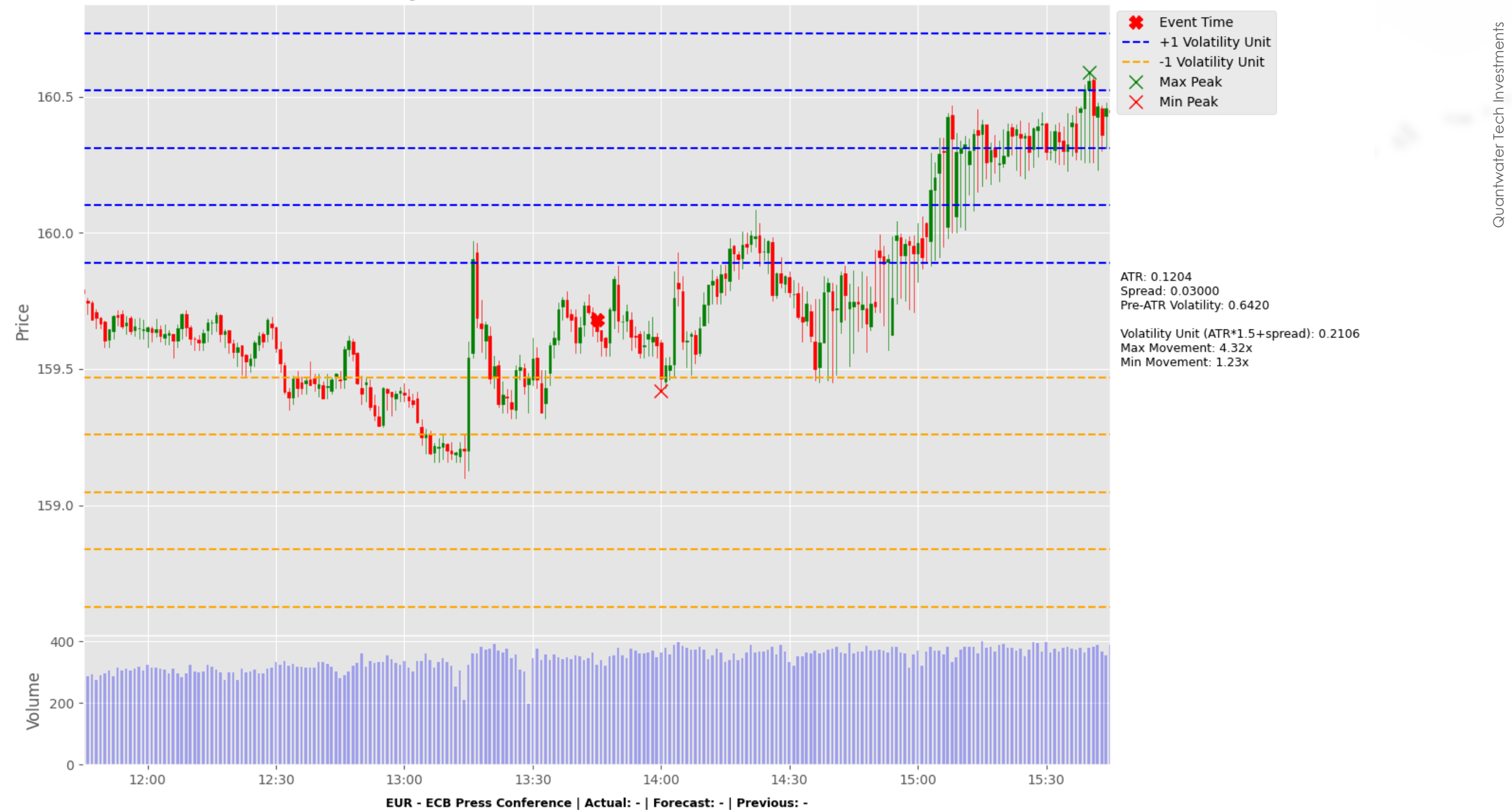
EUR - ECB Press Conference
EURJPY



C:EURJPY Price Action - 2025-01-30 13:45 GMT



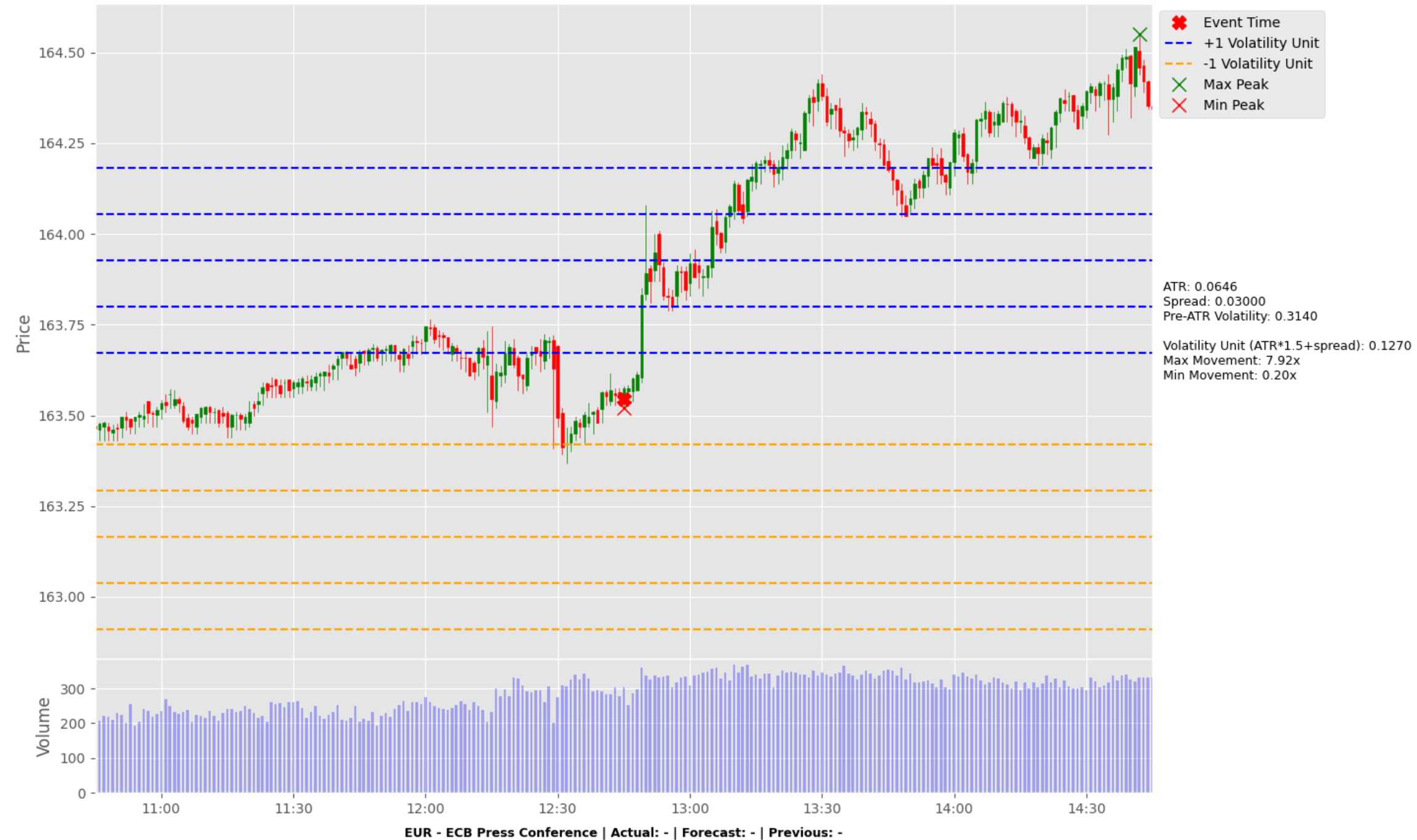
C:EURJPY Price Action - 2025-03-06 13:45 GMT



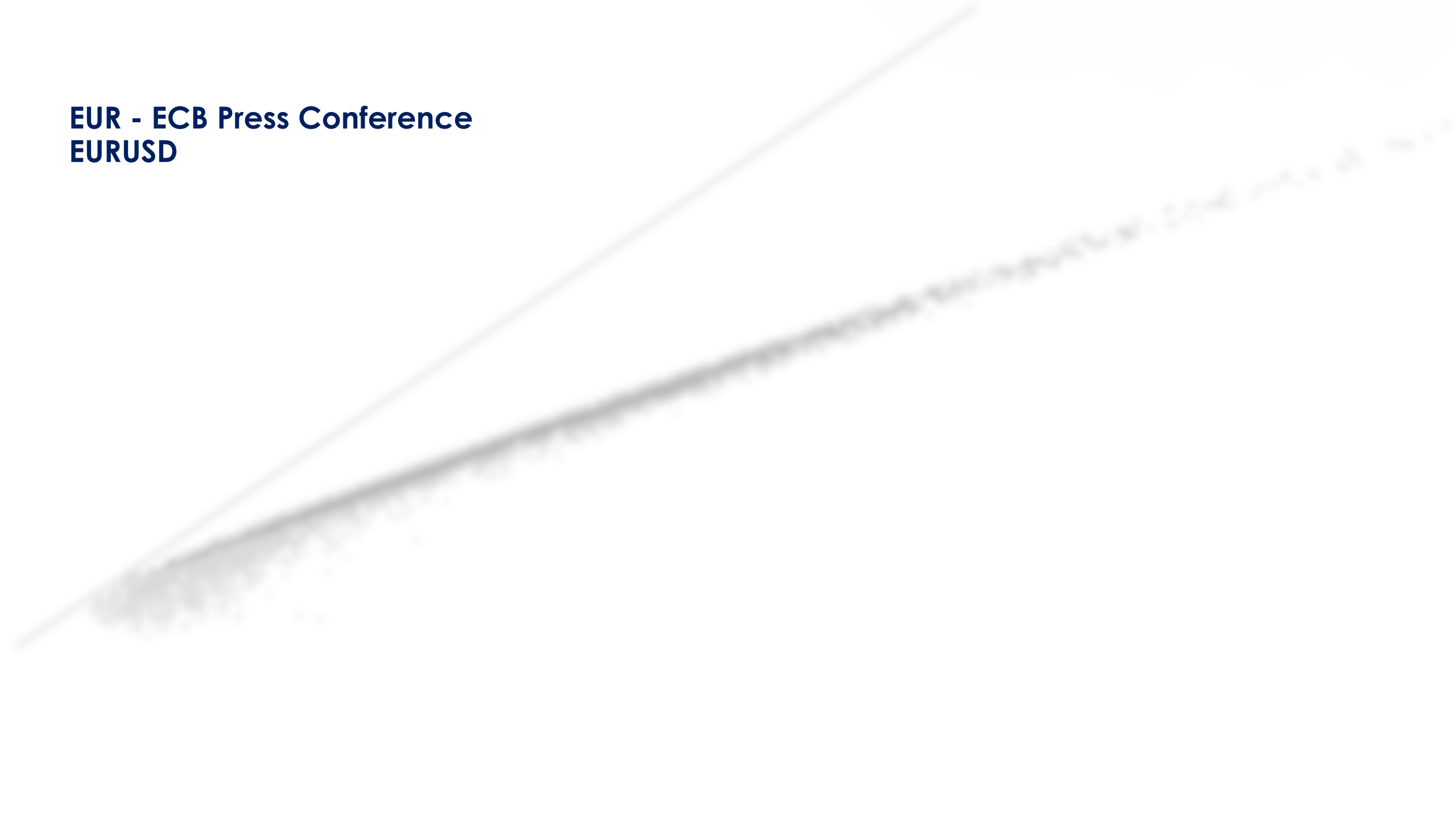
C:EURJPY Price Action - 2025-04-17 12:45 GMT



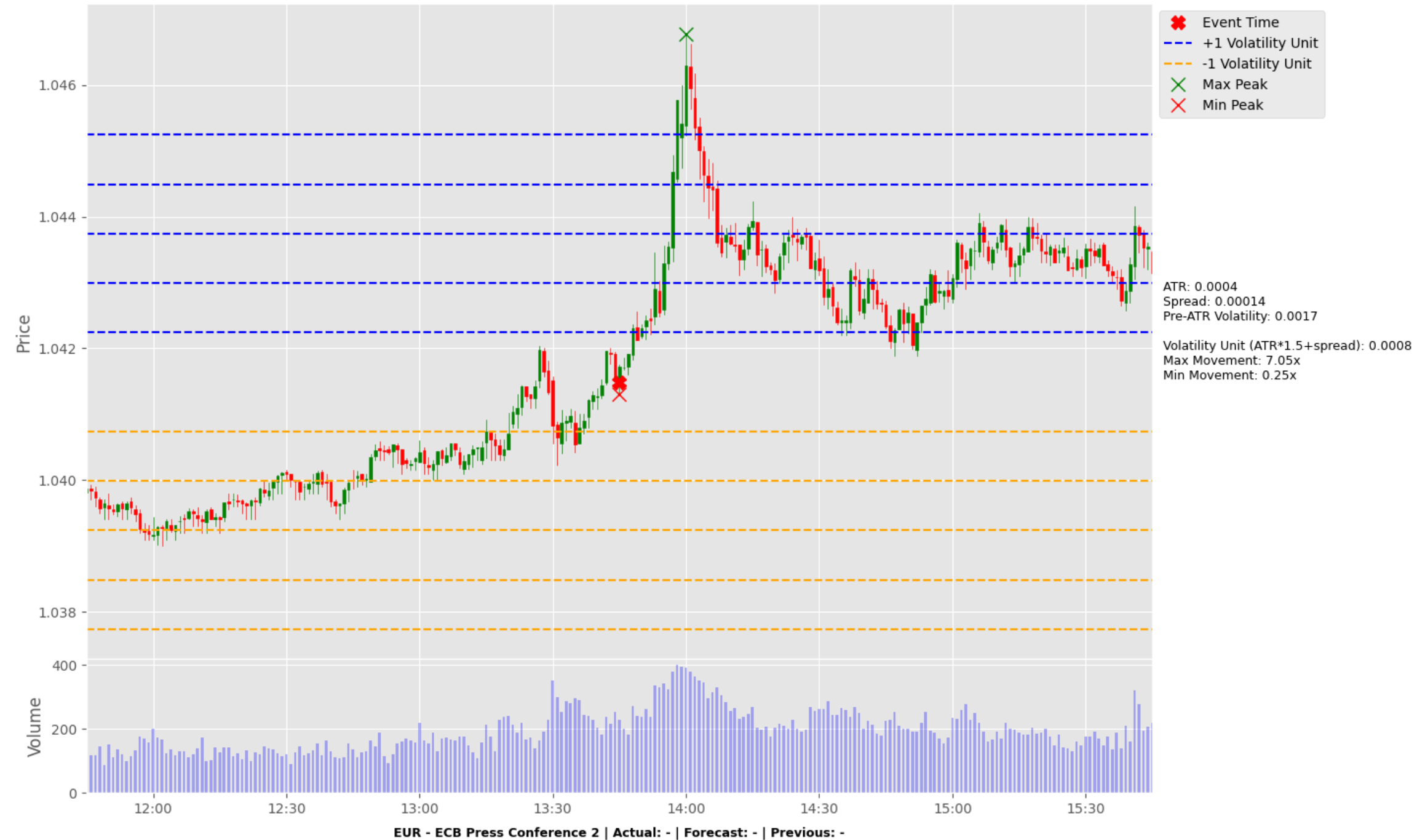
C:EURJPY Price Action - 2025-06-05 12:45 GMT



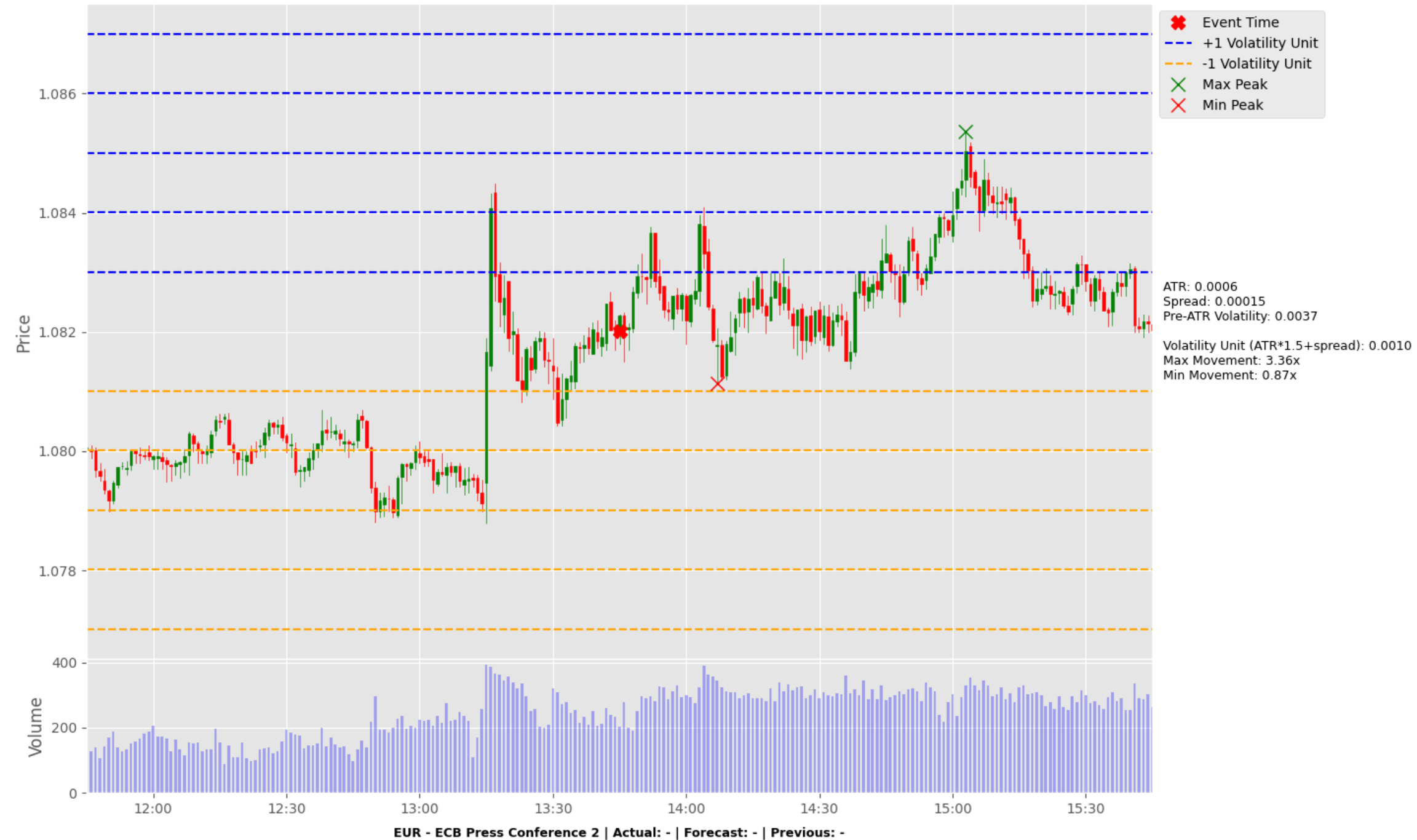
EUR - ECB Press Conference
EURUSD



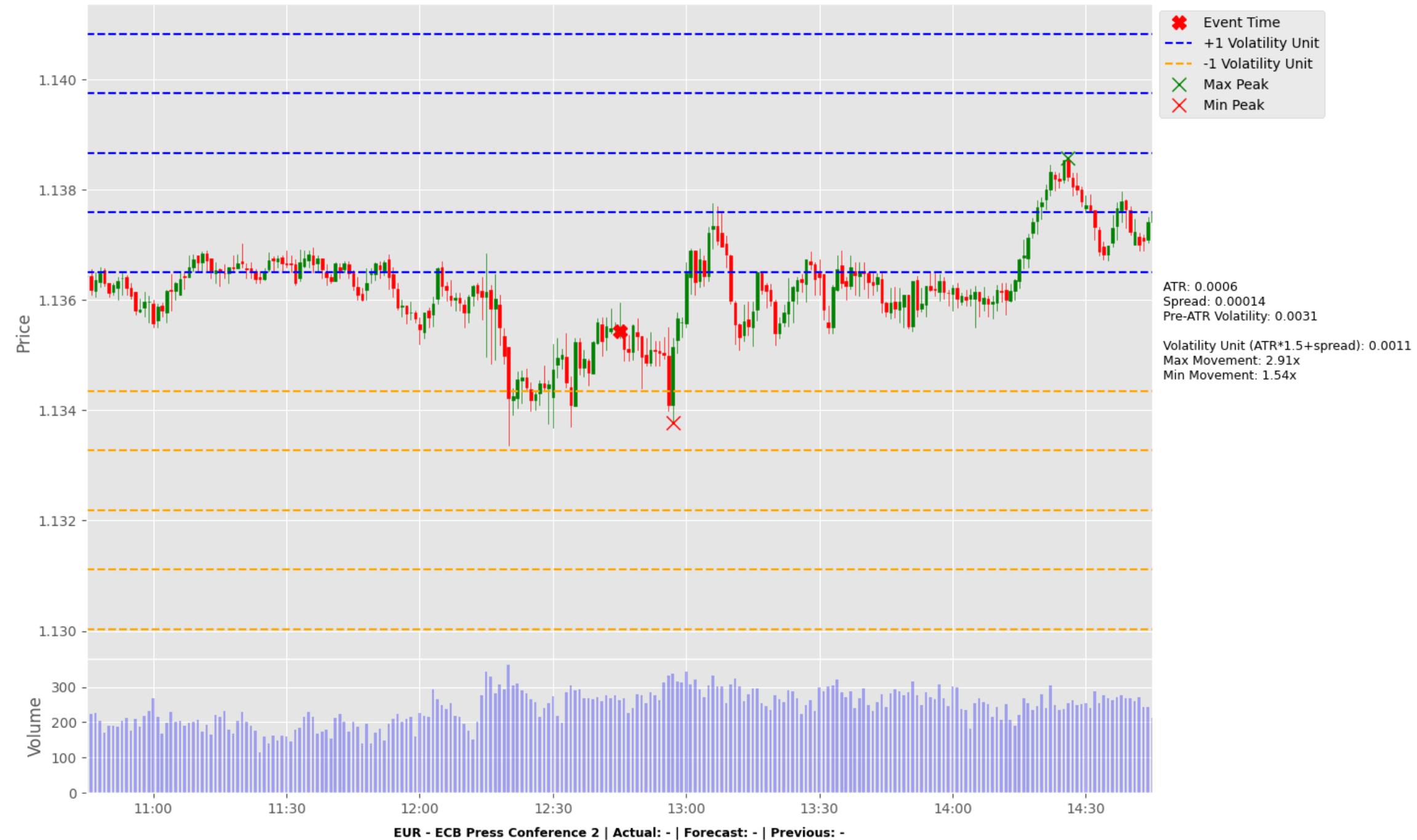
C:EURUSD Price Action - 2025-01-30 13:45 GMT



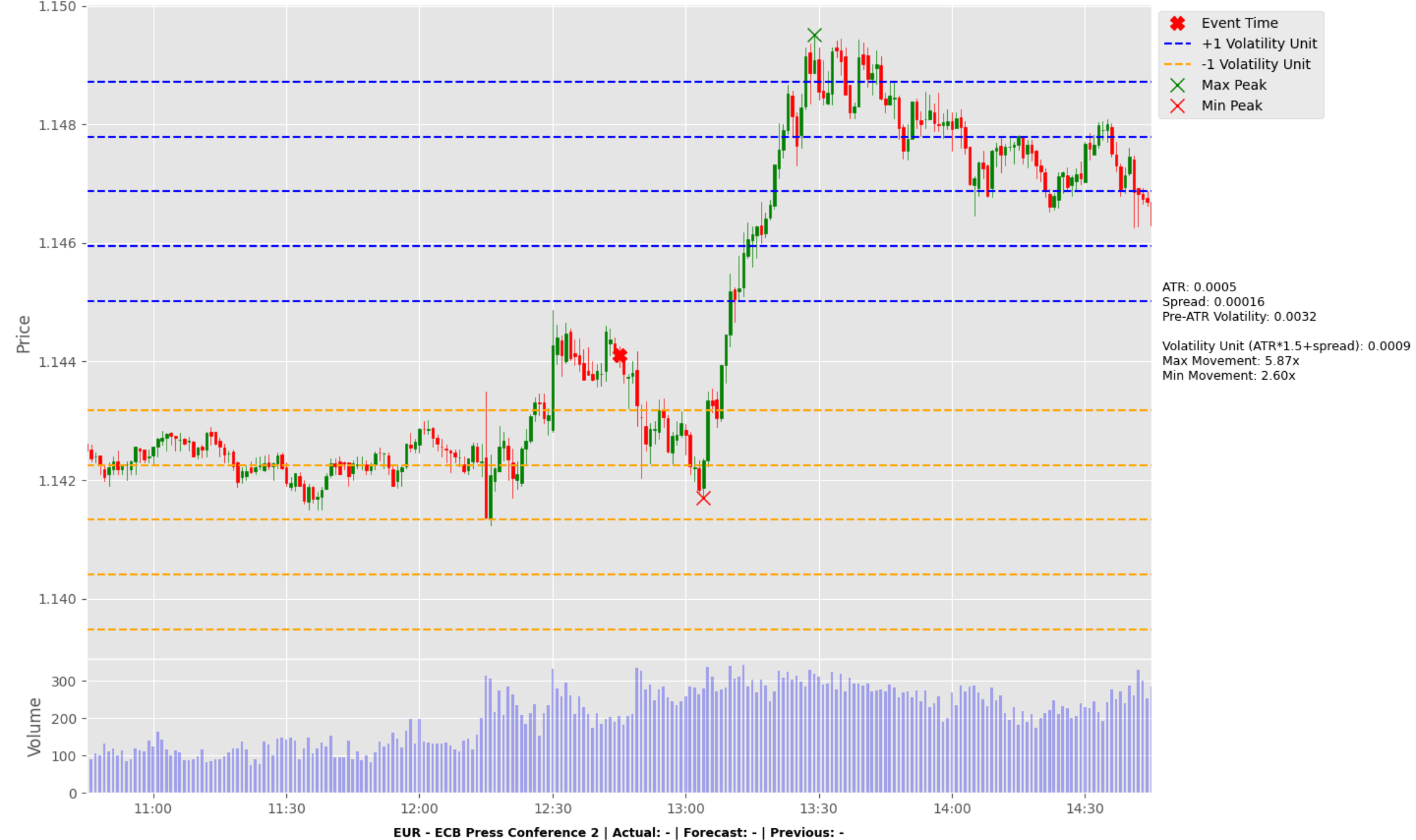
C:EURUSD Price Action - 2025-03-06 13:45 GMT



C:EURUSD Price Action - 2025-04-17 12:45 GMT



C:EURUSD Price Action - 2025-06-05 12:45 GMT



USD - Manufacturing PMI (Jul) P



USD - Manufacturing PMI (Jul) P

Event	USD - Manufacturing PMI (Jul) P			Description
Actual:				The Manufacturing Purchasing Managers' Index (PMI) is a diffusion index incorporating survey results provided by manufacturing firms throughout the country. A reading above fifty suggests the manufacturing sector is expanding, while a reading below fifty suggests the manufacturing sector is in contraction. Policymakers and traders watch these surveys closely as purchasing managers usually have early access to data about their company's performance, rather than waiting for the hard data to emerge. While manufacturing accounts for a far smaller percentage of economic output than services, it is far more cyclical and is therefore a useful indicator of where in the economic cycle the economy is currently situated. A reading that is stronger than forecast is generally supportive (bullish) for the USD while a weaker than forecast reading is generally negative (bearish) for the USD. Learn More: USDJPY EURUSD
Forecast:				
Previous:	52.90			
Time (GMT):	13:45			
Release Date	Actual	Forecast	Previous	
01-Jul-25	52.90	52.00	52.00	
23-Jun-25	52.00	51.10	52.00	
01-Jul-25	52.90	52.00	52.00	
23-Jun-25	52.00	51.10	52.00	
01-Jul-25	52.90	52.00	52.00	
23-Jun-25	52.00	51.10	52.00	

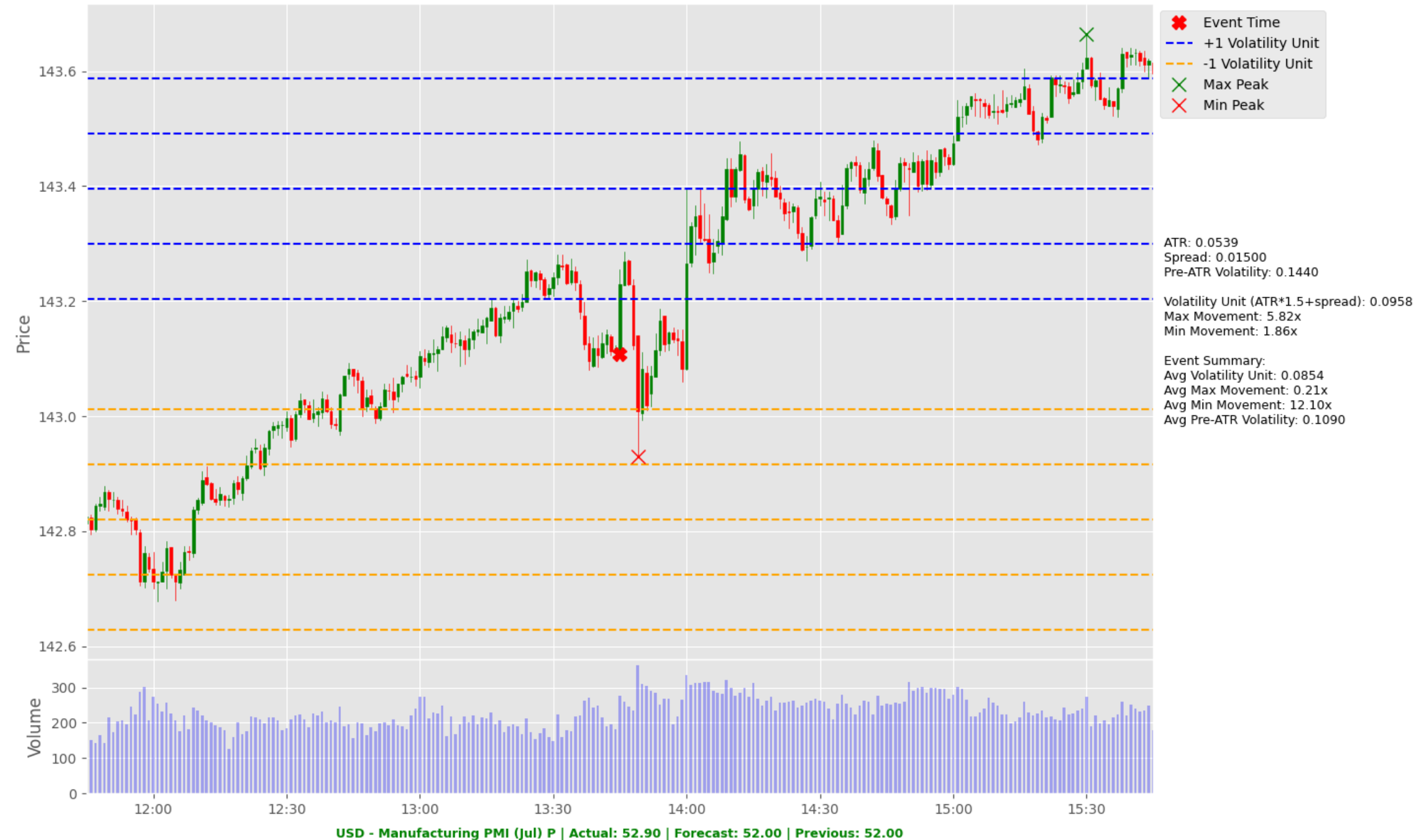
USD - Manufacturing PMI (Jul) P
USDJPY



C:USDJPY Price Action - 2025-06-23 13:45 GMT



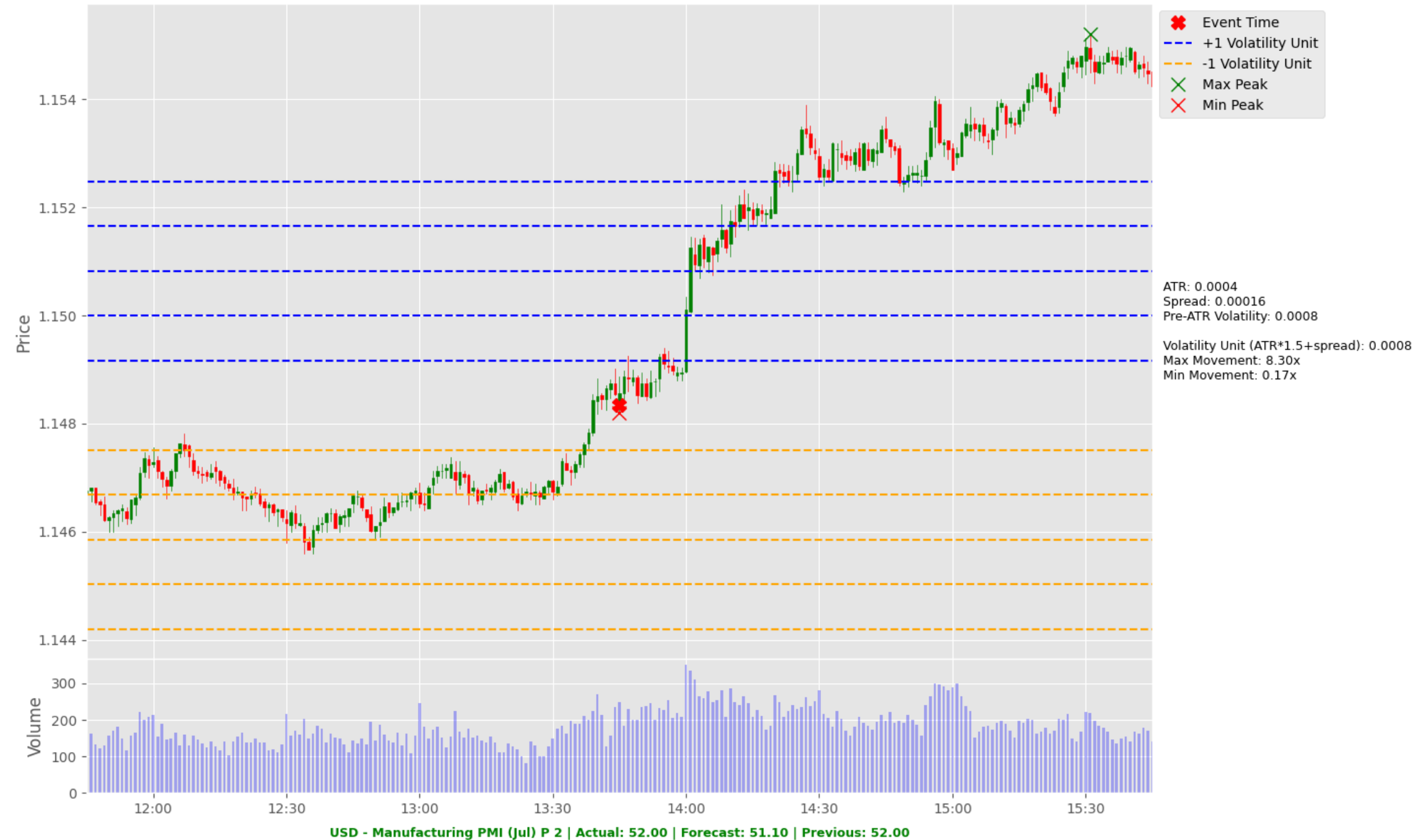
C:USDJPY Price Action - 2025-07-01 13:45 GMT



USD - Manufacturing PMI (Jul) P
EURUSD



C:EURUSD Price Action - 2025-06-23 13:45 GMT



C:EURUSD Price Action - 2025-07-01 13:45 GMT

Price



- Event Time
- +1 Volatility Unit
- 1 Volatility Unit
- Max Peak
- Min Peak

ATR: 0.0004
Spread: 0.00014
Pre-ATR Volatility: 0.0011

Volatility Unit (ATR*1.5+spread): 0.0007
Max Movement: 1.64x
Min Movement: 4.41x

Event Summary:
Avg Volatility Unit: 0.0008
Avg Max Movement: 8.30x
Avg Min Movement: 0.17x
Avg Pre-ATR Volatility: 0.0008

USD - Manufacturing PMI (Jul) P 2 | Actual: 52.90 | Forecast: 52.00 | Previous: 52.00

USD - Services PMI (Jul) P



USD - Services PMI (Jul) P

Event	USD - Services PMI (Jul) P			Description
Actual:				The Service PMI release is published monthly by Markit Economics. The data are based on surveys of over 400 executives in private sector service companies. The surveys cover transport and communication, financial intermediaries, business and personal services, computing & IT, hotels and restaurants. An index level of 50 denotes no change since the previous month, while a level above 50 signals an improvement, and below 50 indicates a deterioration. A reading that is stronger than forecast is generally supportive (bullish) for the USD, while a weaker than forecast reading is generally negative (bearish) for the USD. Learn More: USDJPY EURUSD
Forecast:				
Previous:	52.90			
Time (GMT):	13:45			
Release Date	Actual	Forecast	Previous	
03-Jul-25	52.90	53.10	53.10	
23-Jun-25	53.10	52.90	53.70	
03-Jul-25	52.90	53.10	53.10	
23-Jun-25	53.10	52.90	53.70	
03-Jul-25	52.90	53.10	53.10	
23-Jun-25	53.10	52.90	53.70	

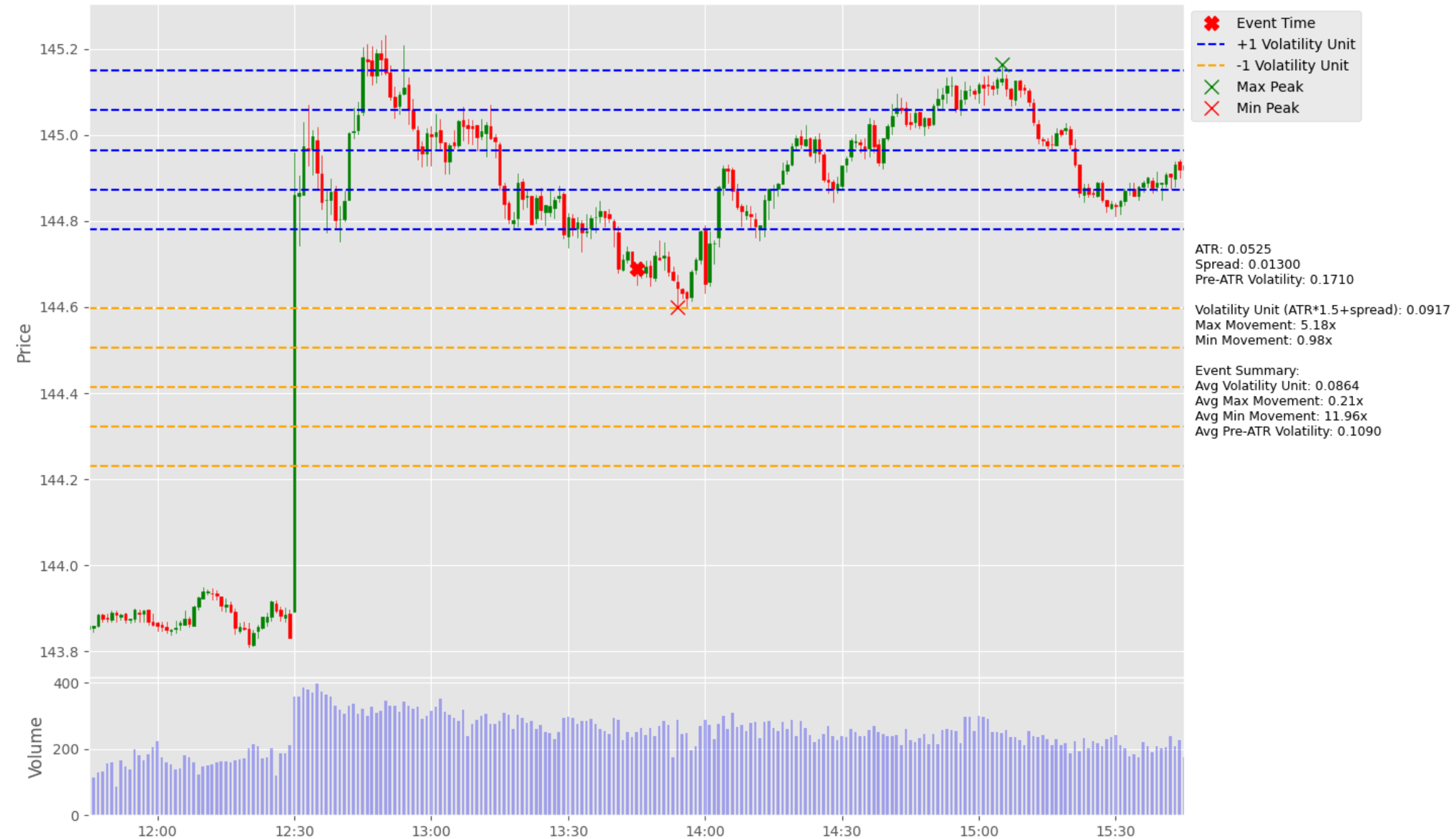
USD - Services PMI (Jul) P
USDJPY



C:USDJPY Price Action - 2025-06-23 13:45 GMT



C:USDJPY Price Action - 2025-07-03 13:45 GMT

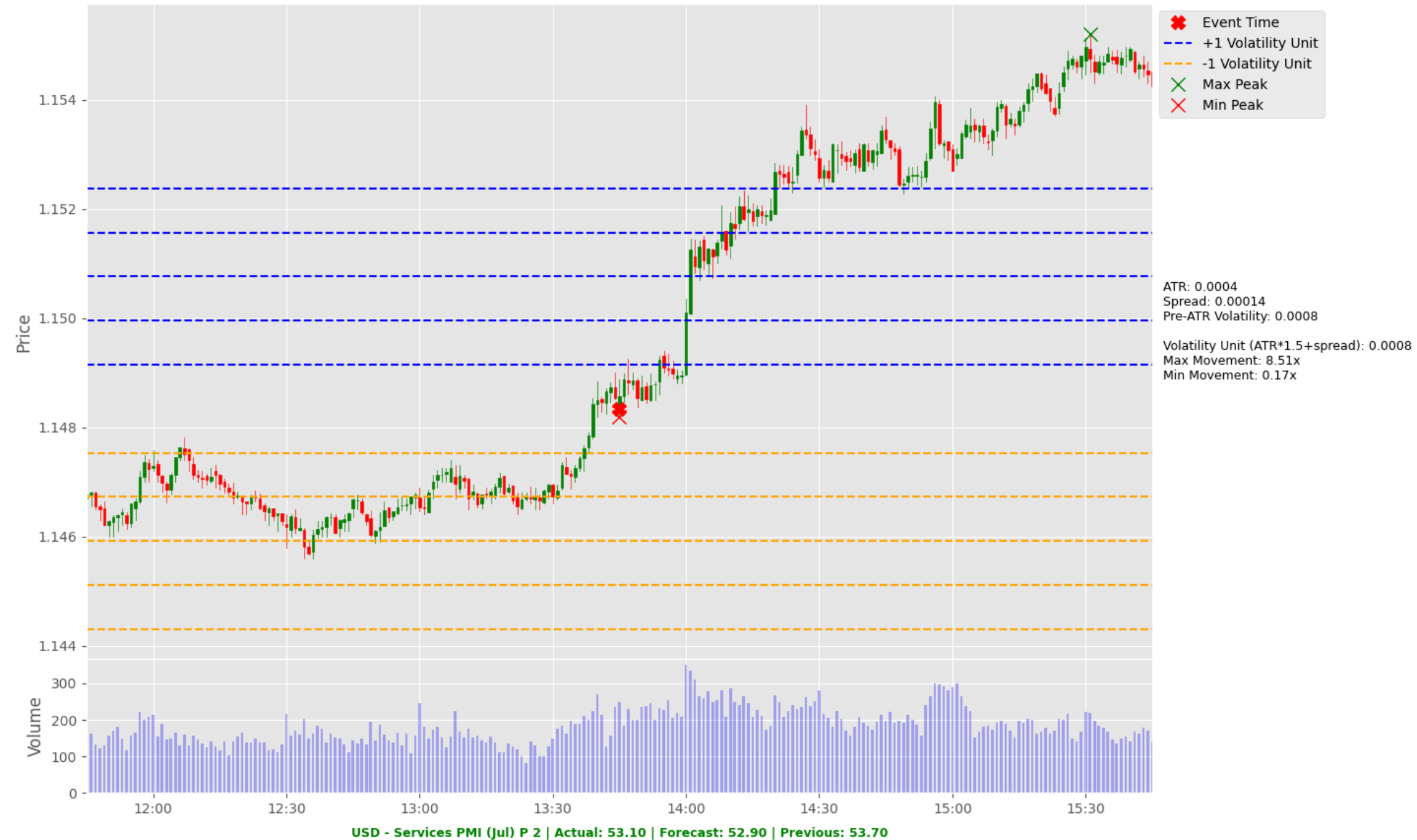


USD - Services PMI (Jul) P | Actual: 52.90 | Forecast: 53.10 | Previous: 53.10

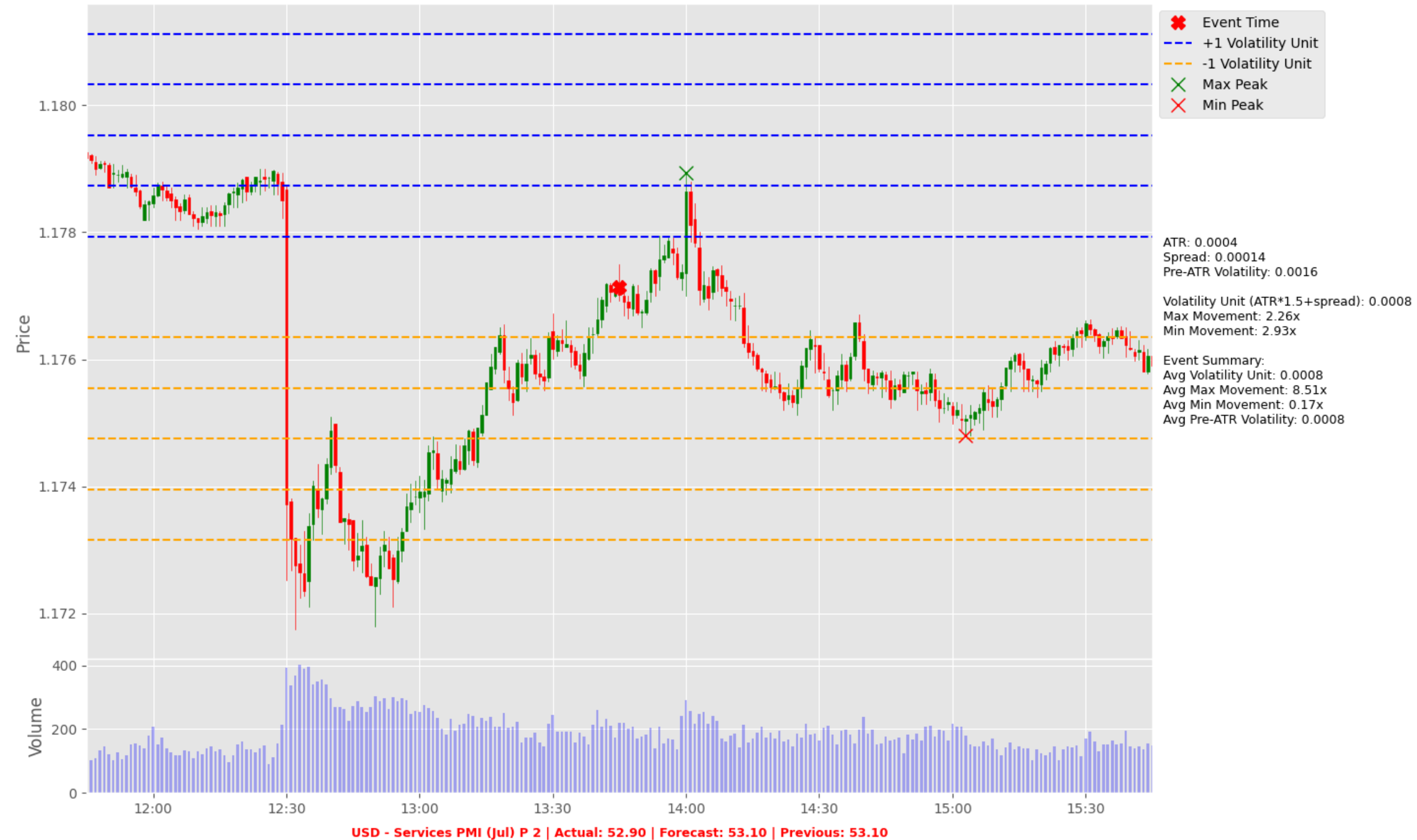
USD - Services PMI (Jul) P
EURUSD



C:EURUSD Price Action - 2025-06-23 13:45 GMT



C:EURUSD Price Action - 2025-07-03 13:45 GMT



USD - New Home Sales (Jun)



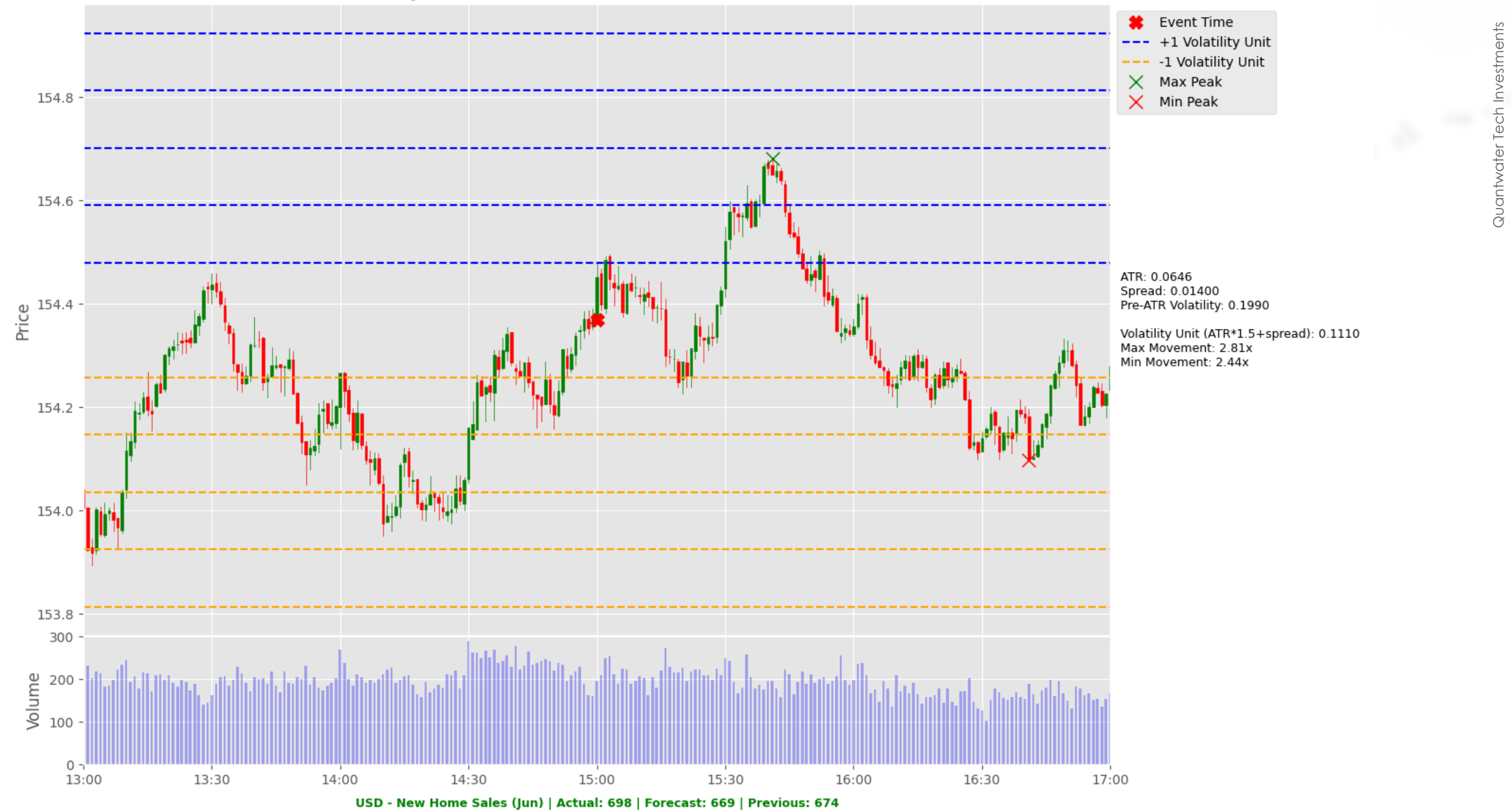
USD - New Home Sales (Jun)

Event	USD - New Home Sales (Jun)			Description
Actual:				New Home Sales measures the annualised number of new single-family homes that were sold during the prior month. When it's released ahead of Existing Home Sales, this report tends to have more impact because the two reports are highly correlated. A reading that is stronger than forecast is generally supportive (bullish) for the USD, while a weaker than forecast reading is generally negative (bearish) for the USD. Learn More: USDJPY EURUSD
Forecast:				
Previous:	623K			
Time (GMT):	14:00			
Release Date	Actual	Forecast	Previous	
25-Jun-25	623	694	722	
23-May-25	743	694	670	
23-Apr-25	724	684	674	
25-Mar-25	676	682	664	
26-Feb-25	657	679	734	
27-Jan-25	698	669	674	

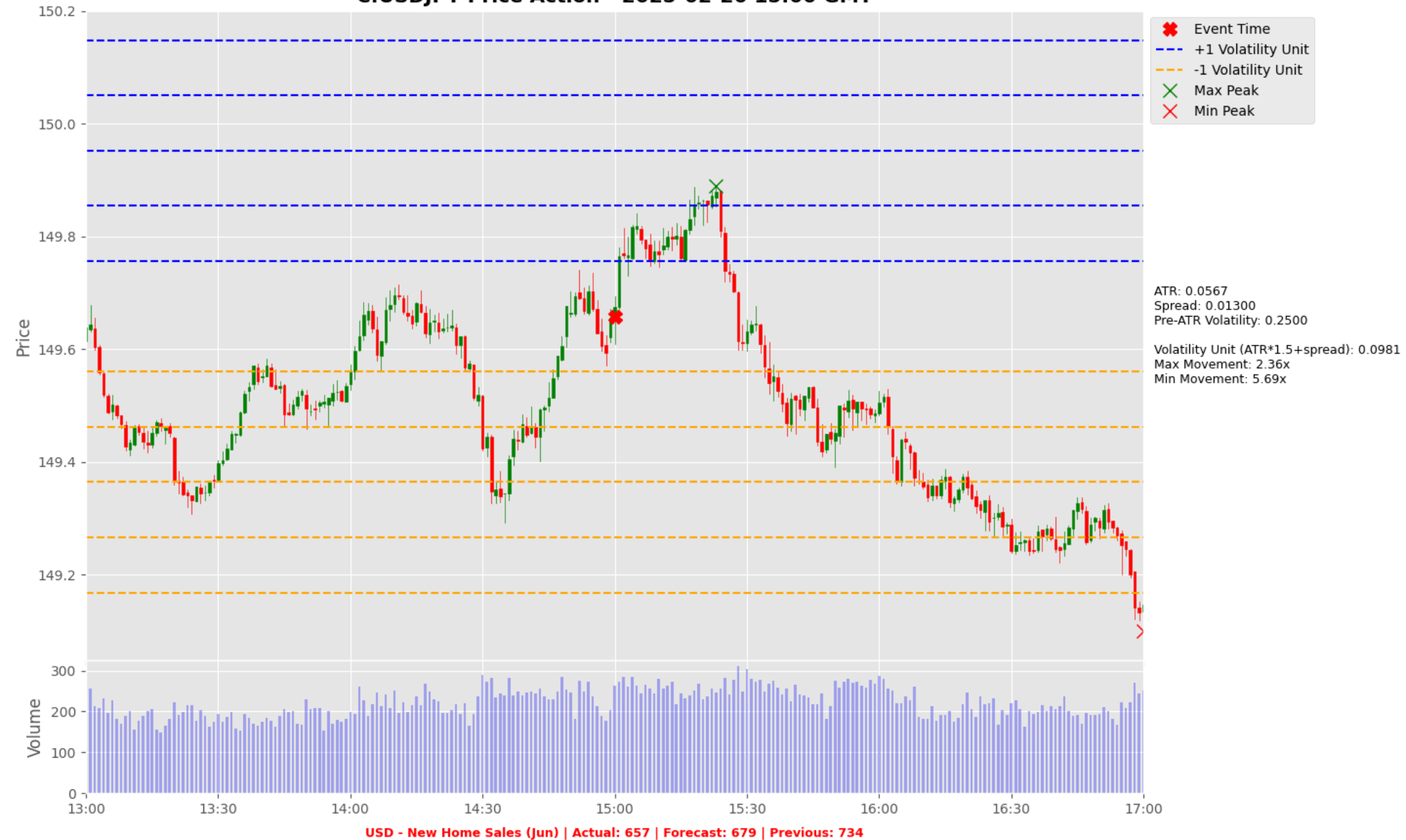
USD - New Home Sales (Jun)
USDJPY



C:USDJPY Price Action - 2025-01-27 15:00 GMT



C:USDJPY Price Action - 2025-02-26 15:00 GMT



C:USDJPY Price Action - 2025-03-25 14:00 GMT



C:USDJPY Price Action - 2025-04-23 14:00 GMT

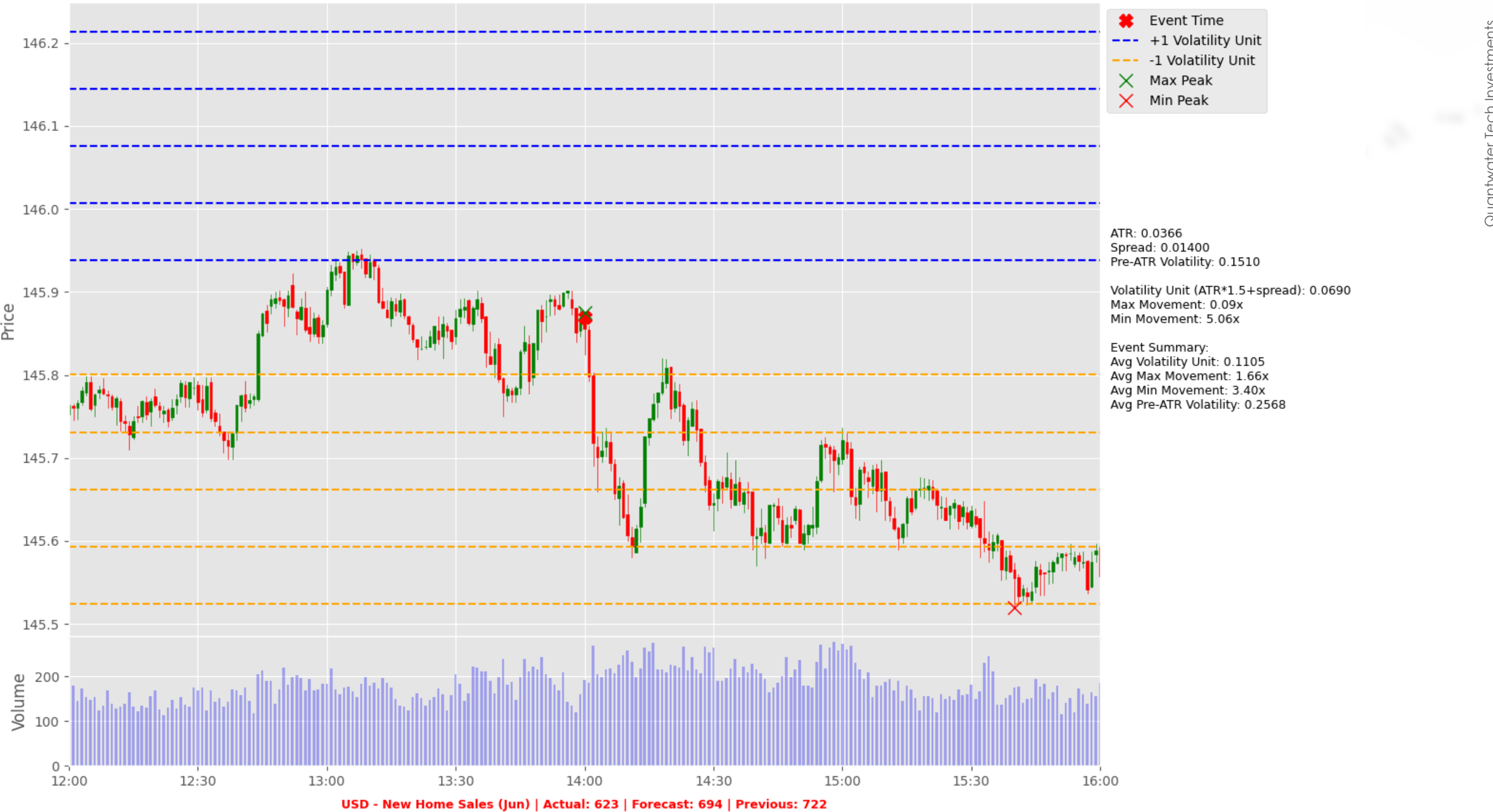


USD - New Home Sales (Jun) | Actual: 724 | Forecast: 684 | Previous: 674

C:USDJPY Price Action - 2025-05-23 14:00 GMT



C:USDJPY Price Action - 2025-06-25 14:00 GMT



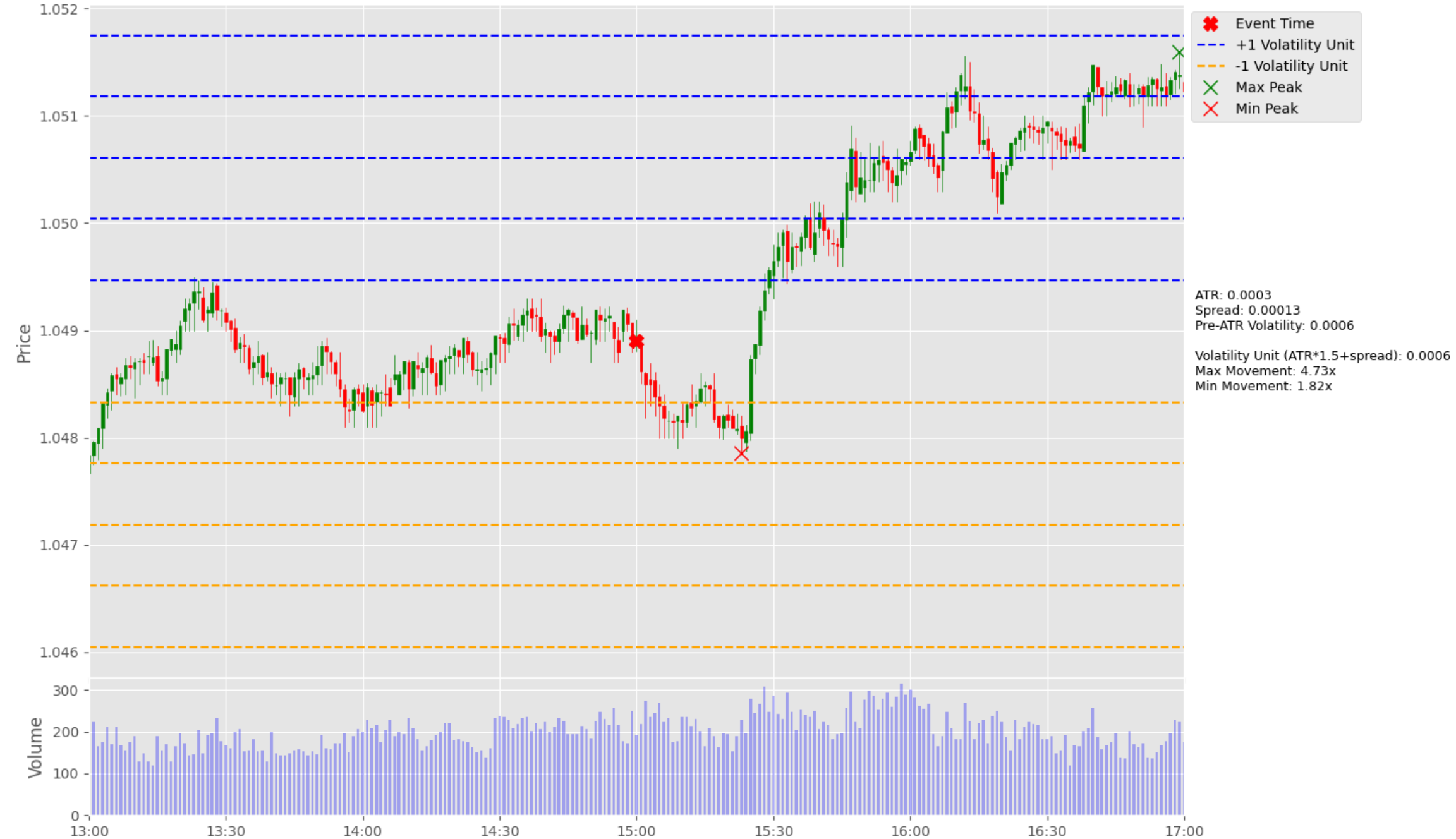
USD - New Home Sales (Jun)
EURUSD



C:EURUSD Price Action - 2025-01-27 15:00 GMT



C:EURUSD Price Action - 2025-02-26 15:00 GMT



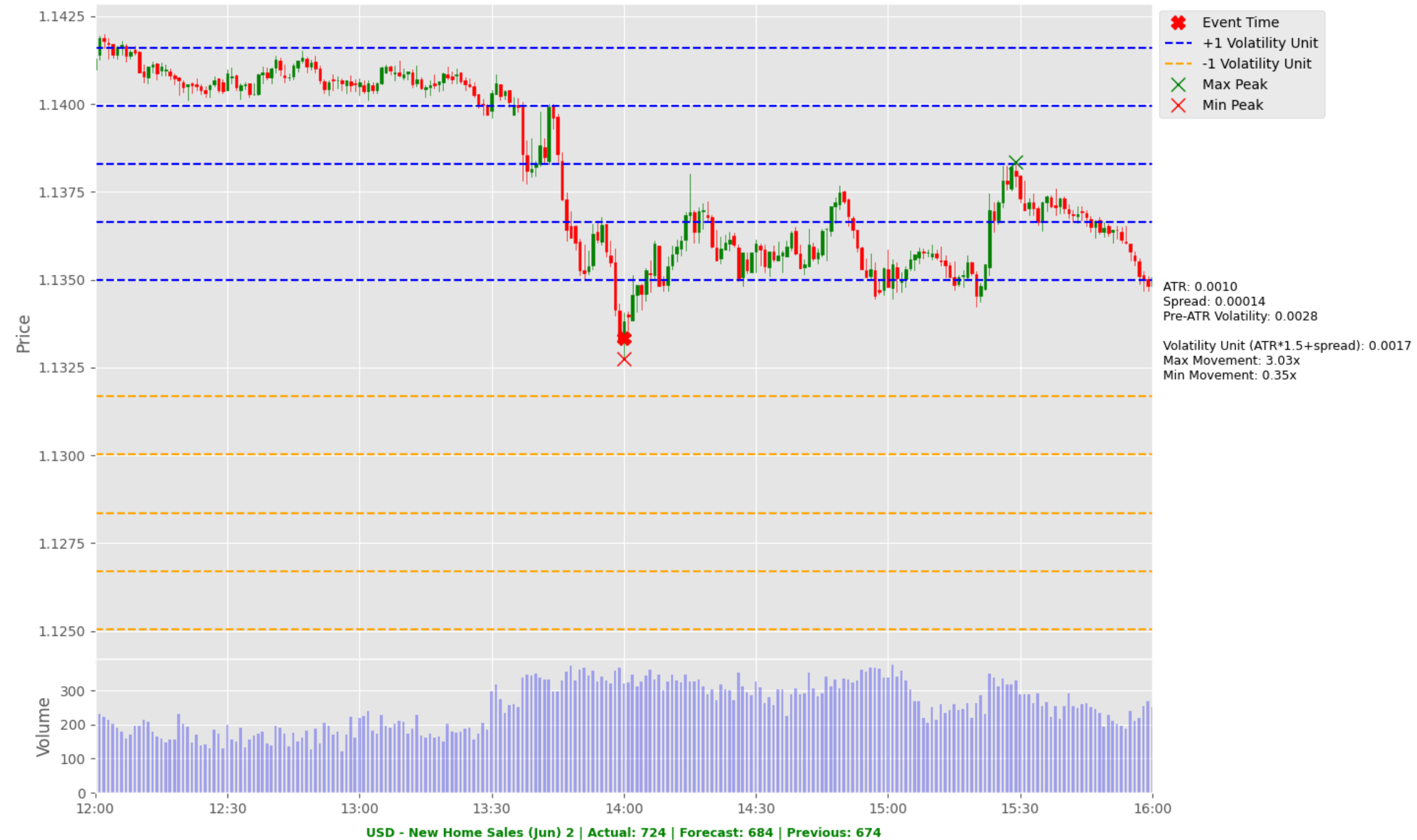
USD - New Home Sales (Jun) 2 | Actual: 657 | Forecast: 679 | Previous: 734

C:EURUSD Price Action - 2025-03-25 14:00 GMT

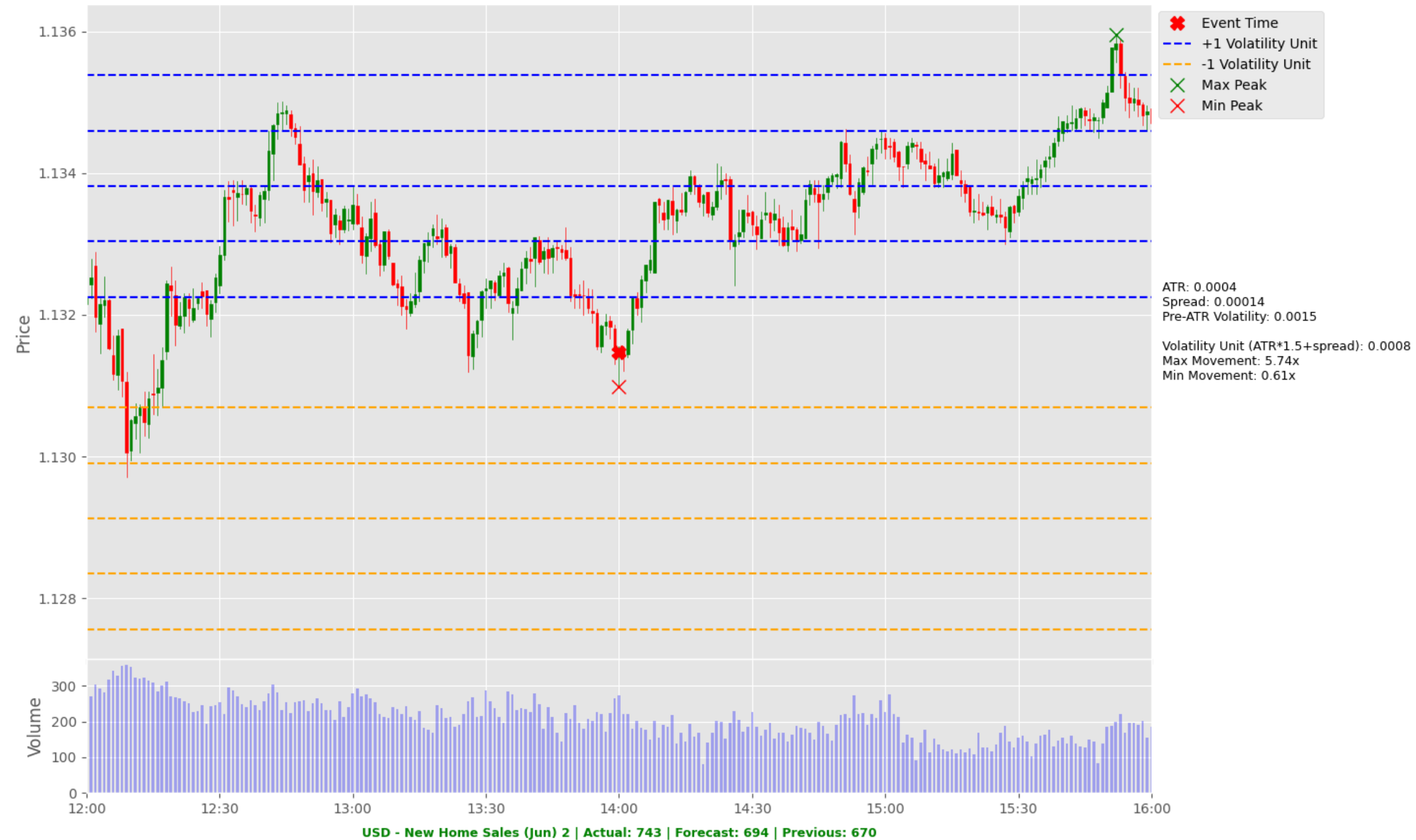


USD - New Home Sales (Jun) 2 | Actual: 676 | Forecast: 682 | Previous: 664

C:EURUSD Price Action - 2025-04-23 14:00 GMT



C:EURUSD Price Action - 2025-05-23 14:00 GMT



C:EURUSD Price Action - 2025-06-25 14:00 GMT



USD - New Home Sales (Jun) 2 | Actual: 623 | Forecast: 694 | Previous: 722

USD - Durable Goods Orders (MoM)
(Jun) P



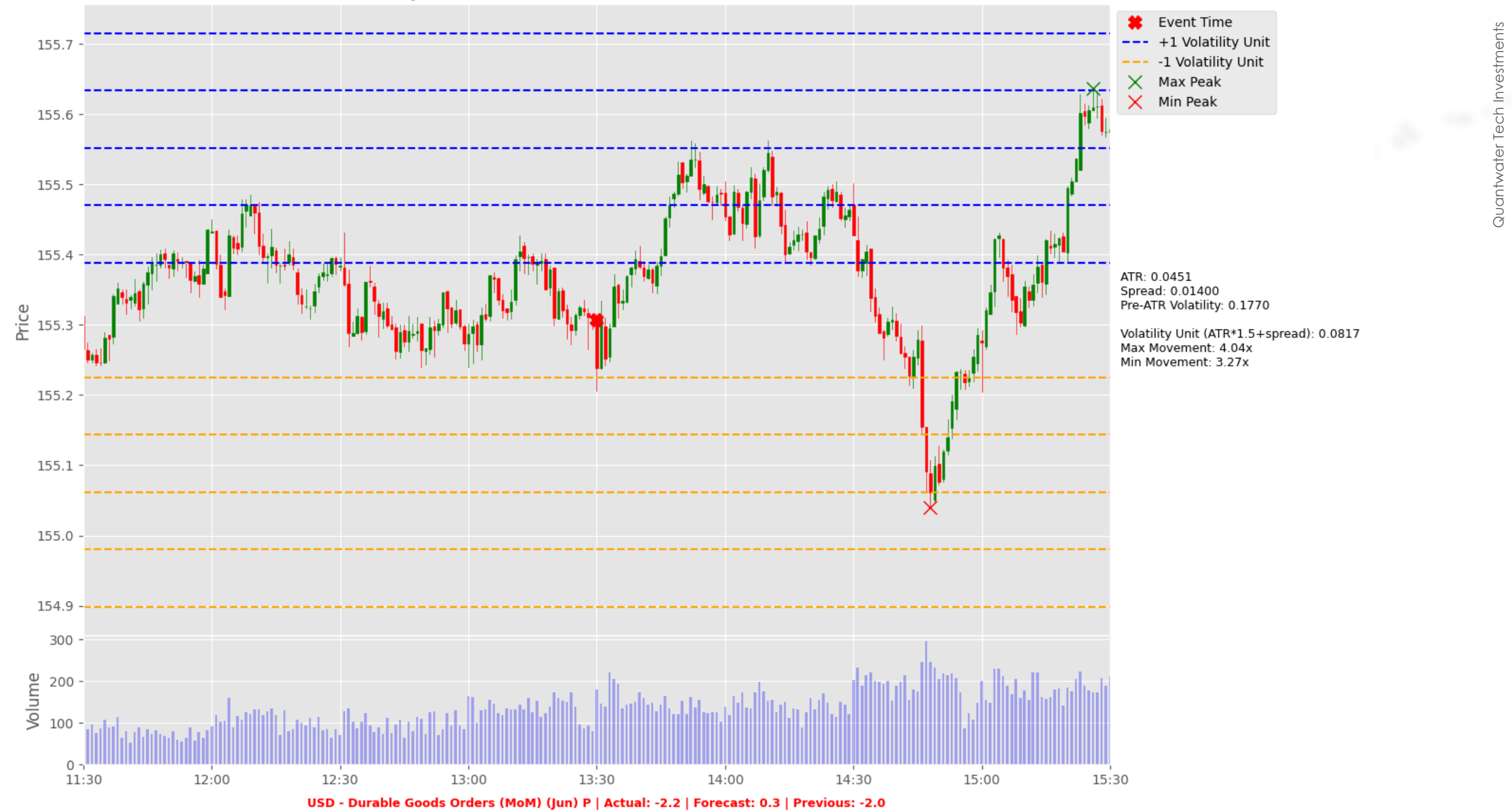
USD - Durable Goods Orders (MoM) (Jun) P

Event	USD - Durable Goods Orders (MoM) (Jun) P			Description
Actual:				Durable Goods Orders reports the change in the total value of new orders for long lasting manufactured goods, including transportation items. A reading that is stronger than forecast is generally supportive (bullish) for the USD, while a weaker than forecast reading is generally negative (bearish) for the USD. Learn More: USDJPY EURUSD
Forecast:				
Previous:	16.40%			
Time (GMT):	12:30			
Release Date	Actual	Forecast	Previous	
26-Jun-25	16.40%	8.60%	-6.60%	
27-May-25	-6.30%	-7.60%	7.60%	
24-Apr-25	9.20%	2.10%	0.90%	
26-Mar-25	0.90%	-1.10%	3.30%	
27-Feb-25	3.10%	2.00%	-1.80%	
28-Jan-25	-2.20%	0.30%	-2.00%	

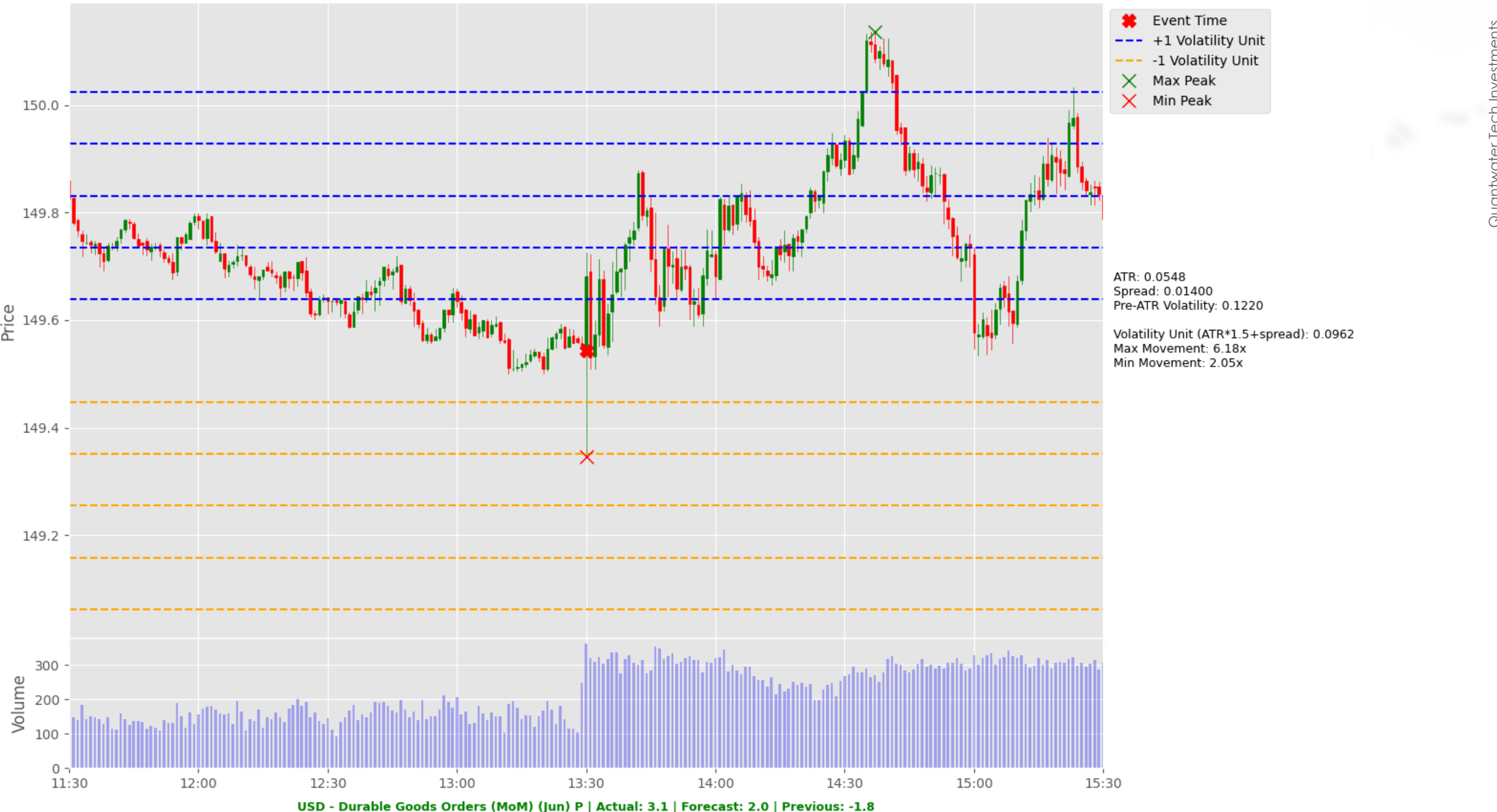
USD - Durable Goods Orders (MoM)
(Jun) P
USDJPY



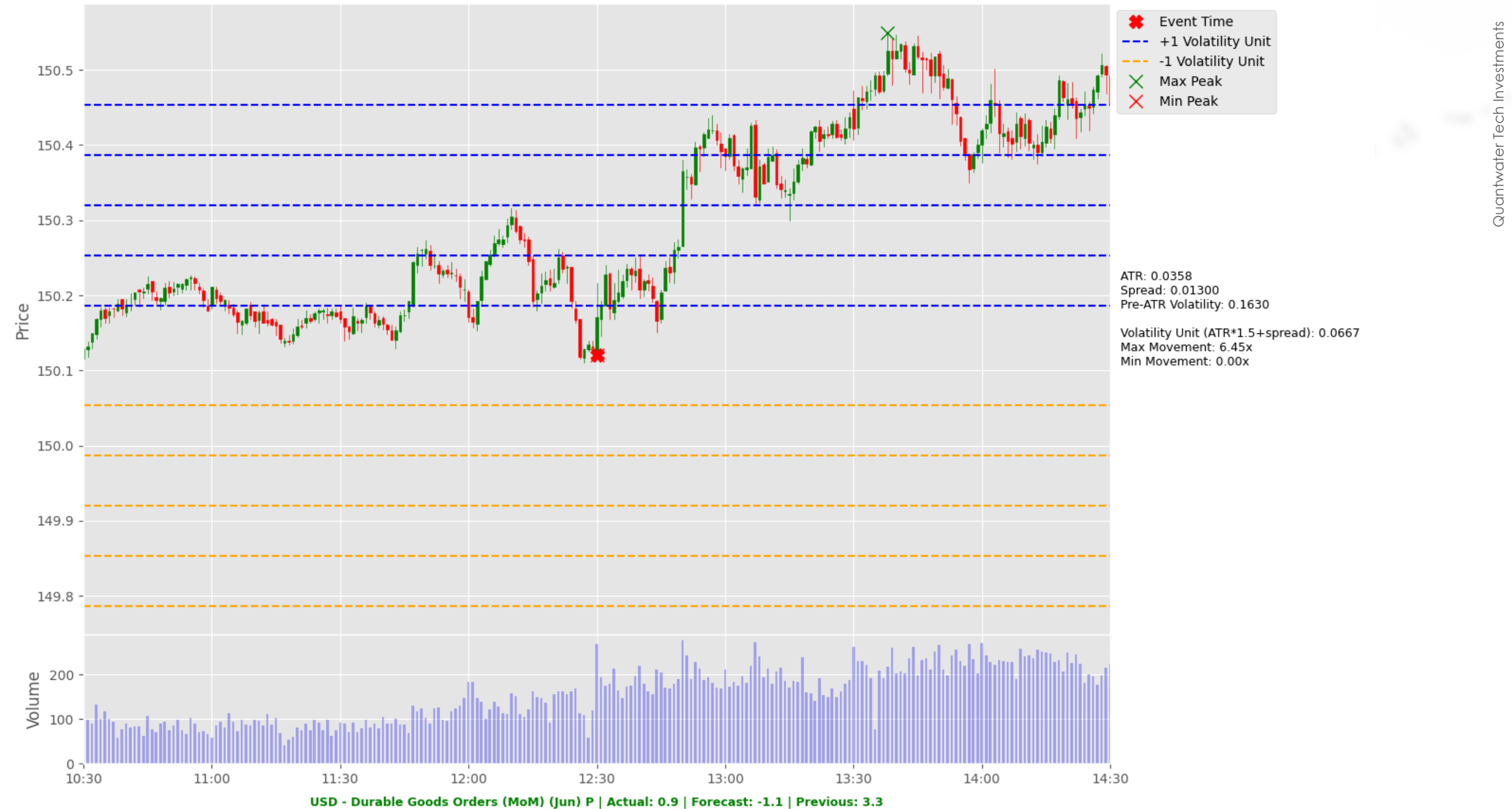
C:USDJPY Price Action - 2025-01-28 13:30 GMT



C:USDJPY Price Action - 2025-02-27 13:30 GMT



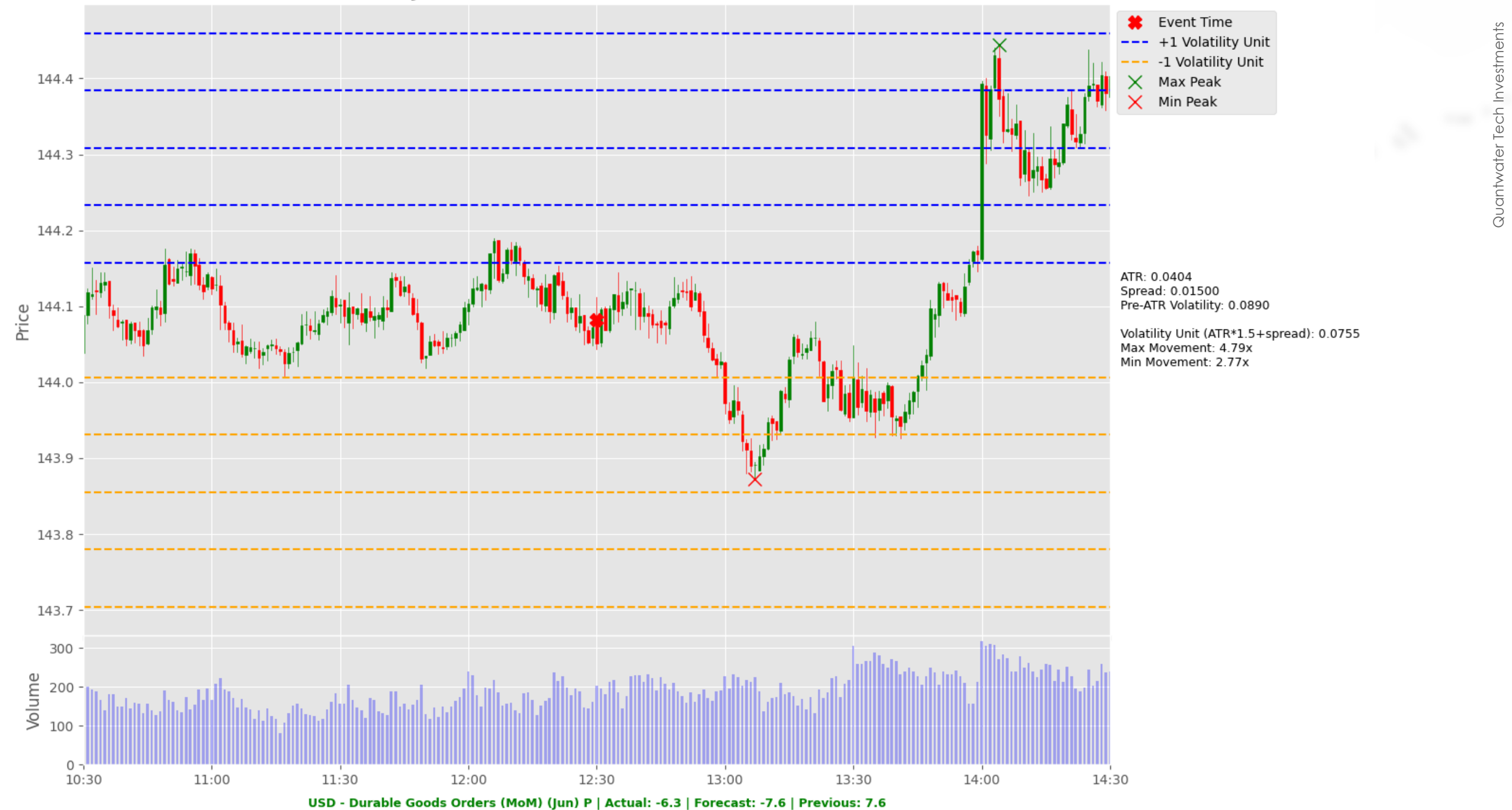
C:USDJPY Price Action - 2025-03-26 12:30 GMT



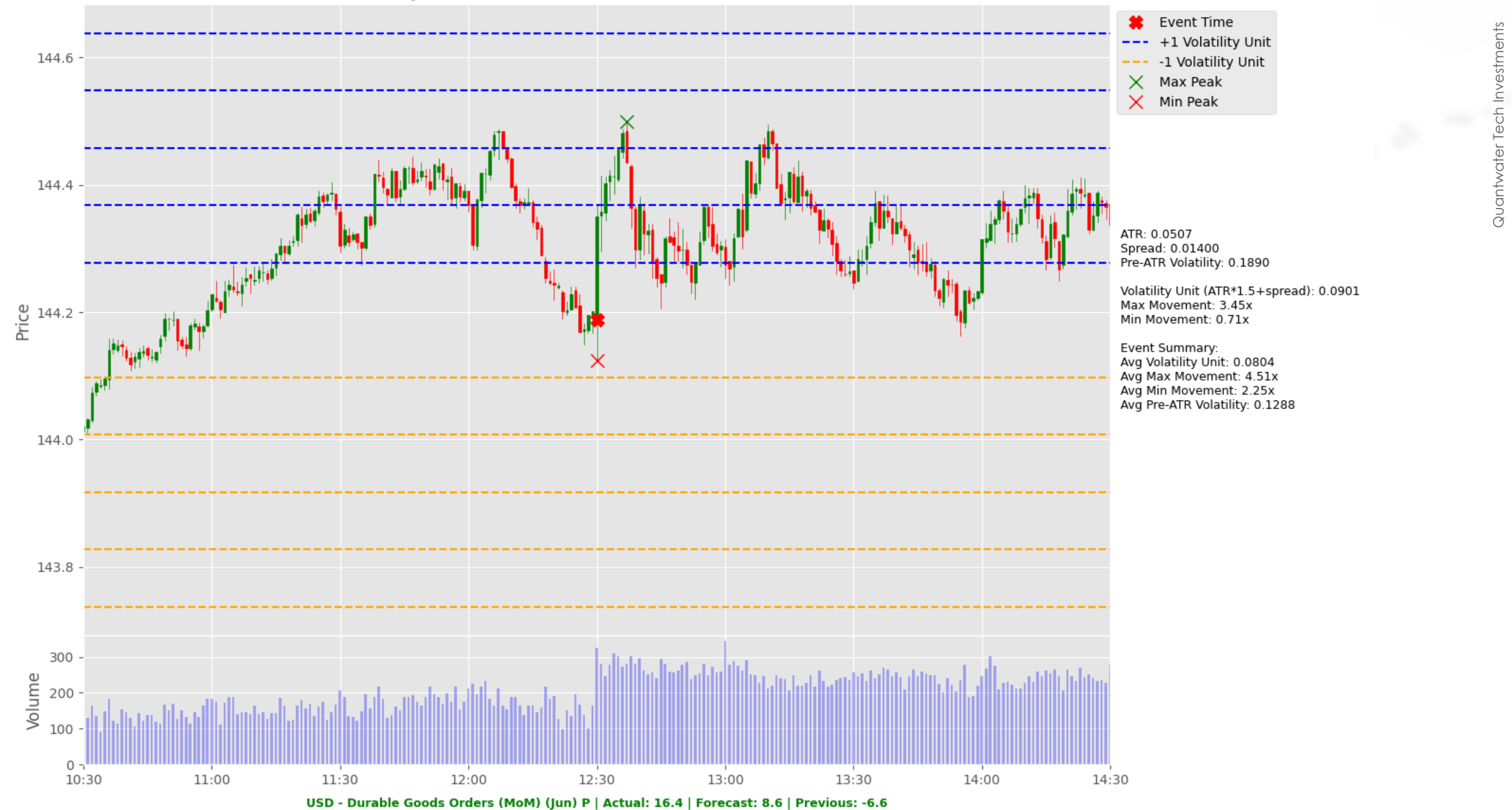
C:USDJPY Price Action - 2025-04-24 12:30 GMT



C:USDJPY Price Action - 2025-05-27 12:30 GMT



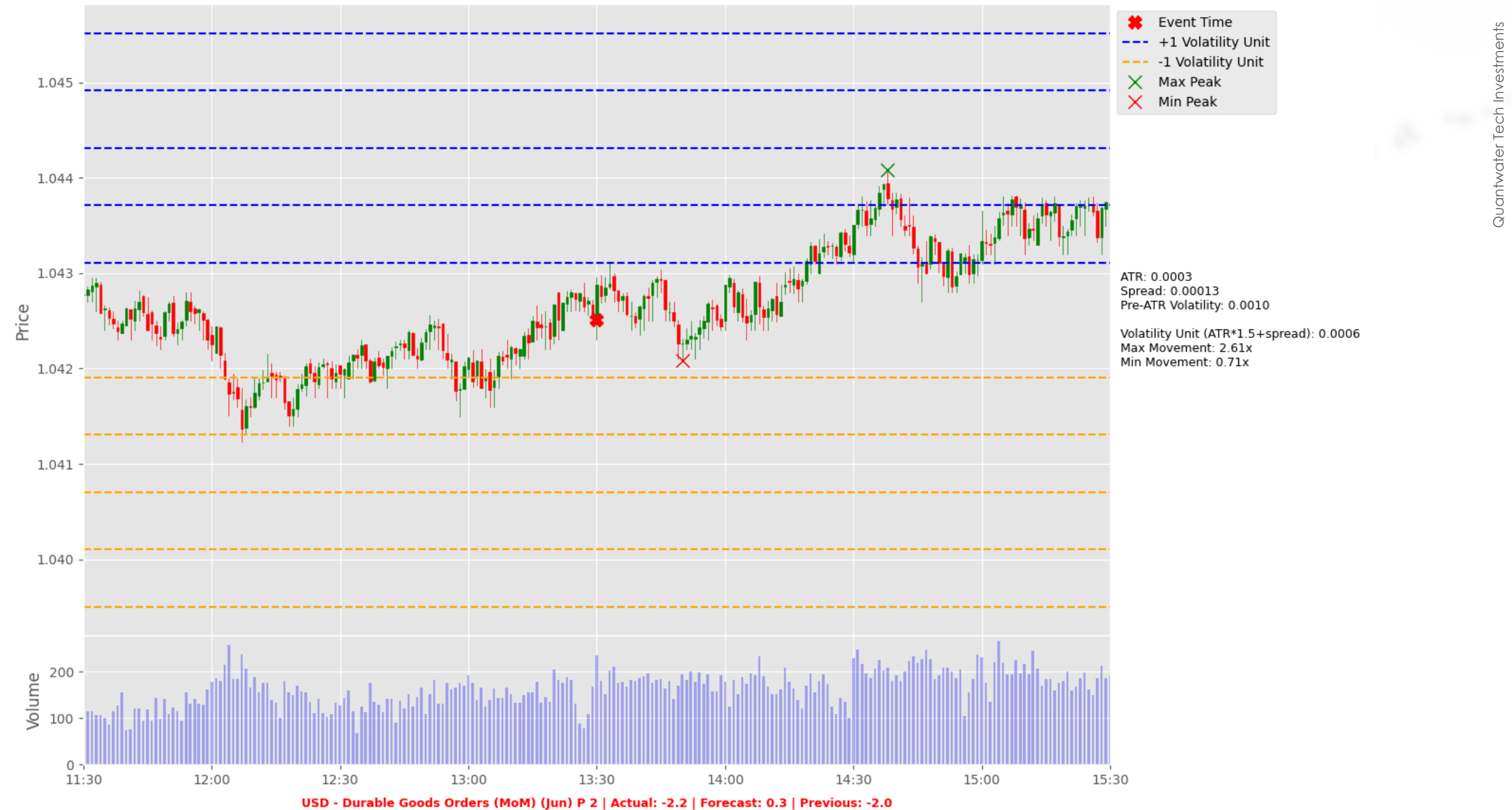
C:USDJPY Price Action - 2025-06-26 12:30 GMT



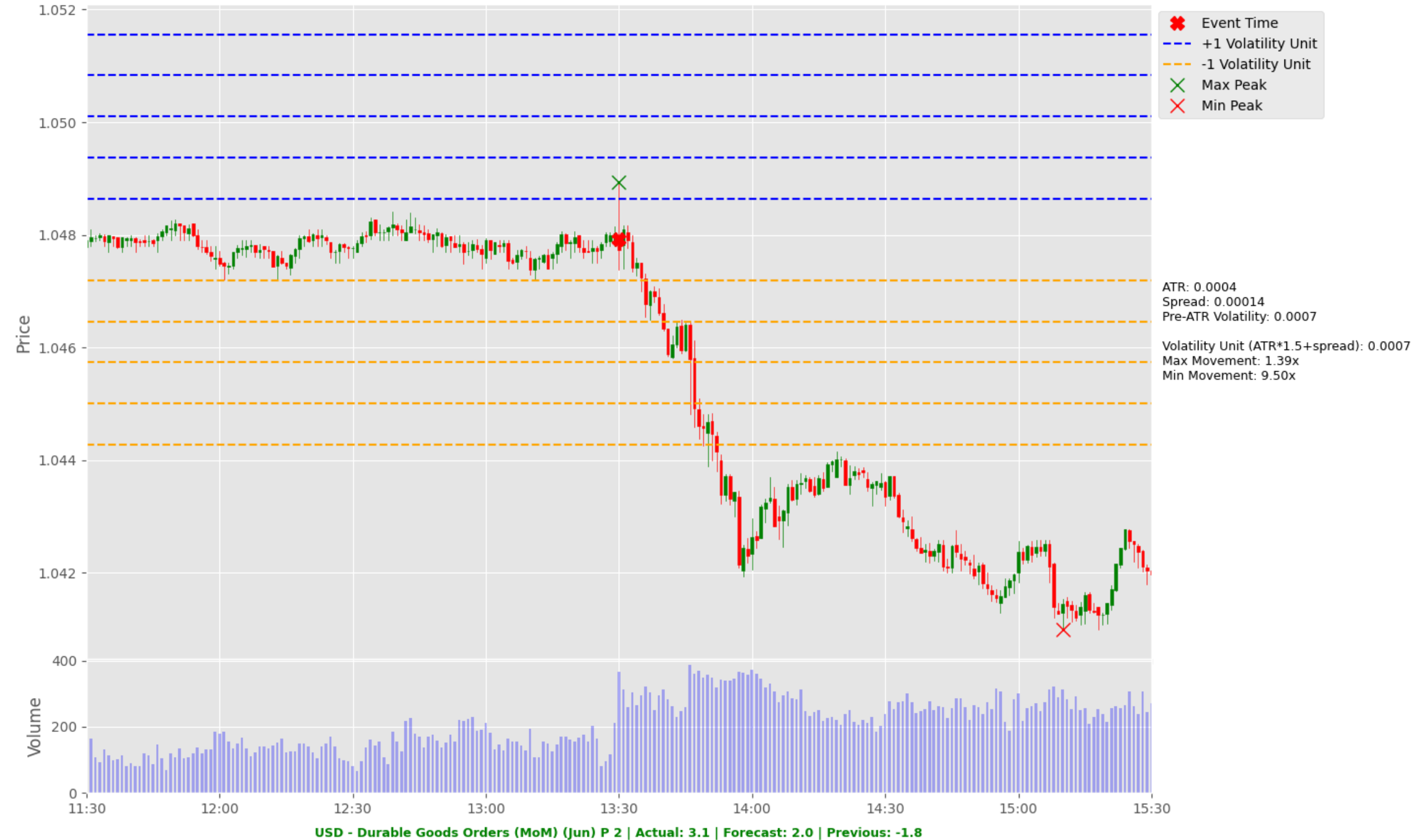
USD - Durable Goods Orders (MoM)
(Jun) P
EURUSD



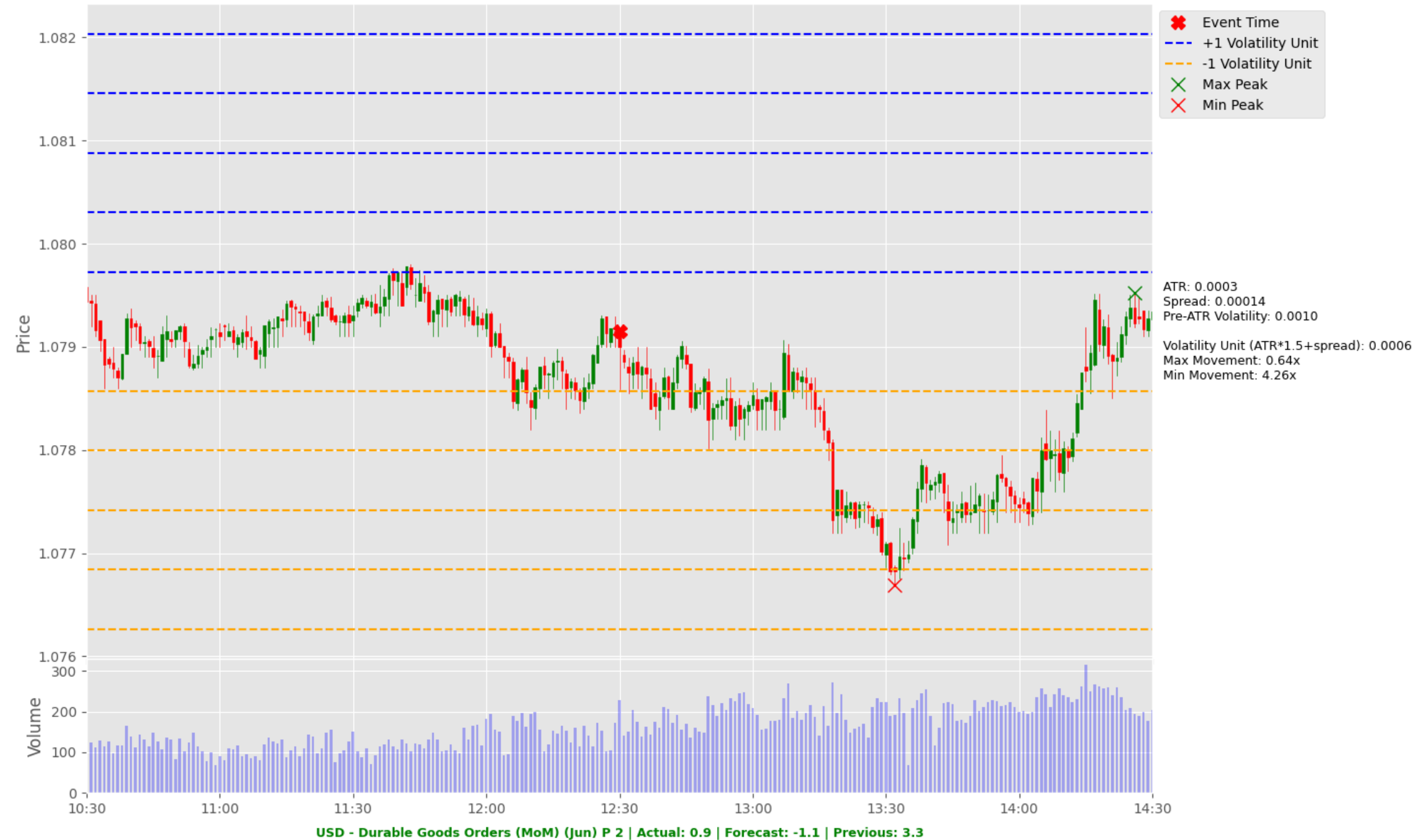
C:EURUSD Price Action - 2025-01-28 13:30 GMT



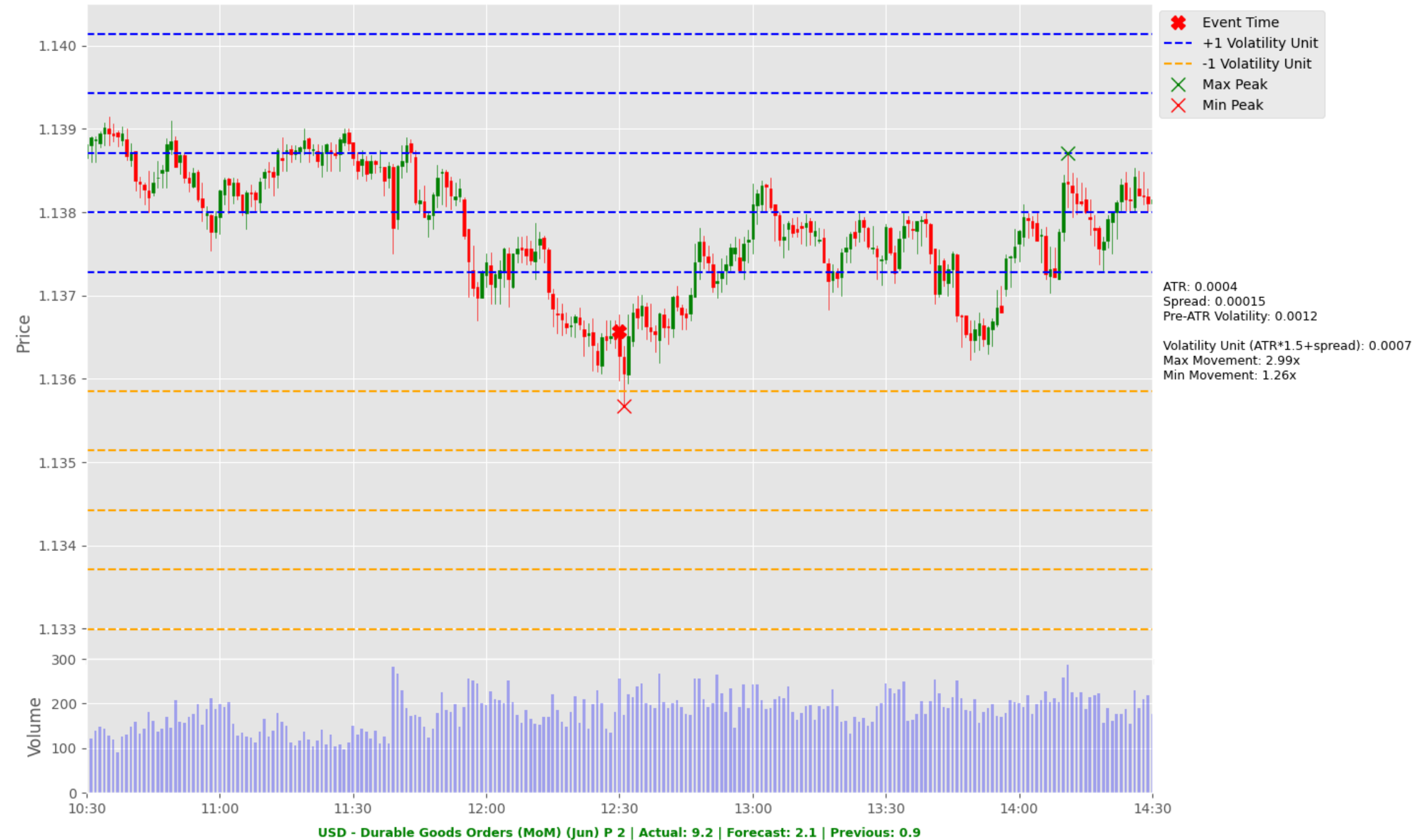
C:EURUSD Price Action - 2025-02-27 13:30 GMT



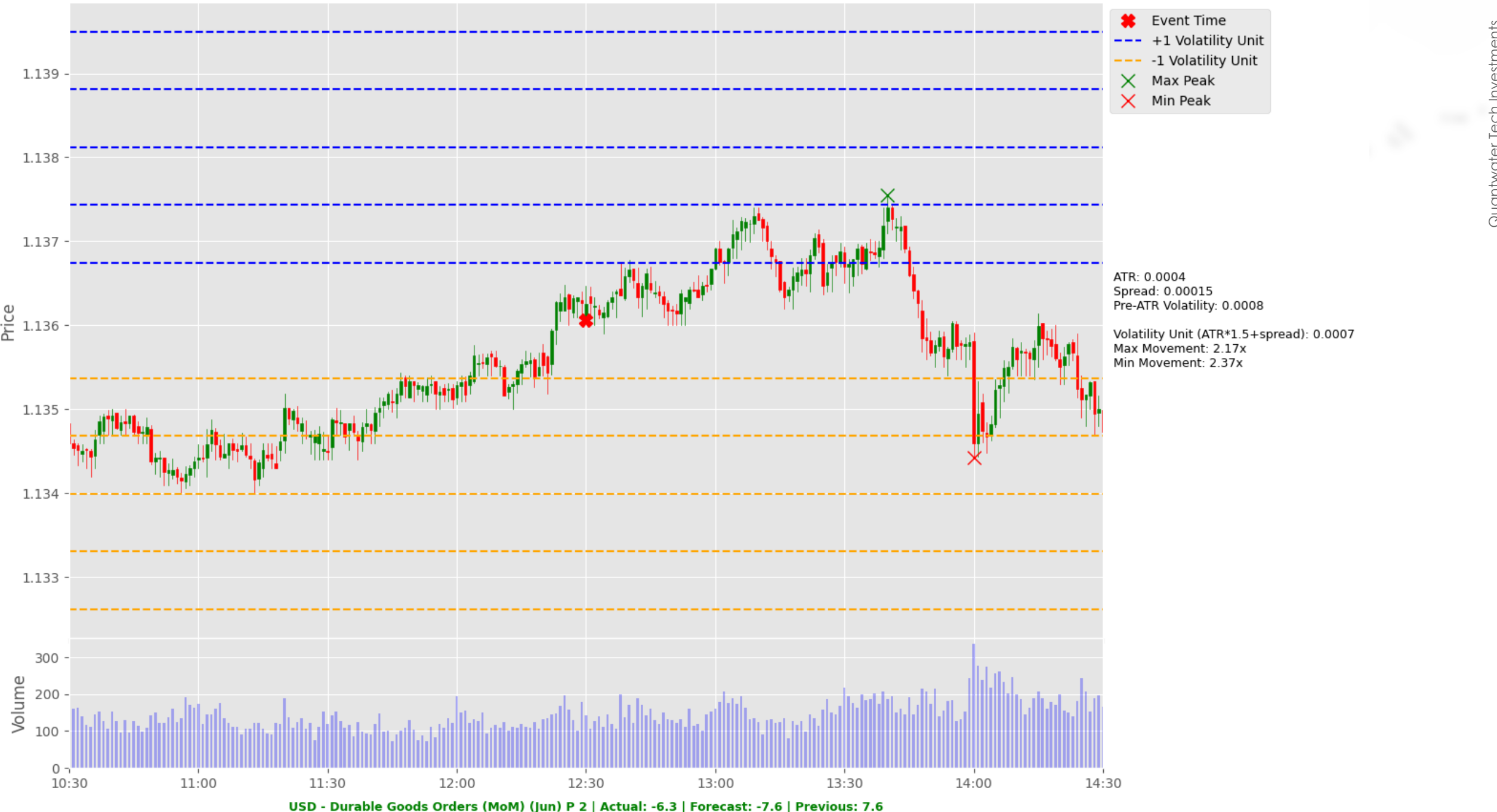
C:EURUSD Price Action - 2025-03-26 12:30 GMT



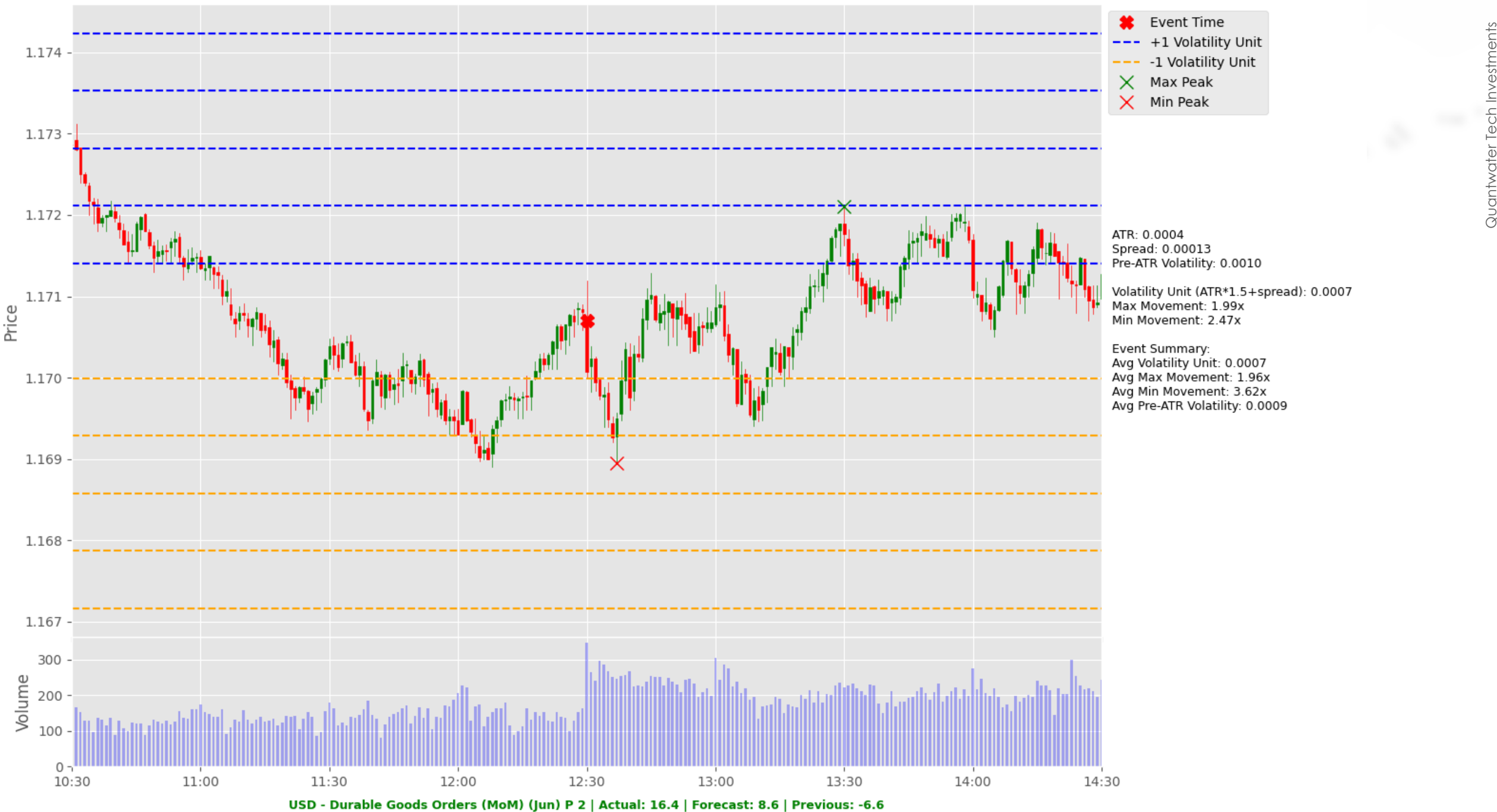
C:EURUSD Price Action - 2025-04-24 12:30 GMT



C:EURUSD Price Action - 2025-05-27 12:30 GMT



C:EURUSD Price Action - 2025-06-26 12:30 GMT



Important Information

Quantwater Tech Investments Data Release Deck – 21st July 2025

This document is for informational purposes only and does not constitute investment advice, an offer, or a solicitation to buy or sell any securities or financial instruments.

Past performance is not indicative of future results. Investments involve inherent risks, including the possible loss of principal. No representation or warranty, express or implied, is made regarding the accuracy, completeness, or reliability of the information contained herein.

The information in this presentation is derived from publicly available sources and internal analysis as of the date indicated and is subject to change without notice. Quantwater Tech Investments and its affiliates do not undertake any obligation to update or revise this material.

Neither Quantwater Tech Investments nor any of its affiliates, officers, or employees shall be liable for any direct or indirect losses arising from the use of this information. Any misrepresentation is strictly prohibited.

Key Economic & Analytical Concepts

Economic Data Interpretation

- **Forecast Vs. Actual:** Comparing predicted values with released data
- **Previous Reading:** Last reported value, used as a benchmark
- **Market Impact:** How releases affect financial markets

Average True Range (ATR)

- **Definition:** A technical indicator that measures market volatility
- **Calculations:**
 - Calculate True Range (TR) for each period:
 - $TR = \max [(high - low), abs(high - previous\ close), abs(low - previous\ close)]$
 - $ATR = \text{Simple moving average of TR over } N \text{ periods (typically 14)}$
- **Interpretation:**
 - Higher ATR = Higher Volatility
 - Lower ATR = Lower Volatility
- **Usage in Our Analysis:**
 - Helps standardize price movements across different market conditions
 - Forms the basis of our Volatility Unit Calculations

Volatility Unit

- **Formula:** $(ATR * multiple) + Spread$ (multiple is typically 1.5)
- **Purpose:** Standardizes price movements

Price Movements

- **Max Movement:** Largest upward price move after event
- **Min Movement:** Largest downward price move after event
- Both measured in Volatility Units

Using This Analysis

- Analyzing volatility across different economic releases helps identify patterns in market reactions.
- This approach allows for evaluating the significance of economic indicators based on their market impact.
- Adhering to standard trading guidelines, the risk amount should not exceed 5% of the trading balance. A risk-reward ratio of 1:4x–6x, guided by the win ratio and historical data from this presentation or other estimates, can be used to determine the appropriate risk level, take-profit point, and position size.
- Trade automation on the MT5 platform can be implemented using the expert advisor linked below, which takes the specified parameters as input.
- An MT5 account can be accessed through a brokerage/[securities dealer firm](#) or by using a proprietary (prop) trading account.
- **Example:**
 - Volatility analysis of economic releases, such as the Non-Farm Payroll (NFP) event, helps identify patterns in market reactions. For instance, if the NFP event typically results in a minimum movement of 0.5x and a maximum movement of 3x, a stop-loss of 1x and a take-profit of 3x can be strategically applied.
 - Following prudent risk management, the risk per trade should not exceed 5% of the trading balance, typically. For a \$100,000 trading account (max loss amount post which trading is halted), this translates to a \$5,000 stop-loss and a \$15,000 take-profit.
 - The guiding principle is that a win ratio of at least 50% combined with a risk-reward ratio of over 2x ensures positive expected cash flow. By limiting risk to 5% of the account balance, potential drawdowns from consecutive losses are minimized, preserving capital and maintaining positive cash flow expectations.
- If you need further assistance, please don't hesitate to contact us.

Resources

- <https://github.com/pawan-pro/quantwater-tech-investments/blob/main/RiskEventTrader>
- <https://quantwater.tech/research>
- <https://quantwater.tech/blog>

Thank You!

Pawan Jatale
pawan@quantwater.tech
Founder

Quantwater Tech Investments